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COUNTRY
GROWTH&JOBS
REPORT

Indonesia

Running Faster, for Longer: Structural Transformation, Productivity, and Good Jobs

January 2026

COUNTRY
GROWTH&JOBS
REPORT

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ABBREVIATIONS AND ACRONYMS

AFC	Asian Financial Crisis
ALPQ	Anti-Competitive Laws and Policies Questionnaire
AmCham	American Chamber of Commerce
AMDAL	Environmental Impact Assessments
APINDO	Indonesian Employers' Association
ASEAN	Association of South East Asian Nations
AVE	Ad-Valorem Equivalent
BAPPENAS	Ministry of National Development Planning/National Development Planning Agency
BAU	Business-as-Usual
BOS	Businesses of the State
CGJR	Country Growth and Jobs Report
CSIS	Centre for Strategic and International Studies
ECI	Economic Complexity Index
EV	Electric Vehicle
FAT	Firm-level Adoption of Technologies
FDI	Foreign Direct Investment
GBF	General Business Function
GDP	Gross Domestic Product
GVC	Global Value Chain
HIC	High-Income Country
IDR	Indonesian Rupiah
IFC	International Finance Corporation
ICT	Information and Communication Technology
ITDP	Indonesia Tourism Development Project
JCOL	Omnibus Law on Job Creation
KADIN	Indonesian Chamber of Commerce and Industry
KPPOD	Regional Autonomy Watch Committee
KPPU	Indonesia Competition Commission
KUR	Kredit Usaha Rakyat, or People's Business Credit
LCR	Local Content Requirements
LMIC	Lower Middle-Income Country
MIC	Middle-Income Country
MSMEs	Micro, Small and Medium Enterprises
NPL	Non-Performing Loan
NTM	Non-Tariff Measures
OECD	Organisation of Economic Cooperation and Development
OSS	Online Single Submission
PEP	Politically Exposed Person
PISA	Programme for International Student Assessment
PKKPR	Space Utilization Approvals
PMR	Product Market Regulations
PSI	Pre-Shipment Inspections
RPTKA	Expatriate Manpower Employment Plan
SLA	Service Level Agreement
SMEs	Small and Medium Enterprises
SOB	State-Owned Bank
SOE	State-Owned Enterprise
SPS	Sanitary and Phytosanitary Measures
STRI	Services Trade Restrictiveness Index
TBT	Technical Barriers to Trade
TFP	Total Factor Productivity
TFPQ	Total Factor Productivity-Quantity
TFPR	Total Factor Productivity-Revenue
TPA	Third-Party Access
UMIC	Upper Middle-Income Country
WDR	World Development Report
WTO	World Trade Organization

FOREWORD

It is with great appreciation that I welcome the Indonesia Country Growth and Jobs Report prepared by the World Bank. This comprehensive diagnostic represents a significant collaborative effort between related institutions, spanning rigorous research, extensive consultations, and data-driven analysis conducted from mid-2023 through late 2024. The report arrives at a crucial moment as Indonesia stands at the threshold of a new economic era, and its insights will prove invaluable in shaping our policy agenda for sustained prosperity and inclusive growth.

Indonesia's economic journey over the past five decades has been remarkable. We have successfully transformed from the 29th largest economy globally in 1968 to the 16th largest in 2024, achieving Upper Middle-Income status in 2023. Our labor force participation rate of 67 percent stands well above regional peers, unemployment has declined from 9 to 5 percent over the past two decades, and poverty has been cut by more than half-from 19 percent to 9 percent between 2000 and 2024. These achievements reflect the dedication of the Indonesian people and the effectiveness of our foundational policies in human capital development, infrastructure investment, and sound macroeconomic management.

However, we recognize the candid assessment presented in this report regarding the challenges that lie ahead. Growth has moderated to an average of 5 percent when we need to accelerate beyond 6 percent to achieve High-Income status by 2045. The government is acutely aware that our economic transition requires more than just high investment levels. It demands strategic allocation toward high-value sectors and globally competitive industries. We acknowledge that market inefficiencies, productivity constraints in manufacturing, and the concentration of resources in lowervalue activities have become binding constraints that must be addressed decisively.

The Government of Indonesia has already embarked on substantial reform efforts to address these structural challenges. Through initiatives such as the Omnibus Law on Job Creation, we are working to enhance business licensing efficiency, increase labor market flexibility, and open sectors to greater competition and foreign investment. We are prioritizing the development of competitive manufacturing sectors including automotive, electronics, pharmaceuticals, and ICT, while simultaneously working to expand high-value services in finance, technology, and logistics. Our commitment to regulatory reform, competition policy, and reducing barriers to entry for dynamic firms reflects our determination to create an enabling environment for productivity growth and quality job creation.

The three-pillar framework recommended in this report-foundational infrastructure, business-enabling policies, and private capital mobilization-aligns closely with our national development priorities. We recognize that financial sector reforms to expand credit access, services of trade liberalization, and targeted reductions in non-tariff measures on goods can unlock significant economic gains. The report's emphas.is on fostering competitive markets, reducing the footprint of stateowned enterprises where they constrain innovation, and creating space for new players resonates with our reform vision. These evidence-based recommendations will inform our policy deliberations and help us refine our strategies for inclusive and sustainable economic transformation.

As we move forward, I extend our sincere gratitude to the World Bank for this important contribution to Indonesia's development dialogue. The collaborative process that produced this report-engaging government agencies, the private sector, and academia across our archipelago-exemplifies the partnership approach we value deeply. We look forward to continuing this productive collaboration, translating these insights into concrete policy actions, and working together toward our shared vision of a prosperous, equitable, and globally competitive Indonesia that provides quality employment and improved living standards for all our citizens.

H.E. Airlangga Hartarto

Coordinating Minister of Economic Affairs

Republic of Indonesia

Indonesia has sustained growth and created jobs over the past two decades on the back of a stable macroeconomic environment, high investment levels, and structural reforms. Yet, as we aspire to transition to high-income status, productivity growth has moderated, and the economy needs to produce more good jobs. These challenges have been exacerbated by the scarring from COVID and an increasingly challenging global economic environment.

Against this backdrop, the Indonesia Growth and Jobs Report is particularly timely. The report coincides with Indonesia's efforts to advance key national priorities outlined in its medium-term development strategy, including accelerating structural transformation, strengthening human capital, and ensuring that economic growth translates into quality employment opportunities for all Indonesians.

The Indonesia Growth and Jobs Report is intended to inform policy dialogue and decision-making. It provides an evidence-based assessment of Indonesia's growth and employment dynamics, with a focus on identifying binding constraints and priority reform areas that matter most for productivity and job creation. This report is based on sound analysis based on data, evidence and international comparisons. We appreciate the fact that the report goes beyond diagnostics and provides solutions, by examining policy trade-offs and complementarities, recognizing that reform choices inevitably involve balancing efficiency, equity, and political feasibility as well taking into account Indonesia's context. Whilst what ultimately is implemented decided by the government, the report will continue to inform policy design and implementation as internal and external environments evolve.

This report has been prepared in close collaboration with government counterparts and reflects extensive consultations with government, the private sector, academia, and other stakeholders. These engagements have been instrumental in shaping both the analytical focus and the policy relevance of the report.

We express our appreciation for the analytical rigor and professionalism of the team involved, as well as for the valuable contributions of partner institutions and stakeholders throughout the process. The government will carefully reflect on the report's findings and intends to use them as an input into future policy formulation and reform efforts. We also welcome continued policy dialogue and collaboration to ensure that Indonesia's growth path remains strong, inclusive, and job-rich in the years to come.

H.E. Luhut Binsar Pandjaitan
Chair National Economic Council

H.E. Mari Elka Pangestu
Vice Chair National Economic Council

Over the past five decades, Indonesia has achieved remarkable progress, lifting incomes, expanding opportunities, and moving steadily up the global income ladder. Currently an upper-middle-income economy, Indonesia aspires to attain high-income status by 2045—a bold and inspiring goal that will depend on one defining outcome: the creation of more and better-paid jobs through sustained productivity growth.

This ambition comes at a time when the global economic environment is increasingly complex. Global growth is slowing and the traditional external engines that once powered economic expansion, particularly for developing economies, have slowed. In this context, resilience and competitiveness are no longer optional. They must be built deliberately through reforms that strengthen the private sector, reward productivity, and expand access to jobs.

The *Indonesia Growth and Jobs Report* is part of a new generation of World Bank diagnostics that places jobs at the center of growth strategies. Jobs are no longer a byproduct, but rather the primary channel through which growth becomes resilient. Drawing on rigorous analysis and close collaboration with Indonesian stakeholders across government, business, and academia, the report aims to inform policy dialogue on accelerating productivity-led growth that delivers better-paid jobs at scale.

Indonesia's strong foundations—driven by sustained investment in physical and human capital—alongside sound macroeconomic management and public sector governance have underpinned past success. Building on these strengths, the next stage of development calls for comprehensive market reforms to enable Indonesia's private sector to do what it does best: invest, innovate, and create jobs. That requires going beyond capital accumulation toward unlocking business dynamism, so firms can enter the market, grow, compete, and, when necessary, exit, allowing capital and talent to flow toward the most productive uses.

For this to happen, markets must work well. Firms must be able to compete on a level playing field rather than relying on privilege or regulatory complexity. Removing market restrictions that shield incumbents and discourage competition is critical to spurring business dynamism and enabling economic diversification into higher-value manufacturing and services. These changes will help ensure that more workers use and build their skills, offering pathways to the middle class. Expanding this middle class is essential to boost demand for higher-value goods and services, which in turn drives high-value production and job creation, creating strong multiplier effects.

To accelerate progress, the *Indonesia Country Growth and Jobs Report* calls for a more predictable business regulatory environment, enhanced competition, and streamlined firm entry and exit. This can unlock growth in higher-value manufacturing and services, which is key to addressing Indonesia's broader development challenges. Predictability matters as much as policy itself. When firms trust the rules of the game, they invest more, take risks, and scale. This in turn deepens financial markets, broadens the tax base, strengthens public finances, and improves the state's ability to invest in foundational infrastructure and crowd in private capital.

The report provides illustrative estimates of the benefits of a concerted reform program. For example, competition reforms could raise GDP by 2.1 percent and real wages by 2.2 percent by 2040. Reducing non-tariff measures on goods could boost GDP by up to 6.6 percent and create over 16.5 million better-paid jobs. The World Bank remains committed to supporting Indonesia's long-term development agenda through targeted investments, advancing regulatory reforms, and crafting innovative strategies to mobilize private capital. Accelerating these reforms is critical to unlocking productivity, improving job quality, and achieving Indonesia's aspirations for sustainable growth.

Carlos Felipe Jaramillo
Vice President, East Asia and Pacific Region
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KEY MESSAGES

A good long run: Indonesia has achieved five decades of strong growth, reaching upper-middle-income status in 2023. It has risen from the world's 29th largest economy in 1968 (80th percentile) to the 16th largest in 2024 (90th percentile). Growth has generated jobs: labor force participation averaged 67 percent between 2000 and 2024, unemployment fell from 9 to 5 percent. Labor earnings from jobs accounted for 70 percent of the reduction in poverty, which fell from 19 to 9 percent over this period.

Growing pains: Indonesia now faces challenges typical of middle-income economies. Growth has slowed to around 5 percent when it needs to exceed 6 percent to reach high-income status by 2045. Although investment has averaged over 30 percent of GDP for 15 years, about 70 percent still flows to lower-value sectors. This slows the shift of workers from low-skill, often informal jobs into the more productive, mid- to high-skill employment needed to expand the middle-class.

The root of the problem: Firm growth is increasingly driven by market power rather than productivity. Dominant firms and industries, despite declining efficiency, continue to absorb most resources, crowding out more productive, higher-value ones. Manufacturing productivity has fallen by an estimated 20–30 percent since the early 1990s, and most services remain low-value and domestically oriented rather than high-value, globally engaged activities that enhance competitiveness. This has limited job opportunities in higher value and better paid sectors and the transition out of low-skill, informal employment in low value sectors. These dynamics hold back Indonesia's wider development priorities, including human capital, tax capacity and financial depth.

The cause: Since the 2000s, rising market restrictions have insulated leading firms and state-owned enterprises from competition, concentrating activity in low-value manufacturing and services. Those restrictions reversed efforts to deregulate in the 1980s and 1990s, which unleashed a surge in investment, growth, and job creation in higher productivity industries. Recent reforms to open markets—such as the Omnibus Law on Job Creation—have faced implementation challenges and resistance.

Shifting gears: Indonesia's growth has been impressive and transformative but moving to the next stage will require renewed reform momentum. The Country Growth and Jobs Report (CGJR) emphasizes progress across three pillars, with a strengthened focus on business-enabling policies under Pillar 2:

i. **Pillar 1 - Foundational infrastructure:** Over two decades, investments in human capital and physical infrastructure have underpinned Indonesia's success. Indonesia has progressed well in this foundational domain. This was possible thanks to strengthened economywide fundamentals such as improved public sector governance and improved macroeconomic management.

ii. **Pillar 2 - Business-enabling policies:** To sustain gains and revive productivity, the CGJR calls for greater emphasis on a more predictable business regulatory environment, enhanced competition, streamlined firm entry and exit, and a reduction in trade restrictions. Without this, it will be difficult to deepen value addition and sustain progress on foundational human capital and physical infrastructure.

iii. **Pillar 3 - Mobilizing private capital:** Business enabling policies should attract higher-value investment, requiring deeper private financing. Expanding credit reporting, supporting fintech, and scaling up guarantees can lower borrowing costs and broaden access to finance for high-value sectors such as infrastructure, advanced manufacturing, healthcare, and tourism.

Running faster, for longer: The CGJR estimates that pillar 2 reforms could significantly boost growth, jobs, and the need for private capital. Competition reforms by 2040 could raise GDP by up to 2.1 percent and real wages by 2.2 percent above a no-reform baseline. Services trade reforms could raise GDP by 1.14 percent above a no-reform baseline, while reducing non-tariff measures (NTMs) on goods could boost GDP by up to 6.6 percent and create over 16.5 million better-quality jobs in a workforce of 179.5 million. Across all reforms, the most consistent benefit is improved job quality through gains in real wages and labor productivity. Financial sector reforms that lower borrowing costs alone yield modest gains, increasing GDP by 0.4 percent by 2040, but this would be higher if paired with the other reforms discussed above that expand high-value activities together with demand for finance.

OVERVIEW

Indonesia Country Growth and Jobs Report

The *Indonesia Country Growth and Jobs Report (CGJR)* analyzes the binding constraints to growth and good jobs in the country, and outlines policy options to overcome these constraints. The report begins with macro and microeconomic diagnostics of Indonesia's progress and the challenges to growth and employment (Chapters 1–2). It then links these challenges to specific policies and institutions that require reform (Chapters 3–5). It concludes by proposing a package of policy and institutional reforms, along with an assessment of their long-term impact (Chapter 6).

Indonesia could unlock faster growth and better jobs by shifting focus toward business-enabling reforms and a stable regulatory environment. This will increase the demand for stronger foundational infrastructure (physical and human capital) and for private capital. Foundational infrastructure, coupled with good governance and sound macroeconomic management, has supported investment and structural transformation from low-productivity agriculture to moderately productive manufacturing and services. Slower progress on business-enabling policies—regulation, competition, trade—has kept resources concentrated in low-value activities and constrained private capital. Reforms in these areas are essential to attract new players, knowledge, and technologies that are needed to raise productivity and generate better jobs.

Indonesia has had a good long run

Indonesia has a strong track record of long-term growth. It is one of only 13 countries in the world to have grown at an average of nearly 7 percent per year for at least 25 years in the postwar period (1968–1996 for Indonesia).[1] It reached lower middle-income (LMIC) status in 1993 and upper middle-income (UMIC) status in 2023, transitioning faster than peers such as Mexico, Türkiye, and Brazil. Between 1968 and 2024, it climbed from being the 29th largest economy globally (80th percentile) to the 16th largest (90th percentile). Its per capita GDP as a share of United States per capita GDP has steadily risen from 3 percent in 1975 to 6.5 percent in 2024.

Economic growth has delivered jobs and higher living standards. Indonesia's employment-to-working-age population ratio stood at 67 percent in 2022, compared with an average of 58 percent for peer countries. Unemployment steadily declined from 9 to 5 percent between 2000 and 2024. Meanwhile, non-agriculture employment increased from 57 percent in 1995 to 71 percent in 2022, while labor earnings have accounted for more than 70 percent of total poverty reduction since the early 2000s. The poverty rate fell from 19 to 9 percent between 2000 and 2024 (based on the national poverty line). Indonesia's success, as discussed below, is due to a mix of good foundational policies and natural resources.

1 Commission on Growth and Development. 2008. *The Growth Report: Strategies for Sustained Growth and Inclusive Development.* World Bank

Indonesia is now facing growing pains

However, growth is slowing, and the share of good jobs is shrinking. Annual growth declined from an average of 5.4 percent in the decade before 2020 to 4.7 percent in the period 2021–2023. Reaching high-income country (HIC) status within 20 years will require at least 6 percent annual growth. The economy is also struggling to generate good jobs. Of 85 million income earners in 2018, 13 million had enough to support a family of four at a middle-class standard.[2] However, the share of middle-class jobs declined from 14 percent in 2019 to just 8.4 percent in 2023.

These growing pains—a natural part of economic transitions—reflect an accumulation of resources in lower-value manufacturing and services that create mostly lower-skilled employment. Indonesia has achieved enviably high levels of investment, averaging over 30 percent of GDP annually for the past 15 years. However, an estimated 70 percent of these investments have flowed into lower-value manufacturing and services, rather than into globally competitive industries (e.g., automotive, electronics, pharmaceuticals, ICT). The CGJR argues that high investments in globally competitive manufacturing during a period of deregulation in the early 1990s were not sustained because of market restrictions. This has constrained the creation of good jobs. The share of workers in high-skilled occupations (professional, technical, managerial) barely increased from 7.6 percent in 2014 to 8.8 percent in 2023.

The root of the problem lies in inefficient markets

The root of these growing pains lies in inefficient resource allocation across Indonesian firms and industries. In manufacturing, less productive firms not only absorb more inputs (investment and labor) but also capture a larger market share (sales). Meanwhile, the rate at which less productive firms exit, and more productive firms enter, has steadily declined since the early 2000s. As a result, by 2017, manufacturing firms were, on average, 20–30 percent less productive than in the early 1990s, and Indonesian manufacturing firms are less productive than their counterparts in seven out of eight peer emerging market economies covered in this report.

This challenge is compounded by the limited presence of high-value global services such as ICT and finance, along with business-enabling services such as transport and communications. These sectors are critical not only for their own value added but also for their strong systemic linkages. Nonetheless, over half of Indonesia's services sector remains low-value and oriented toward final consumption, limiting the sector's contribution to productivity and job creation. Evidence shows, however, that for every one job created in tradable services (e.g., ICT, finance, transport) in a district, an additional job is created in non-tradable services and 3.6 jobs are created in manufacturing.

2 World Bank. (2022). *Indonesia Jobs Report: Towards Better Jobs and Security for All*.

The small share of globally competitive firms and industries is linked to market inefficiencies. Manufacturing firms' productivity in Indonesia is lower when there is lack of competition, and large dominant firms and state-owned enterprises (SOEs) are present. It is, on the other hand, positively associated with foreign direct investment (FDI) and exports. FDI is a source of skills and technology but remains relatively low in Indonesia. The services sector, including higher skill and enabling services, remains highly restricted by limits to foreign ownership, local content requirements, and licensing barriers.

Market restrictions have facilitated growth of domestic firms, but their productivity and global reach have become stunted. Indonesia's largest manufacturing firms (1,000+ employees) are only half as productive as the rest. This contrasts with global trends, where larger firms are typically more innovative and competitive. Yet in Indonesia, firms' size—not productivity—determines growth, as market dominance and weak competition allow large firms to scale up without efficiency gains. Increased market power is negatively correlated with technology adoption and Indonesian firms lag global peers in technological sophistication. Its mega firms have a limited global presence despite the country's economic size.

Beyond large, inefficient enterprises, Indonesia has many businesses of the state (BOS) that also restrict markets and weigh on overall productivity. There are around 1,324 BOS that operate across 40 percent of industries. Three-quarters of Indonesia's BOS operate in competitive sectors including many in enabling and global innovator services, which are struggling to expand. For example, there are over 250 BOS operating in most industries within finance and insurance, and 125 BOS in 75 percent of industries within transport and storage. The presence of BOS is associated with market restrictions and is a drag on productivity.

Large enterprises and BOS can drive technical progress and productivity but also stifle them when preservation forces dominate—a pattern evident in Indonesia. The 2024 World Development Report notes that in MICs, the preservation of incumbent firms often prevails over the creation of productive firms and the destruction of unproductive ones. Large incumbents that once fueled dynamism tend to slow it down once they achieve scale and high returns. This, in Indonesia, has created a situation of "missing large," where industry giants are preventing creative destruction, which contributes to a "missing middle" due to lack of business linkages, and the proliferation of small and micro enterprises.

These dynamics can widen wealth disparities, which are associated with a weakening of market institutions needed to promote creation and destruction. Following the Asian financial crisis (AFC), Indonesia initially experienced a correction in wealth inequality and progress on market reforms to level the playing field, but both have deteriorated in recent years. For example, the Omnibus Law on Job Creation (2020) sought to simplify business licensing, increase labor market flexibility, relax foreign investment restrictions, and open previously protected sectors to competition. Foreign and domestic investments responded positively to those reforms. However, implementation has faced resistance and longstanding market restrictions persist, reinforcing preservation and allocative inefficiency.

Three pillars for growth and good jobs: (1) foundational infrastructure, (2) business-enabling policies, and (3) private capital mobilization

Indonesia's growth and jobs performance reflect its progress and gaps along three pillars:[3]

i. **Pillar 1 – Foundational infrastructure:** Since the Asian financial crisis in 1997–98, Indonesia has made strong progress and performed well relative to peers in strengthening its foundational infrastructure—both physical infrastructure and human capital (Figure 1 and Figure 2). Indonesia's physical capital stock rose from 231 percent of GDP in 2000 to 290 percent in 2019 (IMF). The road network expanded from 164 meters per 100 people in 2004 to 196 meters per 100 people in 2021 (BPS-Statistics Indonesia), and access to electricity grew from 53 percent of the population in 2000 to 99 percent in 2023 (World Development Indicators).

   Despite ongoing challenges, human capital investments have improved access to education, healthcare, and social protection. Gross enrolment in secondary education increased from 80 percent in 2000 to 90 percent in 2022, while tertiary enrolment tripled from 12 to 36 percent over the same period. Health expenditure per capita rose from US$13 in 2000 to US$126 in 2022 and, since the rollout of national health insurance in 2014, coverage has reached nearly 95 percent of the population.

   In parallel, Indonesia has improved economywide fundamentals: (i) governance reforms have transformed the country into the world's third-largest democracy, with decentralization, transparency, and enhanced public services; and (ii) macroeconomic and financial sector reforms that have sustained stability, reflected in low government debt, and a well-capitalized financial system.

ii. **Pillar 2 – Business-enabling policies:** While continuous progress is needed in foundational infrastructure, the CGJR argues that a stronger push is now necessary on business-enabling policies and the predictability of the regulatory environment, where Indonesia performs less well relative to peers (Figure 2). Progress in these areas is necessary to promote competition, support firms' entry-exit, and encourage quality investment needed to reverse the decline in productivity growth and good jobs.

   Indonesia's own history illustrates how business-enabling (including deregulation) reforms in the late 1980s and early 1990s can boost investment in higher-value sectors and accelerate the creation of good jobs. These are necessary to further improve foundational infrastructure and provide the means for delivering them through deeper financial markets and higher tax collections.

3 World Bank (2025), "Jobs: The Path to Prosperity" for the April 24, 2025 Development Committee Meeting.

More recently, Indonesia has launched bold reforms—including the 16 Economic Policy Packages (2015–2019) and the Omnibus Law on Job Creation (2020)—aimed at deregulation and improving the business climate. But implementation has been uneven and market restrictions remain widespread. Business surveys consistently cite these as key constraints to investment.[4]

iii. **Pillar 3 – Private capital mobilization:** Foundational infrastructure and business-enabling policies can create conditions for better quality investment, requiring private capital to support businesses, including in infrastructure, high-value manufacturing, healthcare, tourism (Box 1.1) and others. Indonesia's financial sector is stable but also small. Growth in higher-value sectors is necessary to deepen the financial system and increase the demand for more diverse financial products (e.g., long-term credit, equity, guarantees, risk insurance). This should encourage financial institutions to innovate, creating a virtuous cycle of economic and financial sector development.

Figure 1

More focus is needed on business-enabling policies and stability of the regulatory environment…

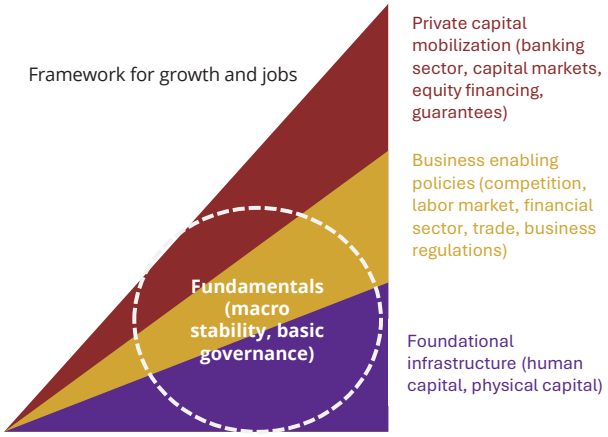
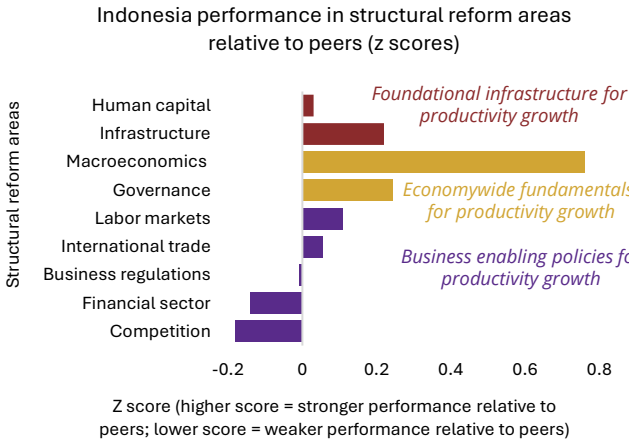


Figure 2

…where Indonesia lags relative to peer countries



Sources: Adapted from from World Bank (Jobs: The Path to Prosperity, 2025). Note: Z scores in Figure 2 derived for sub-indicators across indices, then grouped according to nine categories. Sources: Global Competitiveness Index, Economic Freedom Index, OECD PMR, Bertelsmann Transformation Index, Economist Intelligence Unit, World Development Indicators, IMD World Competitiveness ranking, Worldwide Governance Indicators.

While the CGJR focuses on business-enabling reforms (Pillar 2), this does not mean that progress on foundational infrastructure (Pillar 1) is complete. On the contrary, progress on Pillar 2 is key to accelerating Pillar 1. Removing market restrictions can unlock growth in higher-value manufacturing and services, increasing demand for skilled labor and better infrastructure (Pillar 1). This shift can also broaden the tax base, strengthen public finances, deepen financial markets, improve macro resilience, and strengthen the public sector to sustain investment in infrastructure (Pillar 1) and mobilize private capital (Pillar 3).

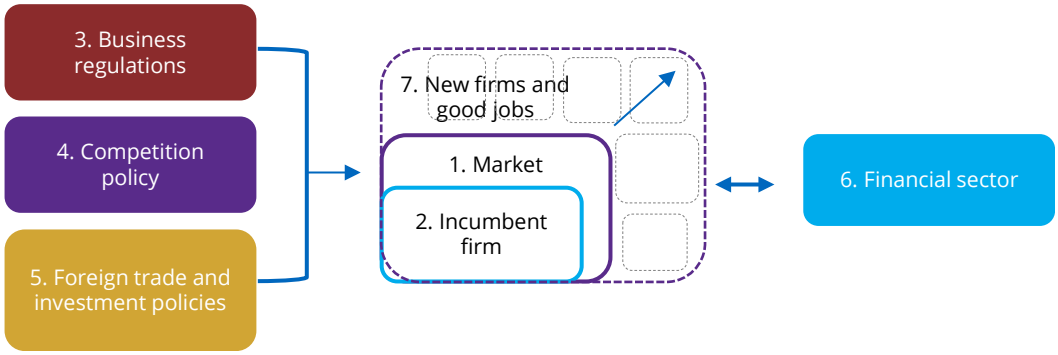
4 World Bank (2025), "Business Ready – Indonesia".

Pillar 2: Reforms to business-enabling policies are necessary to grow the pie and not just the slice

The Indonesia Growth and Jobs Report identifies specific reforms in business-enabling policies for productivity growth. As illustrated below (Figure 3), expanding markets and creating more opportunities (1–7) require reforms across pillar 2 (boxes 3–5) to open the playing field to new participants, fresh skills, and innovative technologies. Without such reforms, a small number of large firms will continue to dominate a restricted market, limiting broader benefits. The goal should be for large firms to shift from controlling a small, closed market to thriving in a much larger, more dynamic one—one that creates better jobs.

Figure 3

Business-enabling policies and private capital for growth and good jobs



Source: World Bank staff illustration.

First, to improve the business regulations, the CGJR proposes to prioritize regulatory predictability and reduce discretion. While Indonesia has taken steps to cut red tape, the latest Enterprise Survey (World Bank, 2023) highlights persistent challenges: (i) managers are spending more time dealing with regulations; (ii) corruption and compliance burdens have worsened; and (iii) differing central and local laws create uneven regulatory conditions. Although average compliance time has fallen, wider variability suggests increasing discretion, unpredictability, and inconsistency.

Addressing these issues is complex due to coordination challenges within the central government, and between central and local levels. Beyond fixing individual regulations, broader governance reforms—such as performance-based incentives, stronger accountability, and digital tracking—are needed to improve transparency, consistency, and fairness. It is also important to close regulatory gaps that heighten the risk of policy capture. For example:

i. Restricting or introducing strong safeguards against public officials serving on SOE boards and parliamentarians on private sector boards to prevent conflicts of interest.

ii. Strengthening oversight of politically exposed persons (PEPs) with clearer rules on data retention and compliance audits to curb corruption and favoritism.
iii. Clarifying procurement rules to ensure fair competition between SOEs and the private sector.
iv. Streamlining construction permitting by cutting procedural redundancies and improving service-level agreements to reduce compliance costs and limit discretionary decision-making.

Second, to enable competition, Indonesia could remove regulatory restrictions in markets and strengthen competition policy. Compared with Organisation of Economic Cooperation and Development (OECD) countries and peer economies, Indonesia has some of the most restrictive product market regulations, which limit firms' entry, protect incumbents, and encourage collusion. A key factor behind these restrictions is the state's deep involvement in the economy through BOS. To foster greater competition, Indonesia could, for example:

i. Eliminate minimum capacity requirements (e.g., minimum production capacity).
ii. Reduce price controls (e.g., price caps on retail products).
iii. Lift restrictions on the number of firms allowed in certain subsectors.
iv. Divest state-owned shares in commercially operated enterprises.
v. Ease barriers in network sectors (e.g., legal monopoly), such as electricity, transportation, and communications, which currently constrain downstream productivity.
vi. trengthen the Indonesia Competition Commission (KPPU) to better detect and address anti-competitive practices, ensuring a more dynamic and open market environment.

Third, Indonesia's ability to enhance its knowledge, skills, and technology would greatly benefit from more open channels for foreign trade and investment, particularly in services. Services trade restrictiveness in Indonesia is among the highest globally (score of 66 compared with 52 for ASEAN and 45 for OECD). This affects mostly global innovator services and business-enabling services. Indonesia's services restrictions are estimated to amount to an average tariff equivalent of 55 percent. A 1-percent increase in Indonesia's services restrictiveness reduces exports by 2.9 percent.

In addition, non-tariff measures (NTMs) have surged, affecting intermediate and capital goods with tariff equivalents ranging from 60 to 130 percent. NTMs include local content requirements (LCRs), which have constrained foreign investment and, in several industries, not led to reduced dependence on imports.

i. Lowering minimum thresholds for foreign service providers to participate in public procurement and ease local content requirements.
ii. Removing foreign equity limits and minimum capital requirements for FDI in services.
iii. Eliminating restrictions on occupations eligible for foreign work permits.
iv. Streamlining and eliminating unnecessary NTMs.

Pillar 3: Private capital mobilization

Fourth, on strengthening the role of the financial sector there is scope to unlock the supply of affordable finance to grow the economy. Banks account for three-quarters of the financial sector. Indonesia's financial sector is marked by low credit volume, high costs, and elevated profits. From 2012 to 2021, private credit averaged just 37 percent of GDP, well below the 55 percent average of peer countries. At the same time, net interest margins averaged 5.5 percent (vs. 4.0 percent for peers), and bank returns on assets reached 2.4 percent, compared with the 1.6-percent average among peers. Achieving higher financing volume, at lower cost, while maintaining profits will require reforms. For example:

i. Improving the credit reporting system to reduce information asymmetries that cause higher risk premia and borrowing costs.
ii. Supporting the entry and expansion of new financial providers, particularly those leveraging fintech, while adequately managing risks.
iii. Enabling the expansion of credit guarantee mechanisms to expand access to finance in underserved markets.

To make the financial sector a driver of economic efficiency, it must play a greater role in mobilizing savings and channeling them into productive investments, while maintaining stability. But this supply-side effort must be matched by stronger demand for finance, which depends on the depth and dynamism of the real economy. In economies dominated by traditional, low-value manufacturing and services, financial institutions tend to stay in their comfort zones, offering basic products with limited innovation.

In contrast, more advanced countries have seen financial sector development accelerate alongside growth in high-tech manufacturing, digital services, and advanced industries. Without such demand, financial systems often stagnate, as seen in many resource-dependent economies. Indonesia's own experience with digital platforms shows how real sector innovation can stimulate financial innovation, highlighting the importance of advancing business-enabling policies to unlock this potential.

Reforms to help Indonesia run faster over a longer distance

Economic modeling of the impact of efficiency reforms shows that these would help to accelerate economic growth and the creation of good jobs in Indonesia. Modeling results from three of the four areas of efficiency reforms show that:

i. Domestic market reforms that reduce regulatory barriers and enhance competition, particularly in services, can significantly raise productivity and wages. Services sector reforms alone could increase GDP by up to 2.12 percent and real wages by 2.2 percent in the long run, with most gains driven by the wholesale, retail, and telecommunications sectors.

ii. Trade reforms—through reducing services trade restrictions and reducing NTMs on goods—deliver the largest impact. Services liberalization would raise GDP by 1.14 percent and labor income by 1.02 percent. NTM reform effects range from a 3.42 percent GDP increase (partial removal) to 6.61 percent (more ambitious reform), with up to 16.5 million better-quality jobs created.

iii. Financial sector reforms that lower risk premia and improve access to credit yield moderate gains—raising GDP by 0.4 percent in the medium term and improving labor productivity—especially in capital-intensive sectors. The gains could be larger if paired with broader product market or capital market reforms.

iv. Reforms improve job quality more than quantity. Net job creation is modest—ranging from 380,000 under services liberalization to 2.5 million under full NTM reform—but better-quality jobs increase significantly: 1.5 million under services reform, 8.3 million under partial NTM reform, and over 16.4 million under full NTM reform. Real wages and labor productivity rise across all scenarios.

CHAPTER 1

MACROECONOMIC FEATURES OF GROWTH AND JOBS

Indonesia has made impressive economic strides and lifted millions out of poverty but, like many other middle-income countries (MICs), it now faces the risk of slowing growth. The country reached upper middle-income country (UMIC) status in 2023. Yet growth and its potential have been on a downward trend, and the share of middle-class jobs declined between 2019 and 2024.

Since the early 2000s, progress in foundational infrastructure—investments in human and physical capital– enabled by better governance, and macroeconomic management—has underpinned Indonesia's success. Along with commodity cycles, this helped drive high investment and diversification. Yet much of this investment flowed into lower-value sectors, and growth in good jobs has lagged. Despite human capital gaps, it is the slow expansion of quality job opportunities, more than limited worker capacity, that has constrained middle-class growth.

To move forward, Indonesia must build on its foundations by accelerating business-enabling reforms. The experience of successful MICs—and Indonesia's own earlier reforms—shows that improvements in business regulation, competition, trade, and finance are essential for faster, more inclusive growth. These are also key to unlocking further gains in infrastructure, skills, public sector capacity, financial sector depth, and macroeconomic resilience.

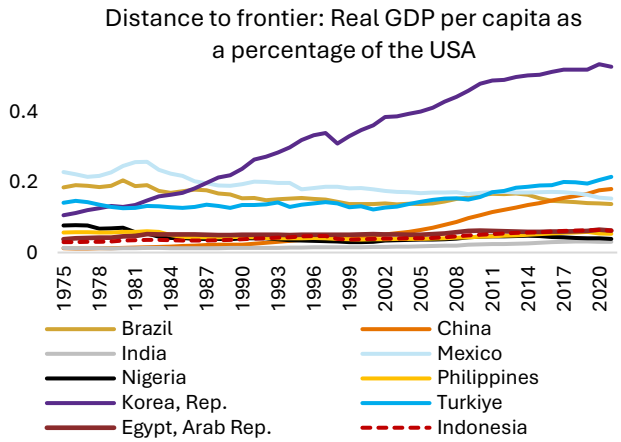
Without such reforms, growth could fall to 3.3 percent by 2050 and miss the high-income target. With bold reforms, growth could rise to 6–6.7 percent, enabling Indonesia to achieve high-income status by 2045 or sooner.

1.1 Growth and structural transformation

Indonesia has made remarkable strides in economic growth and income convergence, achieving stable, strong, and inclusive development over the long term. It has steadily narrowed the income gap with high-income countries (HICs) (Figure 1.1), progressing from a lower middle-income country (LMIC) status in 1993 to an upper middle-income country (UMIC) status in 2023—a transition that took fewer years than in peers such as Mexico, Türkiye, and Brazil (Figure 1.2). Looking ahead, Indonesia aims to achieve HIC status by 2045, a goal that, among its aspirational peers, only the Republic of Korea has managed to reach within two decades.

Figure 1.1

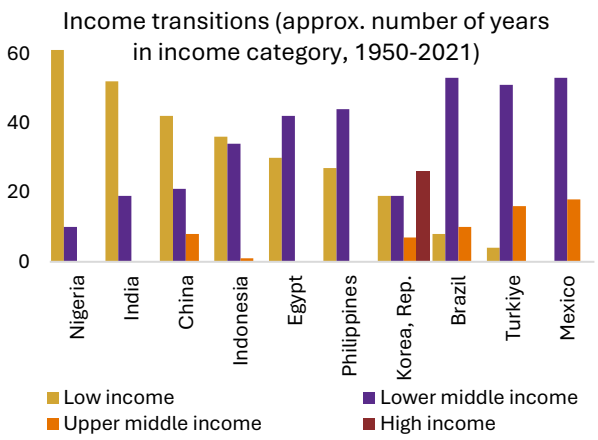
Gradual pace of convergence



Sources: World Bank CGJR Dashboard, World Development Indicators, World Bank staff calculations.

Figure 1.2

Income transitions have been strong



Sources: World Development Indicators; WBdata on income transitions. Felipe, J. et Al. (2012), "Tracking the Middle-income Trap: What Is It, Who Is in It, and Why?" Levy Economics Institute of Bard College.

Indonesia is one of only 13 countries worldwide recognized by the 2008 Commission on Growth and Development for sustaining high growth over an extended period, averaging nearly 7 percent per year from 1968 to 1996. This growth has been inclusive, leading to a sustained rise in per capita GDP and a significant reduction in poverty levels (Figures 1.3–1.4). Unlike many of its peers, Indonesia has avoided large boom-bust cycles (Figure 1.5), demonstrating remarkable economic resilience and sound economic management.

The country's long-term trajectory reflects consistent upward mobility on the global economic stage. In 1968, Indonesia was the 29th largest economy globally (80th percentile); by 2024, it had climbed to the 16th largest (90th percentile). Its per capita GDP relative to the United States has more than doubled, rising from 3 percent in 1975 to 6.5 percent in 2024. These achievements highlight Indonesia's steady progress toward becoming a more advanced economy, reinforcing its position as a key player in the global economy.

Building on this important progress to unlock the next phase of development will require an acceleration in growth. While growth remains solid in a difficult global environment, it is slowing at a lower per capita GDP growth rate than that of aspirational peers (Figure 1.6). At similar income levels, countries such as the Republic of Korea experienced real per capita GDP growth rates that were twice as high. To reverse this trend and sustain income gains, Indonesia will need to enhance its potential output—the economy's capacity to produce efficiently with its available capital and labor resources (Figure 1.7).

Figure 1.3

Sustained acceleration in per capita income

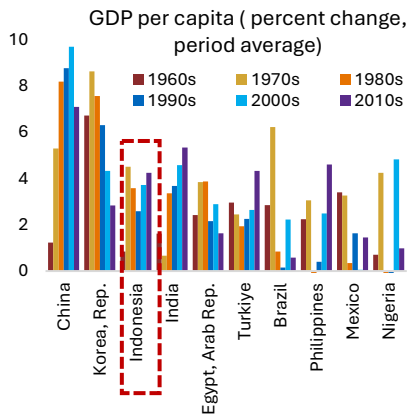


Figure 1.4

Sharp reduction in poverty in the past three decades

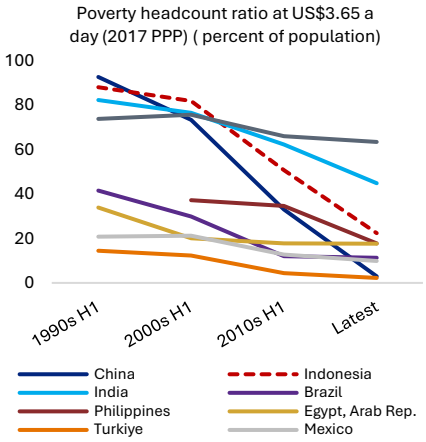
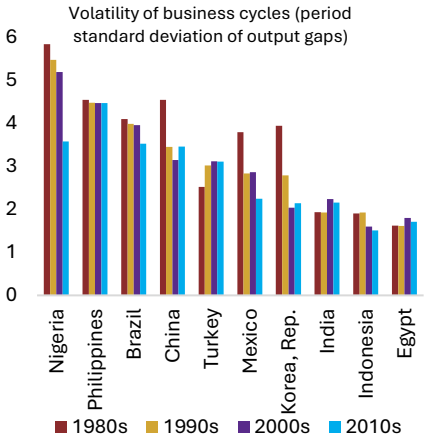


Figure 1.5

Sharp reduction in poverty in the past three decades



Source: WB CGJR Dashboard, World Development Indicators, World Bank staff calculations.

Figure 1.6

Growth decelerating at low per capita GDP...

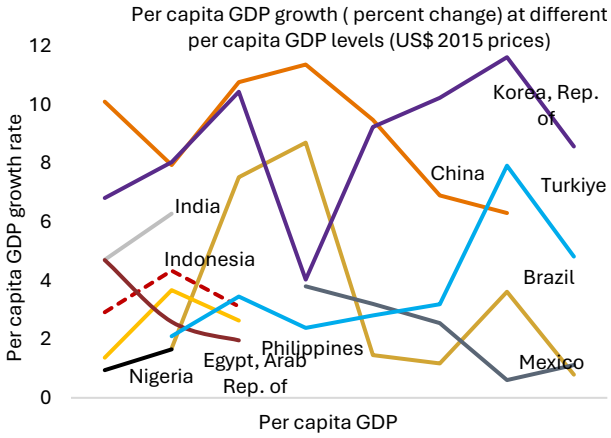
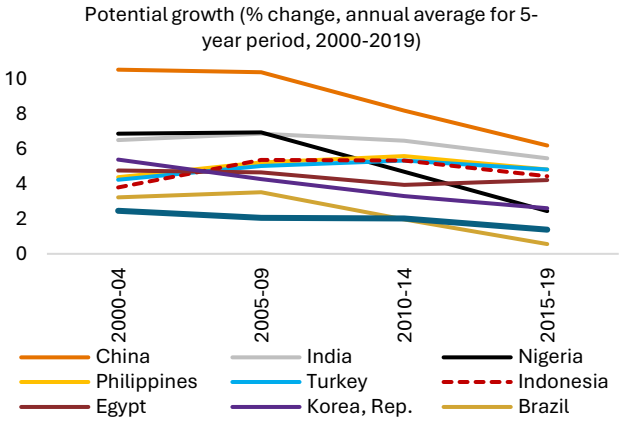


Figure 1.7

...while potential growth is also decelerating



Source: World Development Indicators, WB Macro Poverty Outlooks, World Bank staff calculations.

For Indonesia, raising productivity growth and potential output is less about increasing the amount of investment and more about changing its composition. Over the past 15 years, investment has averaged over 30 percent of GDP, driven largely by commodity cycles. However, around 70 percent of this investment has gone into lower value-added manufacturing (such as processed foods [see Box 1.1] and basic metals) and consumer services (such as accommodation and food) (Figures 1.8 and 1.9).

Figure 1.8

Most investment in commodity processing and less in medium to high-skills manufacturing

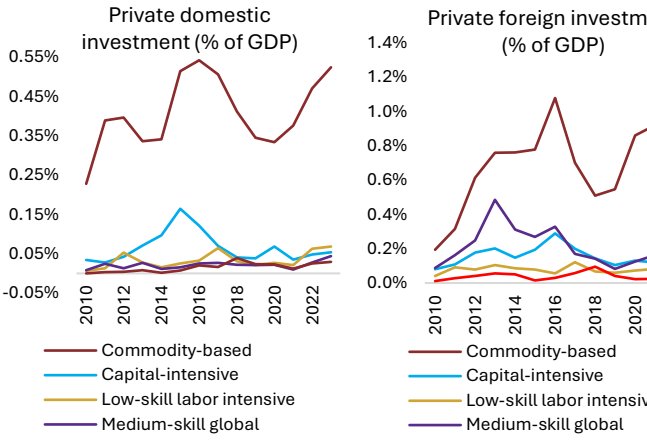
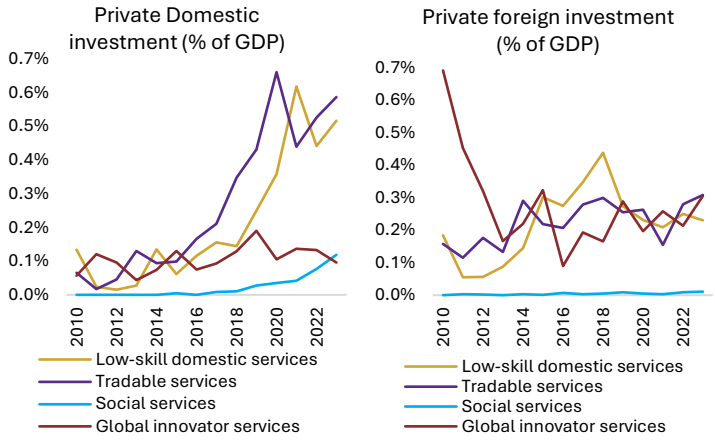


Figure 1.9

Most investment in consumer services and little investment in global innovator services

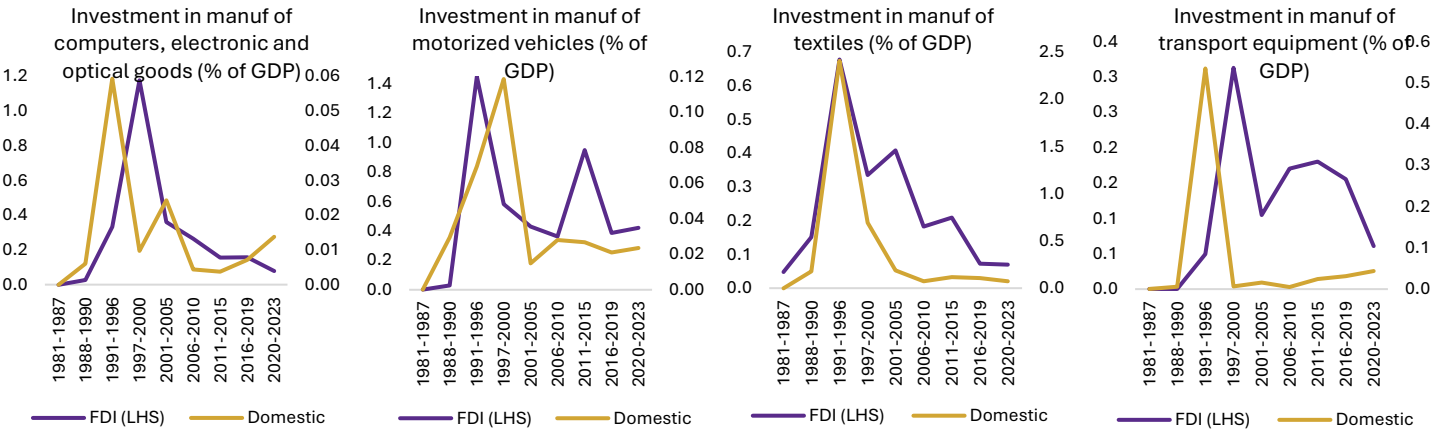


Source: Ministry of Investment (BKPM), World Development Indicators, World Bank staff calculations. Note: Data to 2023.

In contrast, investment in higher-value, export-oriented manufacturing—such as automotive, electronics, pharmaceuticals, and ICT—peaked in the early to mid-1990s (Figure 1.10), spurred by trade and deregulation reforms. These gains were not sustained, however, as market restrictions gradually increased. The 2020 Omnibus Law on Job Creation and other business regulation reforms sought to reverse this trend by liberalizing sectors and easing FDI restrictions, which led to a rise in investment commitments in those sectors.[5] But actual investment flows have fallen short, largely due to implementation challenges.

Figure 1.10

Investment in export-oriented manufacturing peaked in the early to mid-1990s



Source: CEIC, Ministry of Investment (BKPM), World Development Indicators, World Bank staff calculations.

5 World Bank. 2022. "Indonesia Economic Prospects: Trade for Growth and Economic Transformation" (Box A.II).

1.2 Job creation

Growth and investment in Indonesia have created jobs but increasingly concentrated them in lower-value sectors. This trend is a natural part of economic transformation, as the economy absorbed low-skilled labor transitioning out of agriculture, whose share of employment declined from 43 percent in 1995 to 29 percent in 2022. Within manufacturing (Figure 1.11) and services (Figure 1.12), employment growth has been highest in industries with low labor productivity. In manufacturing, worker earnings are positively associated with labor productivity, as expected (Figure 1.13). In services, however, earnings have also risen in low-productivity, non-tradable sectors (Figure 1.14), where higher prices and wages can be more easily passed on to consumers.

Figure 1.11

Employment is concentrated in lower productivity manufacturing...

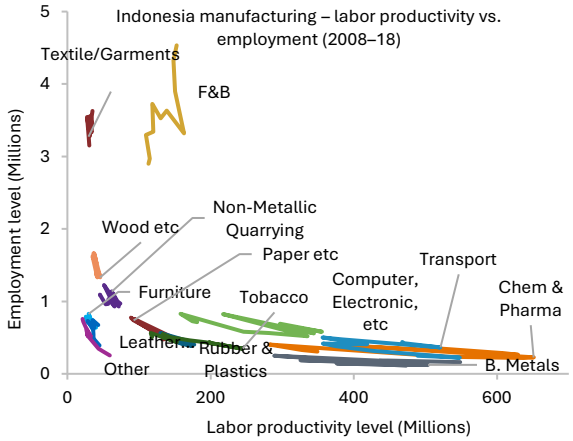


Figure 1.12

...and lower productivity services

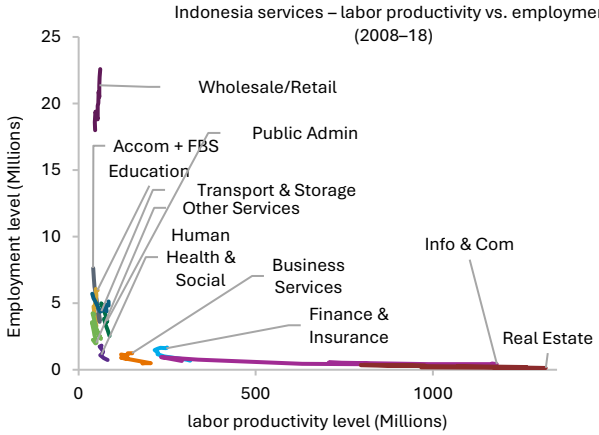


Figure 1.13

Real income is associated with manufacturing productivity...

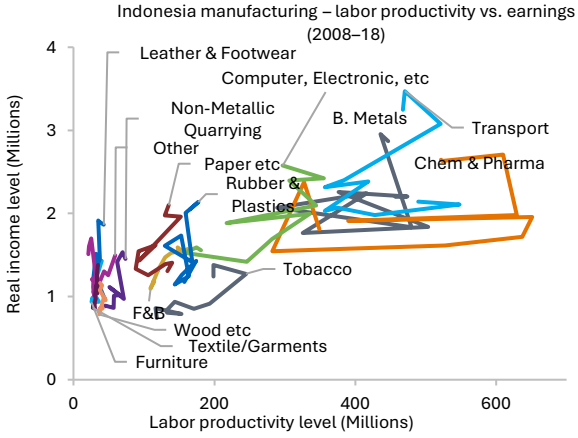
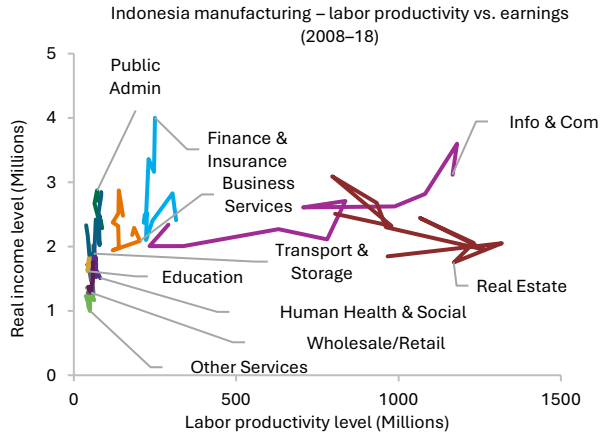


Figure 1.14

...while in services the relationship is less direct



Sources: SAKERNAS data, World Bank staff calculations.

Since the Asian Financial Crisis (AFC) the share of good jobs, which provide sufficient income to allow a family of four to afford a middle-class lifestyle has stagnated (i.e., middle-class jobs).[6] The manufacturing sector has historically been a key source of middle-class jobs, but the sector experienced negative net job creation for a decade after the AFC. Despite some pickup after 2010, manufacturing jobs have been increasingly concentrated in old and less productive plants.[7] At the same time, employment growth in more productive services – many of which are critical complements to manufacturing – has remained weak. Of the 30 million jobs created over the past decade, 21.4 million (nearly three-quarters) were in the services sector. However, two-thirds of these new service jobs were in low-skill, low-value-added activities such as accommodation and food services (6.5 million) and wholesale and retail trade (6.4 million). By contrast, high-value-added services – including business services, information and communication, and financial services – generated only about 1.9 million jobs.

In 2018, among the 85 million income-earners[8] in Indonesia (wage employees, casual workers, and the self-employed), only 13 million earned incomes that would enable a family of four to afford a middle-class lifestyle (i.e., middle-class jobs); and 3.5 million among them that earn above the threshold for middle-class earnings, enjoy full social benefit, and hold an indefinite term employment contract.

These challenges have intensified since COVID-19 with the share of middle-class jobs falling from 14 percent in 2019 to 8.4 percent in 2023.[9] Job creation has been concentrated in low-paying sectors, notably wholesale and retail trade and agriculture, which together accounted for just over half of new jobs in the past three years. Nearly 60 percent of workers remain in informal employment, limiting job security and income growth. About 70 percent of workers are employed in sectors generating less than IDR 8 million per worker per month in value-added, while only 10 percent work in high-productivity sectors. Although extractive industries are highly productive and account for a sizable share of GDP, they employ very few workers, with much of the income accruing to firms, investors, and the state rather than to the average worker.

Thus, while people's living standards are improving, the pace of improvement declines as they graduate through to middle class. Middle-class consumption growth in Indonesia has been subdued since the pandemic. Between 2019 and 2024, consumption among the poorest 40 percent rose by 2–3 percent annually in real terms, while the richest 10 percent recorded growth of about 3 percent per year. By contrast, the aspiring middle class—households between the 40th and 90th percentiles of the consumption distribution—experienced real consumption growth of only around 1.3 percent annually. This reflects limited creation of middle-class-paying jobs and stagnating real wages. Unless labor income

6 Jobs where the nominal income >= (poverty line *3.5*4/1.5.
7 World Bank. 2023. "Indonesia Poverty Assessment: Pathways Towards Economic Security."
8 Ibid. – Indonesia had more than 120 million jobs in 2018. These data exclude 15 million unpaid workers and profits for the 24 million employers.
9 World Bank 2024, "IEP: Funding Indonesia's Vision 2045"; World Bank 2025, "IEP: People First Housing"

for these groups grows, there will be limited demand for more sophisticated goods and services. This creates a vicious cycle of demand for low complexity non-tradables, low-skill employment, low growth, and back round again.

1.3 Worker capacities vs. good job opportunities in the labor market

What is constraining the creation of good jobs in Indonesia? One side of the challenge is ensuring that workers have sufficient capacities, including cognitive and other skills needed in good jobs. These are a function of education, health, and infrastructure services. Able workers also need good job opportunities, which are a function of business-enabling policies that facilitate growth of high value work. Higher capacities, without a commensurate increase in opportunities could lead to unemployment and underemployment. More opportunities without a commensurate increase in capacities could lead to worker shortages.

The CGJR argues that it is a lack of good job opportunities relative to the lack of worker capacities that is constraining employment with middle-class wages.[10] Both capacities and opportunities are important and should grow in tandem. Indonesia has made good progress on enhancing capacities, particularly through improved access to education and health. But good job opportunities have lagged.

Several indicators point to a lack of good job opportunities in Indonesia. First, the share of workers in high-skilled occupations (professional, technical, managerial) has stagnated, rising from 7.6 percent in 2014 to only 8.8 percent in 2023 (Figure 1.15), possibly reflecting weak demand for skilled roles. Second, while overall unemployment is low at 4.9 percent in 2024, youth unemployment is high at nearly 18 percent, signaling insufficient demand for young workers. Third, though university graduates do not struggle to find jobs, they are increasingly taking up lower-skilled jobs, such as sales and production, instead of roles matching their qualifications (Figure 1.16). The share of graduates in high-skilled occupations fell from 56 percent in 2014 to 50 percent in 2023. Finally, despite improvements in educational attainment, the share of university graduates in the labor force has stagnated at 9–10 percent since 2016, reflecting weak incentives to invest in higher education.

While constrained opportunities dominate, Indonesia also faces constraints in human capital. Despite significant improvements in access to education, the quality of education remains a challenge. In Indonesia, students attend schools for 12.4 years by age 18 on average, but actual learning was estimated to be only at the level of 7.8 years of schooling.[11] Indonesia's latest PISA scores (2018) showed low mean scores in all subjects, with an average reading performance of 371 (ranked 71 out of 76 PISA participating countries/economies), an average math score 379 (ranked 70 out of 77) and an average science score of 396 (ranked 69 out of 77 countries).

10 The opportunities vs. capacities framework is taken from World Bank. 2024. *Jobs and Technology,* World Bank East Asia and Pacific Economic Update; World Bank. 2025. "Future Jobs: Robots, Artificial Intelligence, and Digital Platforms in East Asia and Pacific."

11 World Bank. 2023. "Indonesia Economic Prospects: The Invisible Toll of COVID-19 on Learning."

Figure 1.15

Share of workers in high-skilled occupations is low and stagnant

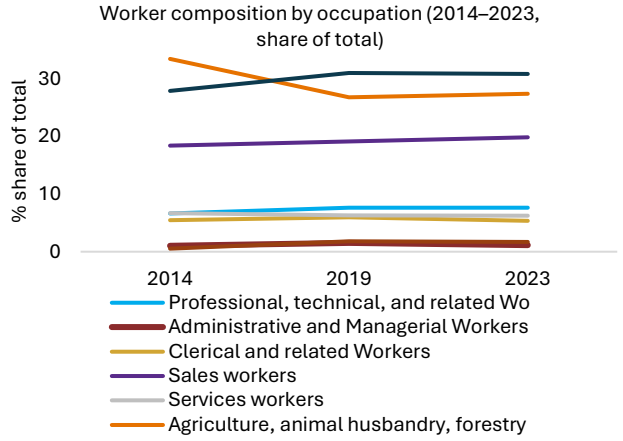
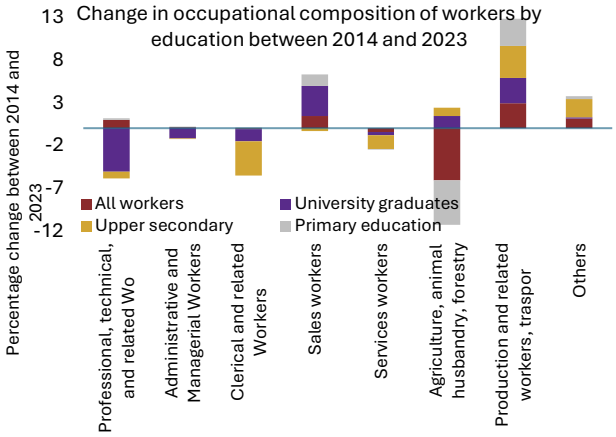


Figure 1.16

University graduates are increasingly taking up low-skilled employment



Source: SAKERNAS and World Bank staff calculations.

1.4 Three pillars for growth and good jobs: (1) foundational infrastructure, (2) business-enabling policies, and (3) private capital mobilization

Indonesia's growth and jobs performance reflect its progress and gaps along three pillars:[12]

Pillar 1 – Foundational infrastructure: Since the AFC, Indonesia has made strong progress in strengthening its foundational infrastructure—both physical infrastructure and human capital (Figure 1.17 and Figure 1.18). Indonesia's physical capital stock rose from 231 percent of GDP in 2000 to 290 percent in 2019 (IMF). The road network expanded from 164 meters per 100 people in 2004 to 196 meters per 100 people in 2021 (BPS-Statistics Indonesia), and access to electricity grew from 53 percent of the population in 2000 to 99 percent in 2023 (World Development Indicators).

Despite ongoing challenges, human capital investments have improved access to education, healthcare, and social protection. Gross enrolment in secondary education increased from 80 percent in 2000 to 90 percent in 2022, while tertiary enrolment tripled from 12 to 36 percent over the same period. Health expenditure per capita rose from US$13 in 2000 to US$126 in 2022 and, since the rollout of national health insurance in 2014, coverage has reached nearly 95 percent of the population.

In parallel, Indonesia has improved economywide foundations: (i) governance reforms that have transformed the country into the world's third-largest democracy, with decentralization, transparency, and enhanced public services; and (ii) macroeconomic

12 World Bank. 2025. "Jobs: The Path to Prosperity" for the April 24, 2025 Development Committee Meeting.

and financial sector reforms that have sustained stability, reflected in low government debt (40 percent of GDP), and a well-capitalized financial system.

Pillar 2 – Business-enabling policies: While continuous progress is needed in foundational infrastructure, the CGJR argues that a stronger push is now necessary on business-enabling policies and the predictability of the regulatory environment (Figure 1.18). Progress in these areas is necessary to promote competition, support firms' entry-exit, and encourage high-quality investment needed to reverse the decline in productivity growth and good jobs.

Indonesia's own history illustrates how business-enabling (including deregulation) reforms in the late 1980s and early 1990s can boost investment in higher value sectors and accelerate the creation of good jobs. These are necessary to further improve foundational infrastructure and provide the means for delivering them through deeper financial markets and higher tax collections.

More recently, Indonesia has launched bold reforms—including the 16 Economic Policy Packages (2015–2019) and the Omnibus Law on Job Creation (2020)—aimed at deregulation and improving the business climate. But implementation has been uneven, and market restrictions remain widespread. Business surveys consistently cite these as key constraints to investment.[13]

Figure 1.17

More focus is needed on business-enabling policies and stability of the regulatory environment...

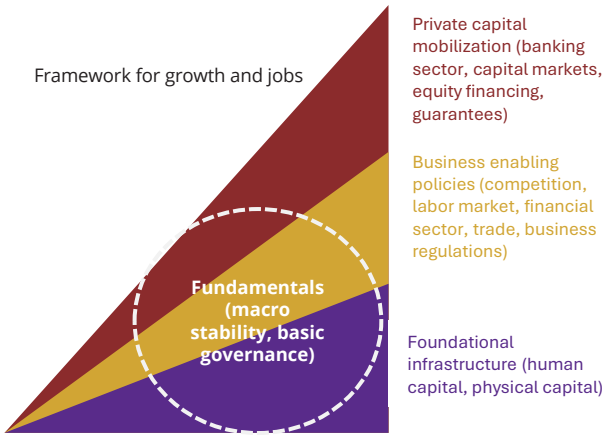
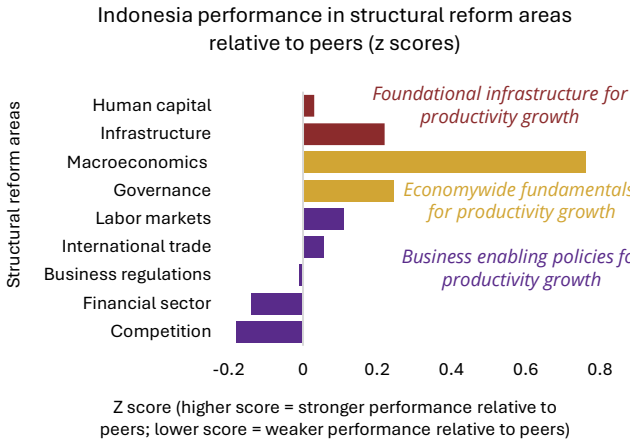


Figure 1.18

...where Indonesia lags relative to peer countries



Sources: Adapted from from World Bank (Jobs: The Path to Prosperity, 2025). Note: Z scores in Figure 2 derived for sub-indicators across indices, then grouped according to nine categories. Sources: Global Competitiveness Index, Economic Freedom Index, OECD PMR, Bertelsmann Transformation Index, Economist Intelligence Unit, World Development Indicators, IMD World Competitiveness ranking, Worldwide Governance Indicators.

13 World Bank. 2025. "Business Ready – Indonesia."

Pillar 3 – Private capital mobilization: Foundational infrastructure and business-enabling policies can create conditions for better quality investment, requiring private capital to support businesses, including in infrastructure, high-value manufacturing, healthcare, tourism and others. Indonesia's financial sector is stable but also small. Growth in higher-value sectors is necessary to deepen the financial system and increase the demand for more diverse financial products (e.g., long-term credit, equity, guarantees, risk insurance). This should encourage financial institutions to innovate, creating a virtuous cycle of economic and financial sector development.

While the CGJR focuses on business-enabling reforms (Pillar 2), this does not mean foundational infrastructure (Pillar 1) is complete. On the contrary, progress on Pillar 2 is key to accelerating Pillar 1 (Box 1.1). Removing market restrictions can unlock growth in higher-value manufacturing and services, increasing demand for skilled labor and better infrastructure (Pillar 1). This shift also broadens the tax base, strengthens public finances, deepens financial markets, improves macro resilience, and strengthens the public sector to sustain investment in infrastructure (Pillar 1) and mobilize private capital (Pillar 3).

Box 1.1

Tourism development through foundational infrastructure and business-enabling policies

Tourism is a key driver of Indonesia's economy, generating US$10.5 billion in foreign exchange, employing 2.6 million people (including 1.5 million women), and attracting nearly 14 million international visitors annually. Yet its potential remains constrained by poor infrastructure, limited policy coordination, and low private investment.

To address these gaps, the Government—with World Bank support—launched the Indonesia Tourism Development Project (ITDP) in 2018. Between 2018 and 2024, ITDP improved infrastructure and services for 5.4 million people, supported 1.2 million jobs, and catalyzed US$870 million in private investment across six priority destinations. The sector's GDP share rose to 4 percent in 2024, up from 3.9 percent the year before.

Enhancing the contribution of tourism to growth and good jobs will require a dual focus: continued investments in foundational infrastructure—guided by Integrated Tourism Master Plans and strengthened O&M—and improved business-enabling policies to attract quality private investment. This includes better investment readiness, climate-resilient infrastructure, and digital tools to empower MSMEs and enhance destination visibility.

Source: World Bank staff.

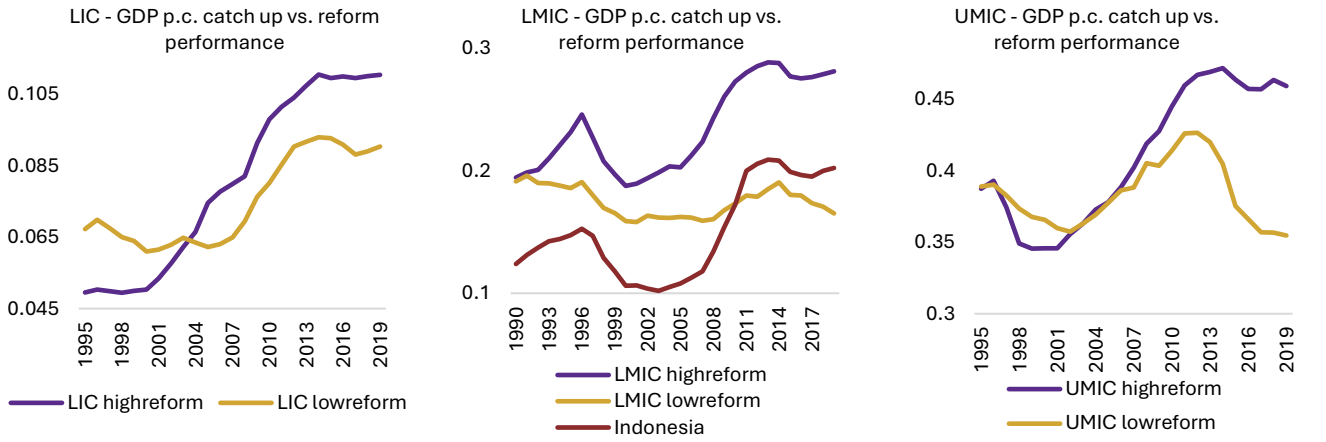
1.5 Structural reforms and growth

Cross-country and Indonesia-specific analysis demonstrates that structural reforms across these pillars are strongly linked to faster economic catch-up across income levels. This analysis is based on a new database covering over 88,000 structural reforms across 86 countries, categorized by different productivity drivers.[14] By comparing countries within each income group, dividing them into high (top third) and low (bottom third) reformers, the findings show that higher-reforming countries tend to converge to higher income levels more quickly (Figure 1.19). Indonesia has followed the growth trajectory of other high-reform countries in this group but still has significant potential for further catch-up.

Structural reforms are consistently linked to higher per capita GDP growth, primarily through productivity gains. Using cross-country data, estimates show that five years after a typical reform, GDP per capita rises by about 0.6 percent compared with a no-reform scenario (Figure 1.20). In Indonesia, reform intensity has varied significantly, exceeding 60 in some years but falling below 20 in others. The analysis suggests that increasing annual reforms from 20 to 60 could raise GDP per capita by 2.4 percent over five years, with most of the gains coming from higher productivity (Figure 1.21) rather than increased investment (Figure 1.22).

Figure 1.19

The pace of economic catch-up across emerging markets (EMs) is fastest among top reformers



Source: WB database on policy reforms, World Development Indicators, World Bank staff calculations.

14 The database was compiled using AI. It breaks the 11 areas of competitiveness into four levels, down to the specific legal instrument. It includes reforms adopted across 86 countries since1985. Of the 86 countries, 19 are LICs, nine are LMICs, 35 are UMICs, and 23 are HICs.

Figure 1.20

GDP is positively associated with reforms

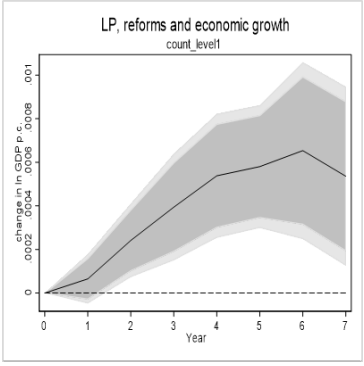


Figure 1.21

Most of the effect works through reform impact on TFP

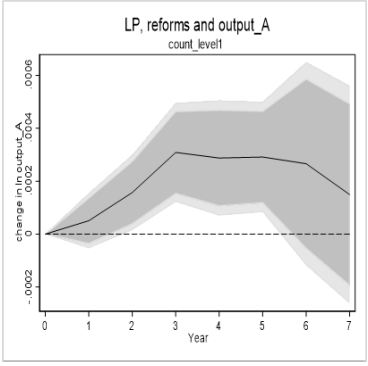
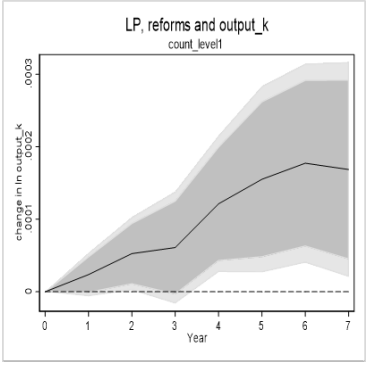


Figure 1.22

The effect of TFP is greater than capital accumulation



Source: WB database on policy reforms, World Development Indicators, World Bank staff calculations.

The pace of economic convergence also appears to be linked to the types of reforms, after controlling for income level. For LMICs, countries that have converged more rapidly tended to focus more on foundational infrastructure, compared with those that progressed more slowly (Figure 1.23). Indonesia has historically placed significant emphasis on foundational infrastructure, which supported its transition to UMIC status. However, for UMICs, countries that have converged more quickly tended to prioritize business-enabling policies to a greater extent. As Indonesia has now graduated to UMIC status, there is room to accelerate convergence through a stronger emphasis on business-enabling reforms (Figure 1.24).

Figure 1.23

For LMICs, stronger foundational reforms help with long-term growth

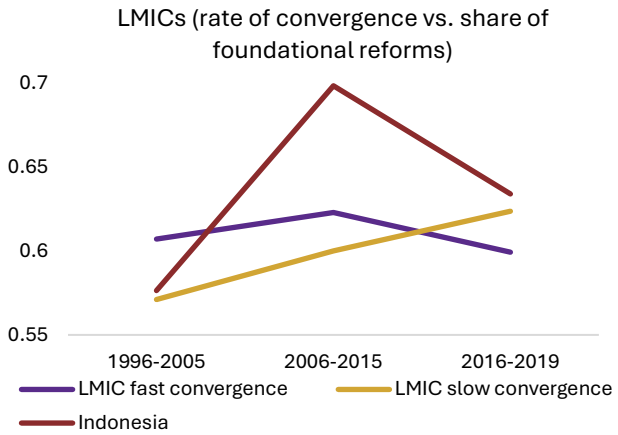
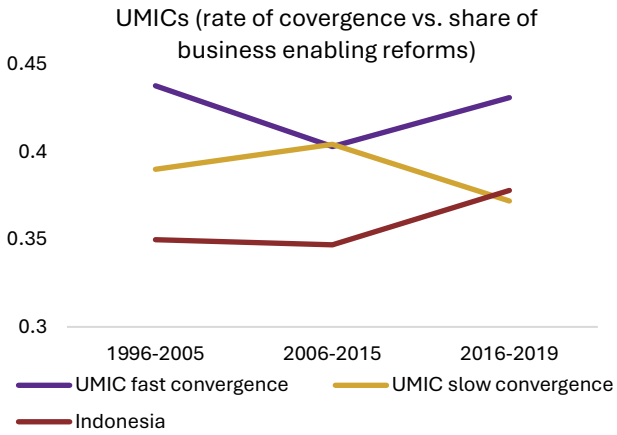


Figure 1.24

For UMICs, business-enabling policies help accelerate growth and convergence



Source: WB database on policy reforms, World Development Indicators, World Bank staff calculations.

1.6 Long-term growth prospects

What does Indonesia's growth and reform journey to date mean for its long-term economic prospects? A business-as-usual (BAU) scenario assumes that growth fundamentals and structural reforms continue at historical trends. Under the BAU scenario, growth slows from 5.3 percent in 2024 to just 3.3 percent by 2050 (Figure 1.25), falling short of the 2045 HIC status target (Figure 1.26). This decline is driven by slowing productivity growth (from 1.5 to 0.8 percent over 25 years), reduced investment efficiency, slower human capital gains, and an aging population. With moderate and ambitious reforms, Indonesia can accelerate growth to between 6.0 and 6.7 percent and achieve HIC status by 2045. The key is shifting from simply expanding physical capital and labor to using these inputs more efficiently.

Achieving 8 percent growth by 2028, as targeted by the government, will require an unprecedented surge in productivity. This scenario assumes productivity growth nearly doubling to 2.9 percent, compared with 1.5 percent in the ambitious reform scenario. Such a leap is rare—Indonesia's highest historical productivity growth was 1.8 percent in the 1970s, largely fueled by the oil boom. Sustaining 2.9 percent productivity growth would demand exceptional efficiency reforms.

Figure 1.25

Under BAU growth will slow down, while structural reforms can help accelerate growth

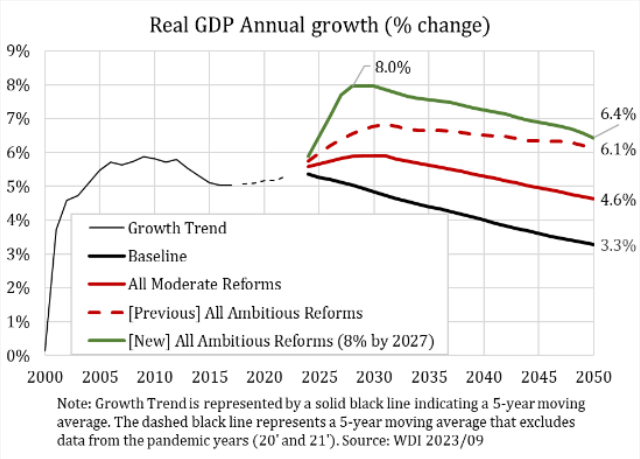
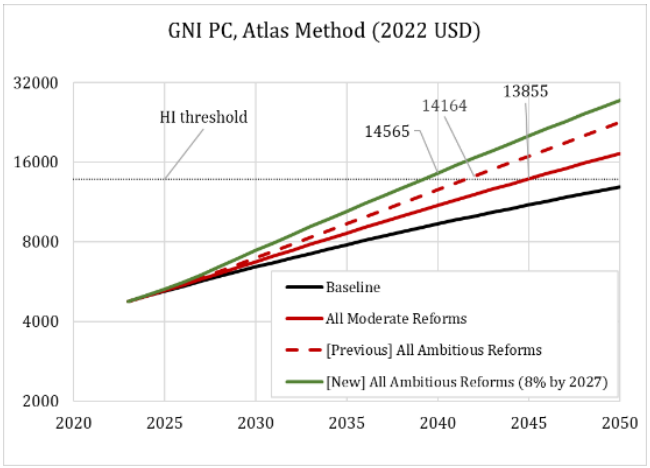


Figure 1.26

Under BAU, growth will be insufficient to achieve HIC by 2028



Sources: WB Staff calculations using WB Long-Term Growth Model

A surge in public and private investment may stimulate demand, but without corresponding improvements in productivity it would overheat the economy. Two scenarios illustrate this: (i) higher investment without faster productivity growth; and (ii) a more moderate investment increase accompanied by a doubling of productivity growth. Both assume the budget deficit stays within the "3-percent-of-GDP" rule. In the first scenario, the output gap widens to nearly 8 percent of potential GDP, pushing inflation to 9 percent by 2029 and the current account deficit to 8 percent of GDP (Figures 1.27–1.29). In contrast, the second scenario sees more moderate macroeconomic pressures, as stronger productivity growth supports a more balanced supply response, though external pressures still rise.

Figure 1.27

Boosting demand without TFP will lead to positive output gap

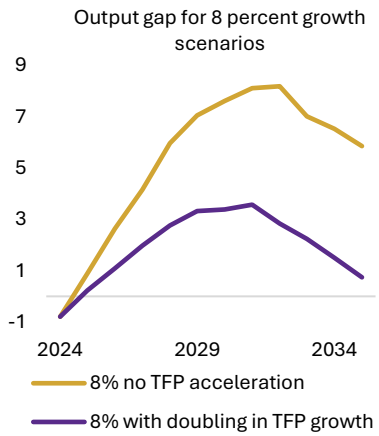


Figure 1.28

The positive output gap is likely to feed higher inflation...

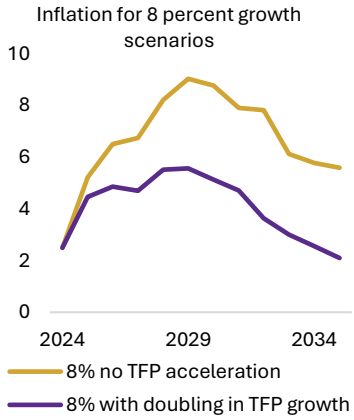
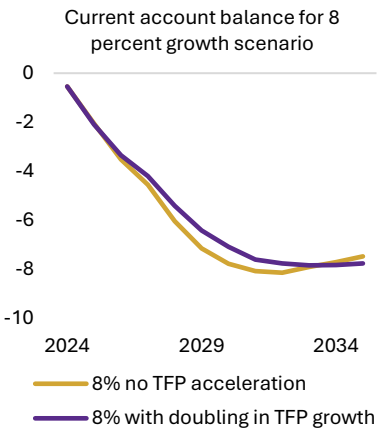


Figure 1.29

...as well as a large and growing current account deficit



Source: World Bank staff calculations based on WB MFMod.

CHAPTER 2

MICROECONOMIC FEATURES OF GROWTH AND JOBS

Indonesia's development challenge is less about premature deindustrialization and more about accelerating growth of high value and enabling services that enhance value addition in manufacturing. Manufacturing remains a critical pillar—employing 22 percent of the workforce—though it has struggled to expand medium- to high-skill industries that would accelerate productivity growth and create good job opportunities.

To overcome this, Indonesia could foster stronger competition and more efficient resource allocation in the manufacturing sector. These are constrained by the dominance of less dynamic firms and weak market contestability, particularly due to high concentration and the outsized role of large firms and SOEs. Reinvigorating creative destruction—by enabling new, innovative firms to grow and compete—will be critical.

It could also open the services sector, so it becomes a much bigger driver of economic transformation. High-value services—such as ICT, finance, logistics, and professional services—can both support manufacturing and drive export growth but have stagnated. Manufacturing competitiveness increasingly depends not just on producing goods, but on integrating high-value services that make those goods better. This can unlock new engines of growth.

Finally, weak competition has also hindered digitalization in sectors such as food processing and retail, and many firms struggle to effectively integrate digital tools. Improving digital readiness and incentivizing firm-level innovation will help close this gap and boost productivity across the economy.

2.1 Manufacturing sector overview

Though the share of Indonesia's manufacturing in GDP has started to decline, it remains an important contributor to output and jobs. Indonesia's share of manufacturing value added peaked at a lower level of income than peer countries (Figure 2.1), though at around 20 percent it remains within expected levels. Despite a slowdown in manufacturing employment generation in the early 2000s, the share of manufacturing and construction employment has expanded steadily until recently, reaching 22 percent (Figure 2.2).

Within manufacturing, however, firms in commodity processing and low-skilled labor-intensive industries have sustained the bulk of value addition and employment since 1990. Firms in medium to high global innovator industries have seen a modest expansion since 1990 in terms of value-added share, but negligible growth in employment share (Figure 2.3). Firms in the food and beverage (Box 2.1), wearing apparel, and textiles industries account for 30 percent of value added and 40 percent of employment (Figure 2.4). Among high-skill global innovator industries, only chemicals and pharmaceuticals make a notable contribution, though only 10 percent of value added and 5 percent of employment.

Figure 2.1

Indonesia's share of manufacturing value added has started to decline but remains significant

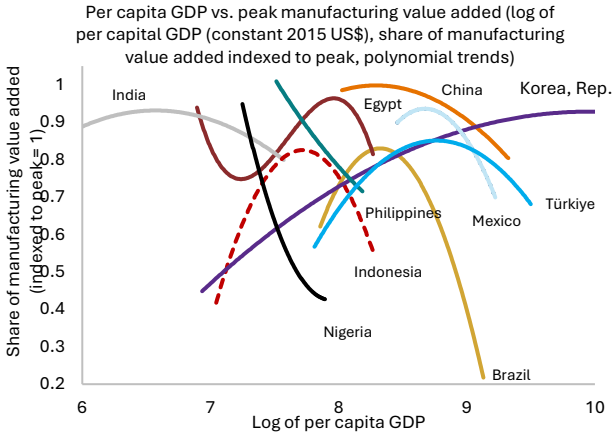
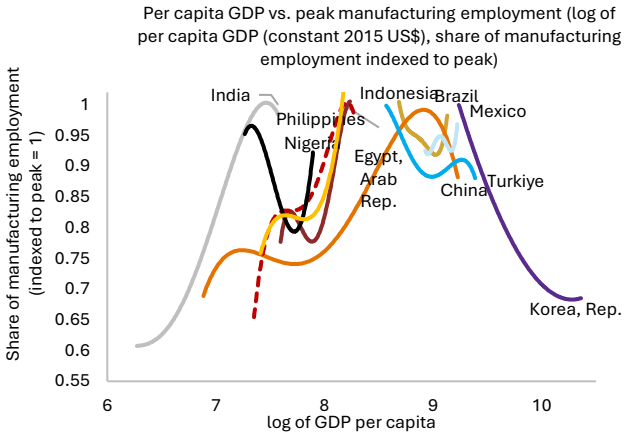


Figure 2.2

Manufacturing also remains an important employer in Indonesia



Source: World Development Indicators, compiled by World Bank staff.

Figure 2.3

Commodity processing and low-skill manufacturing capture most inputs and outputs

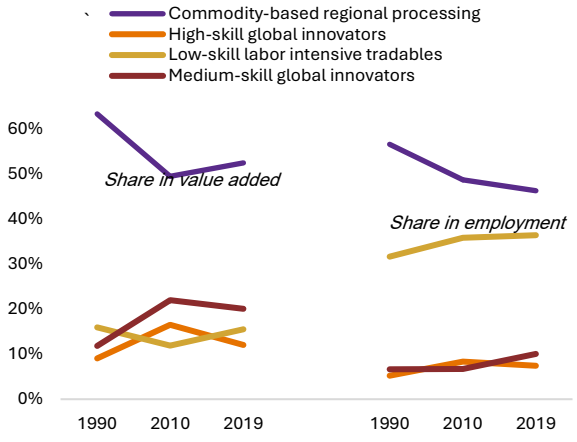
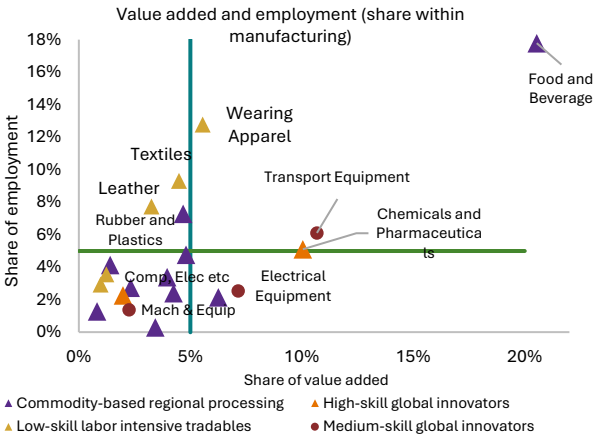


Figure 2.4

More sophisticated manufacturing has smaller shares of employment and value added



Source: WBPS Manufacturing Firm Survey, World Bank staff calculations.

Consistent with these trends, manufacturing firms in Indonesia on average have become less productive. They also tend to be less efficient than their equivalents in peer countries. Productivity levels of manufacturing firms in Indonesia peaked in the late 1980s and early 1990s (Figure 2.5), when trade and investment deregulation policies coincided with a rapid but short-lived expansion of medium- to high-skilled global innovator industries (e.g., electronics, automotive, motorcycle, machinery and equipment). But post-AFC, a commodity boom and market restrictions concentrated resources in commodity processing and low-skilled industries. As a result, both revenue and quantity-based (Figure 2.6) measures of

firms' productivity show falling efficiency.[15] This is a drag on potential output growth and makes Indonesian manufacturing firms less competitive; recent Enterprise Survey results indicate that they tend to be less productive than manufacturing firms in peer countries (Figure 2.7).

Figure 2.5

Productivity of manufacturing firms has consistently declined since the AFC

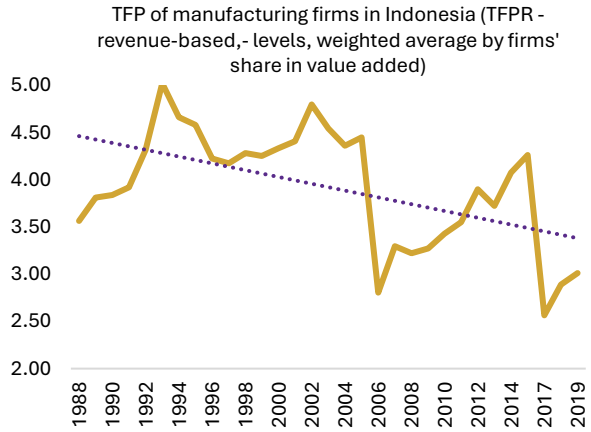
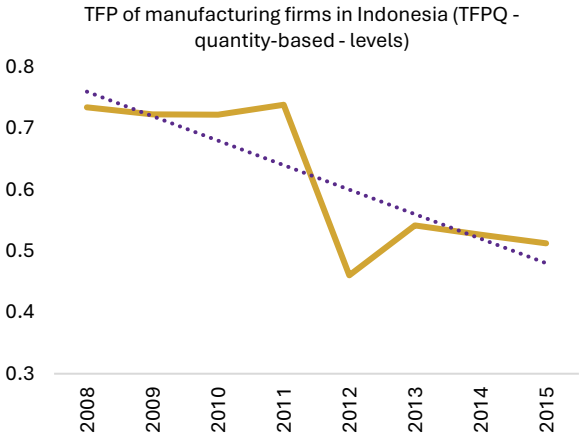


Figure 2.6

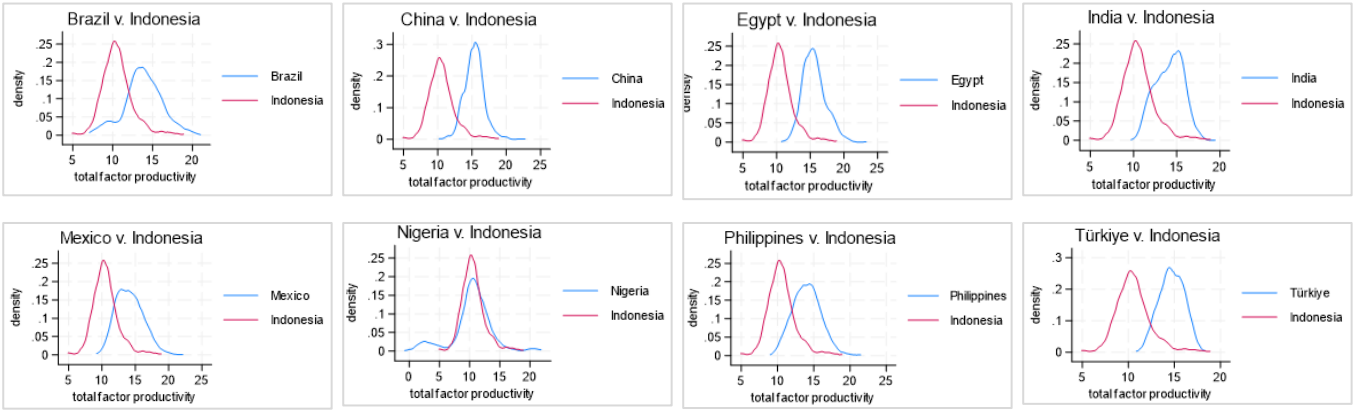
Regardless of the productivity measure, there is a clear decline in efficiency



Sources: BPS Manufacturing Firm Survey, World Bank staff calculations.

Figure 2.7

Manufacturing firms in Indonesia are on average less productive than those in peer countries



Sources: World Bank Enterprise Surveys, World Bank staff calculations.

15 TFPQ (Total Factor Productivity-Quantity) measures the physical efficiency of a firm in producing output from inputs like labor and capital, independent of prices. It is derived from production function estimates using physical output data (e.g., units produced). TFPR (Total Factor Productivity-Revenue) measures efficiency but incorporates revenue, reflecting how inputs are turned into output value considering prices. It is derived using revenue-based data (e.g., sales) and assumes price variations capture demand or market conditions. The key difference is that TFPQ focuses on physical output efficiency, while TFPR reflects revenue efficiency, blending productivity with market effects like pricing power or demand shifts.

2.2 Productivity and market dynamics in manufacturing

This decline in productivity reflects limited growth of the most productive manufacturing firms, as evidenced by three key trends. First, manufacturing productivity is driven more by productivity gains within firms, rather than reallocation of resources to the most productive firms (Figure 2.8). For example, if an industry has two firms, overall productivity will increase if the more efficient firm captures more input and market share. But if input and market share go to the less productive firm, overall productivity will fall. This is what is happening in Indonesia. Productivity levels accelerated in the early 1990s when deregulation reforms reallocated resources into more productive firms, with the situation reversing since the early 2000s (Figure 2.8). Moreover, the biggest drag on productivity from the lack of reallocation is in medium- to high-skill industries such as transport, machinery, motor vehicles, and pharma (Figure 2.9).

Figure 2.8

Productivity levels dropped sharply when reallocation forces turned negative

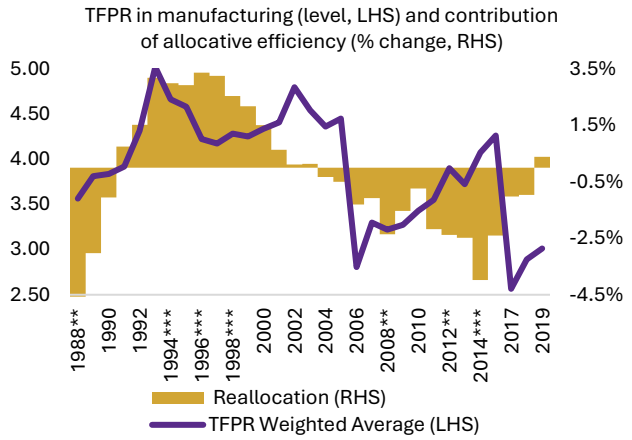
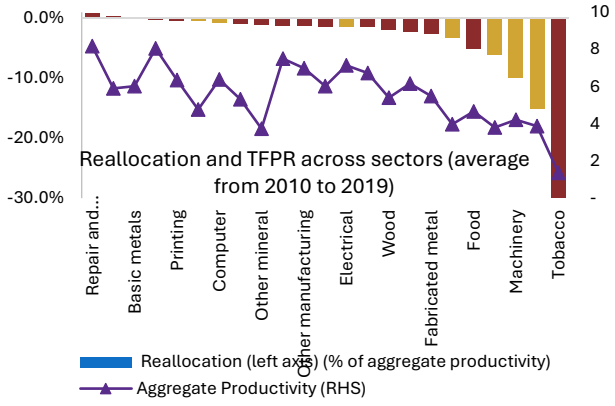


Figure 2.9

More sophisticated industries are suffering from the biggest challenges to reallocation



Sources: BPS Manufacturing Firm Survey, World Bank staff calculations.

Another way of illustrating this is how, over time, more workers concentrate in firms with lower total factor productivity (TFP). A falling, but positive, covariance between TFP and employment, as in Indonesia since the early 2000s (Figure 2.10), means that employment growth in higher TFP industries is slowing (and accelerating in lower TFP industries). By 2013, the covariance turns negative, which means that lower TFP industries now employ more labor than higher TFP industries. This is confirmed by the fact that medium- to high-skill industries face negative covariance between employment and TFP (Figure 2.11). This could of course be due to automation that leads to greater substitution of labor in more sophisticated industries, but this cannot be the dominant reason since the latter's share in value added remains low.

Figure 2.10

Growth of employment in higher productivity industries is slowing…

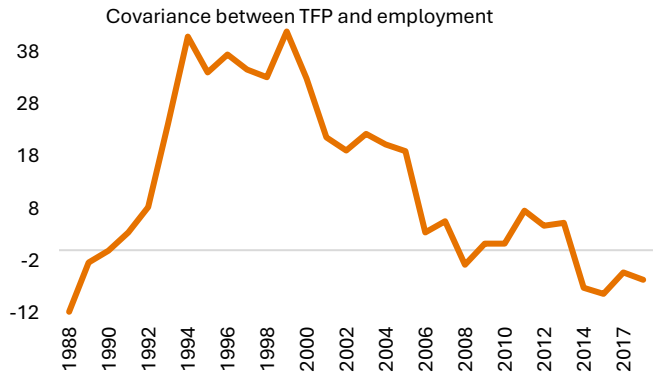
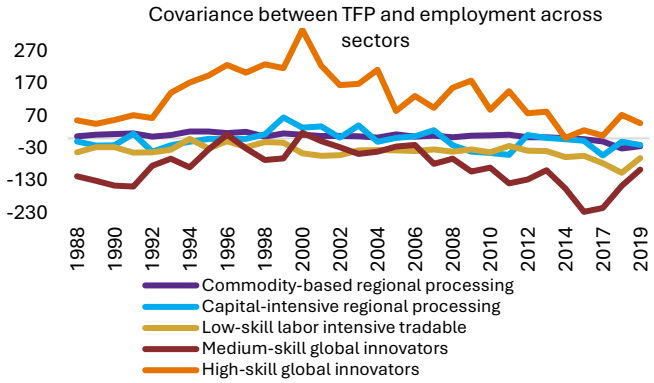


Figure 2.11

…while in medium to high-skill industries, lower productivity industries employ more labor



Sources: BPS Manufacturing Firm Survey, World Bank staff calculations.

Second, weak productivity from a lack of allocative efficiency is further dampened by limited creative destruction. In the example of the two firm-industry, if a third firm that is also high productivity enters the market, while the low productivity firm exits, overall productivity will rise. This process of outdated firms and industries being replaced by more innovative and efficient ones to boost growth is referred to as creative destruction (e.g., landlines replaced by smartphones, videos or CDs replaced by streaming services).

In Indonesia there is little evidence of creative destruction since the early 2000s. Firms' entry has played little role in boosting productivity while, surprisingly, firms' exit reduces productivity suggesting that more productive firms exit the market (Figure 2.12). This is evident in several medium- to high-skilled global innovator industries (Figure 2.13). Discussions with the private sector reveal, for example, that FDI firms, which tend to be more productive (see below), have exited Indonesia because of market constraints.

Figure 2.12

Within-firm factors drive productivity

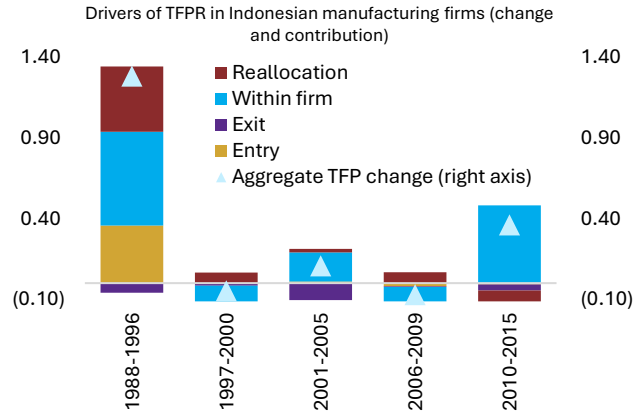
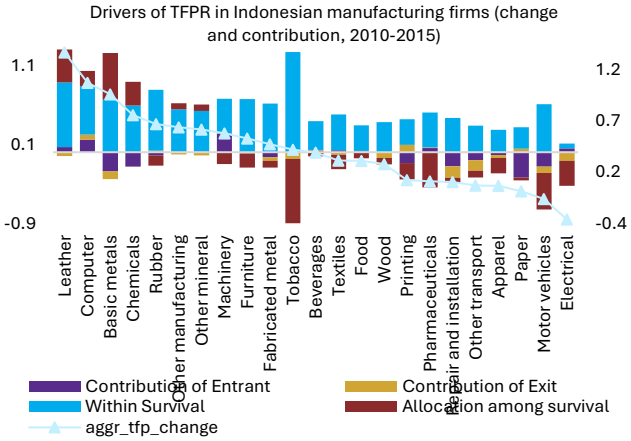


Figure 2.13

Firms' exit drags down productivity



Sources: BPS Manufacturing Firm Survey, World Bank staff calculations.

Third, firms' productivity is negatively associated with market concentration, large firms, and SOEs (Figure 2.14). The lack of allocative efficiency and creative destruction may therefore be symptoms of the dominance of large and low-productivity incumbents, including SOEs, which crowd out more productive firms. More so, because industries with more concentrated markets also tend to charge higher mark-ups (Figure 2.15) without offering better quality outputs. On the other hand, firms' productivity is positively associated with FDI and exports.

Figure 2.14

Market concentration, large firms, and SOEs are associated with lower productivity

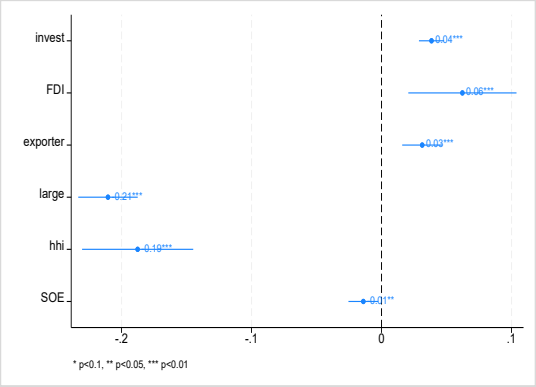
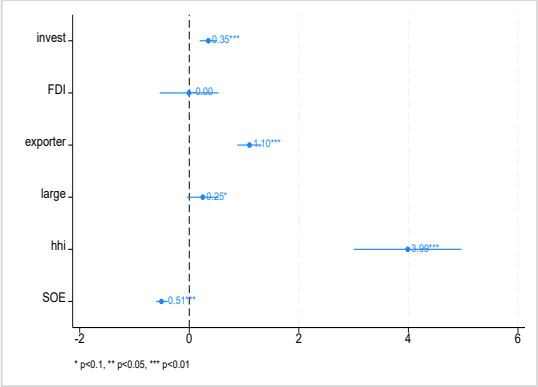


Figure 2.15

Industries with more concentrated markets also tend to charge higher mark-ups



Sources: BPS Manufacturing Firm Survey, World Bank staff calculations.

2.3 Service sector overview

The services sector is important not only for its own value added but also because of its links to other parts of the economy, especially manufacturing. The sophistication of manufacturing is affected by the quality and intensity of services sector linkages. Hiring workers for production on factory floors may be less important for value addition relative to hiring workers that can design better products, devise ways to manufacture them more efficiently, and deliver them to markets more effectively. The bulk of value added in a manufactured product comes from upstream and downstream service inputs relative to the manufacturing process itself, as discussed further in the next section.

The impact of services industries on value added within services and beyond is a function of their skill-intensity, tradability, and economic linkages. Services industries can be grouped into four categories: (i) global innovator services that are skill-intensive and support greater sophistication (e.g., IT, professional, technical and financial services); (ii) enabling services that are medium-skilled and act as critical connectors across the economy (e.g., transportation, telecommunications, support services and wholesale); (iii) social services that are mostly delivered by the public sector (e.g., health and education); and (iv) consumer services that are less skill-intensive and mostly sell to final consumers (e.g., retail, hospitality and personal services). Global innovator and enabling services are more skill-intensive, tradable, and have stronger economic linkages.

Table 2.1

Typology of services

	Skills	Tradability	Linkage
Global innovator	High	High	High
Enabling	Medium	High	High
Social	Medium	Low	Low
Consumer	Low	Low	Low

Global innovator services, however, are small in Indonesia, while enabling services are also below potential. They both exhibit high degrees of linkage across the economy (Figures 2.16–2.17). Global innovators are also skill intensive, though less so for enabling services. Finance and ICT, both global innovator services, account for nearly 25 percent of services value addition, but capture only 5 percent of services employment. Enabling services such as transportation have strong linkages but account for only 9 percent of value added and 10 percent of employment in services.

Figure 2.16

Global innovator services have strong linkages and services value addition...

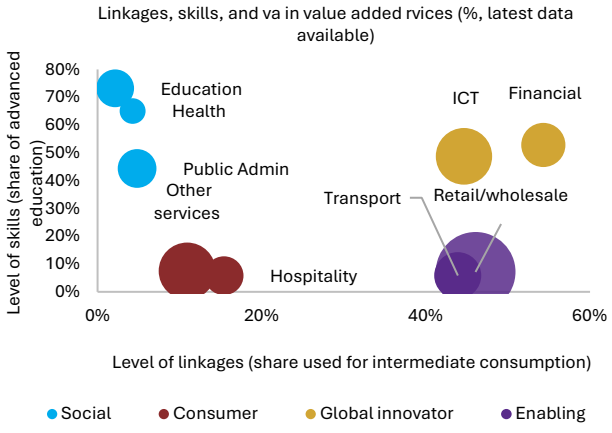
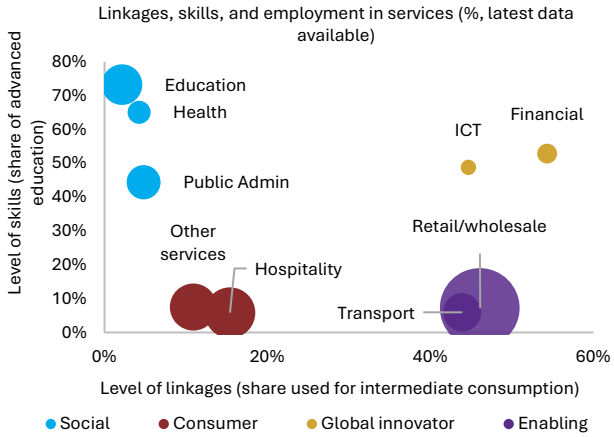


Figure 2.17

...but account for a small share of services employment



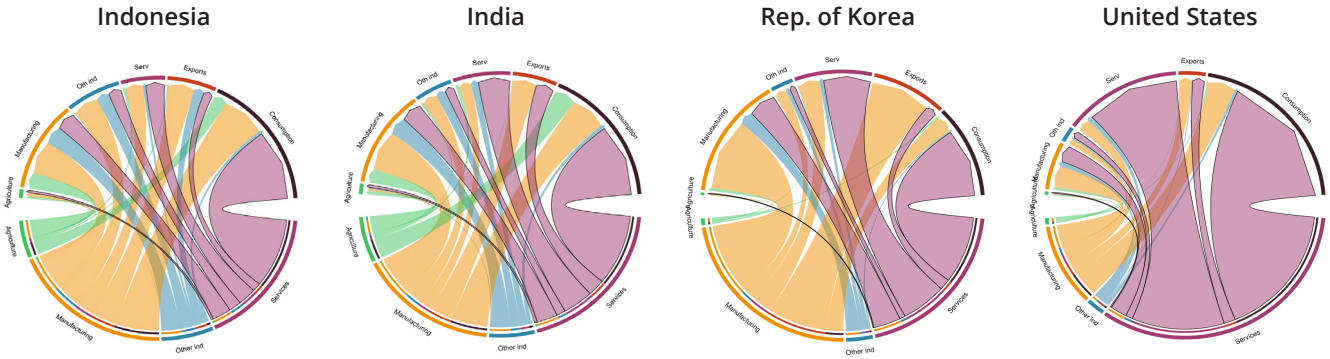
Sources: Calculations based on ILOSTAT (% of workers with advanced education) and OECD IO Tables (% of intermediate consumption, export shares).

2.4 Service sector links to manufacturing and other sectors

The small size of global innovator and enabling services limits service linkages to the broader economy. In Indonesia, over half of services are sold to final consumers, 39 percent is used as inputs by firms, and only 6.5 percent is exported (Figure 2.18). Service inputs are slightly greater in India, and much higher in the Republic of Korea and the United States. Compared with other countries, the manufacturing sector in Indonesia is less intensive in its use of services. Of all the inputs that the Indonesian manufacturing sector uses, about one-fifth (21 percent) is services. This is similar to India but lower than other benchmark countries (Figure 2.19). Global innovator services form only 3 percent of overall inputs, which is similar to benchmark countries (Figure 2.20).

Figure 2.18

Most services in Indonesia are sold to final consumers rather than providing input to other sectors



Source: World Bank staff calculations based on OECD Input-Output Tables.

Figure 2.19

One-fifth of inputs to manufacturing are services, lower than in other countries

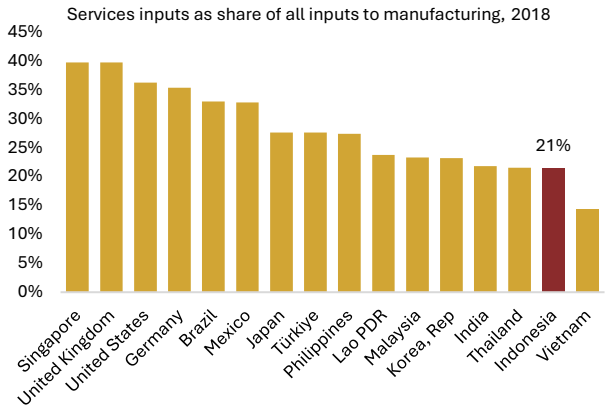
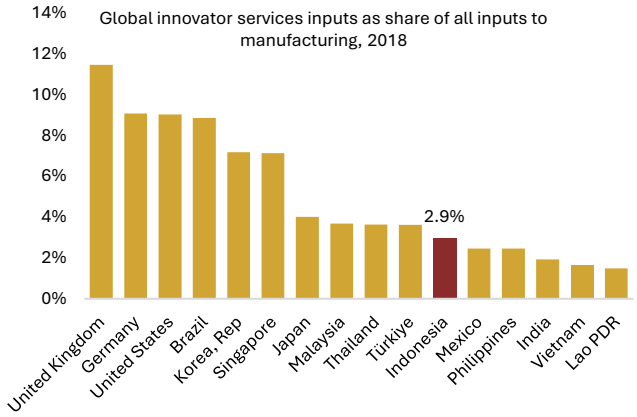


Figure 2.20

Only a small share of inputs to manufacturing are global innovator services



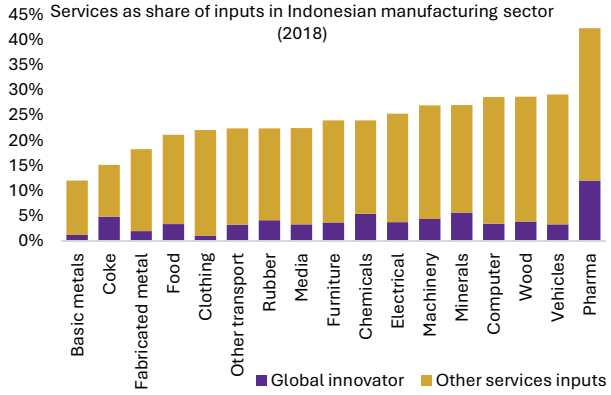
Sources: World Bank staff calculations based on OECD Input-Output tables.

Manufacturing that is knowledge-intensive or has higher value added (e.g., electrical equipment, chemicals, machines, vehicles, pharmaceuticals) relies more on services as inputs. For example, in pharmaceuticals, 12 percent of inputs are global innovator services (Figure 2.21). Thus, shifting to higher-value manufacturing will require more high-value services. Even for lower value-added manufacturing sectors, services provide crucial inputs. For example, services provide one-quarter of inputs for the Indonesian wood manufacturing and mineral processing sectors (mostly, logistical and financial services). Evidence across countries, including in Indonesia, shows that services significantly improve manufacturing productivity.[16]

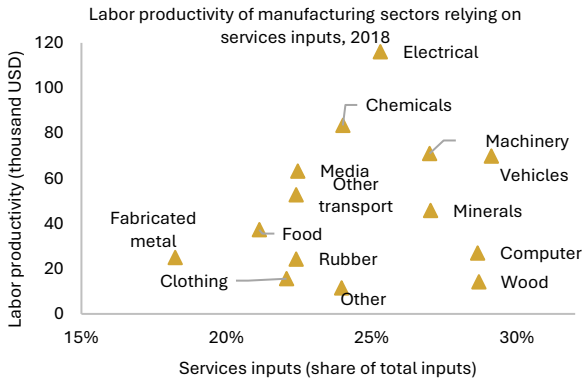
16 Evidence from Indonesia (Duggan, Rahardja, and Varela 2013) finds that relaxing restrictions on foreign direct investment in the service sector accounted for 8 percent of the observed increase in manufacturers' total factor productivity between 1997 and 2009. These gains are associated with the relaxation of foreign equity limits, screening, and prior approval requirements and with the relaxation of restrictions in transportation and utilities. In India, the liberalization in banking, insurance, telecommunications, and transportation services improved the productivity of manufacturing firms (Arnold et al. 2015). Bas (2014) finds that the liberalization of telecommunications and transportation in India resulted in a 6–8.5 percent increase in manufacturing firms' probability of exporting. Similarly, Bas and Causa (2013) find that if the regulation of financial services in China were improved to the average level observed in OECD economies, the country's manufacturing productivity would increase by 6.5 percent.

Figure 2.21

Higher value-added and skill-intensive sectors such as pharma, motor vehicles and computers tend to depend more on services as inputs



Source: World Bank staff calculations based on OECD Input-Output Tables. Note: Service input shares are calculated by calculating the share of services in total intermediate consumption of the listed manufacturing industries.



Source: World Bank staff calculations based on UNIDO INDSTAT4, OECD Input-Output Tables. Note: Labor productivity is measured by value added per worker. Not shown: pharmaceuticals (42%) and basic metals (12%).

While expanding high-value manufacturing will require more jobs in high-value services, increased services sector employment can also expand jobs in manufacturing in Indonesia. For example, bottlenecks in enabling services (e.g., poor logistics, finance, or telecom) can constrain manufacturing. As discussed in later chapters, market restrictions in both global innovator and enabling services are limiting their growth. Yet, using the latest economic census data (2006, 2016), analysis of jobs multipliers[17] estimates that for every one job created in the tradable service[18] sector in a district, there is about one additional job created in non-tradable services[19] and 3.6 jobs in manufacturing (Figure 2.22) in the same district. Similar results are found for global innovator services[20] (Figure 2.23). Such multiplier values are in line with the literature and relatively high. Hence, there is great potential for positive spillovers from supporting growth of tradable and global innovator services.

The services sector significantly contributes to export-related jobs. In Indonesia, 3.2 million services jobs are tied to direct exports, while 3.6 million arise from forward linkages with other sectors, particularly in distribution and transportation. Global innovator services, such as ICT, support 0.6 million export-related jobs, about half through indirect exports. Notably, these exports involve substantial unskilled labor contributions via backward linkages. For instance, every unit of ICT export employs five skilled and five unskilled workers directly and an additional two skilled and 17 unskilled workers in input-supplying sectors. This highlights how global innovator services, despite being skill-intensive, also create opportunities for lower-skilled workers through their supply chains.

17 Every time a local economy generates a new job through growth in one sector, additional jobs might also be created in other sectors. The literature finds that these effects operate mainly through increased demand for local goods and services (Avdiu et al. 2023; Moretti 2010). Following this literature, jobs multipliers can be calculated for Indonesia at the district-level, using the latest economic census rounds (2016, 2006) and applying a Bartik instrumental variable for causal identification.

18 Tradable services are transportation and storage, ICT and professional services.

19 Non-tradable services are wholesale and retail, accommodation and food, finance and education.

20 Global innovator services are ICT, finance and professional services.

Figure 2.22

Every one job in *tradable services* enables more jobs in other sectors

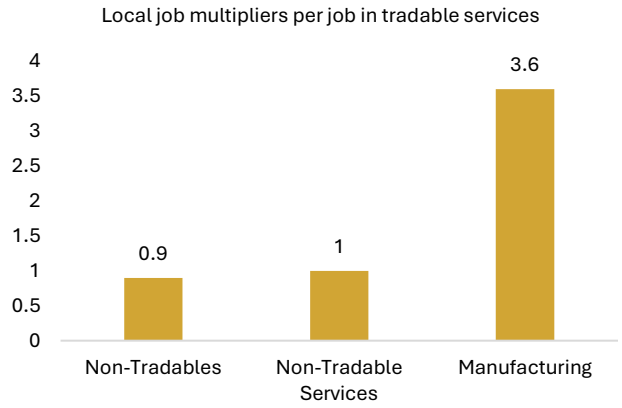
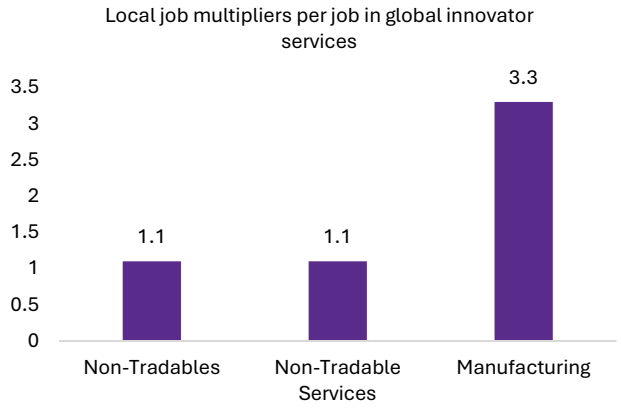


Figure 2.23

Every one job in *global innovator* services enables more jobs in other sectors



Sources: World Bank staff calculations using the Indonesian Census, 2016, 2006. Note: Tradable services are transportation and storage, ICT and professional services. Non-tradable services are wholesale and retail, accommodation and food, finance and education. Non-tradables are non-tradable services and construction.

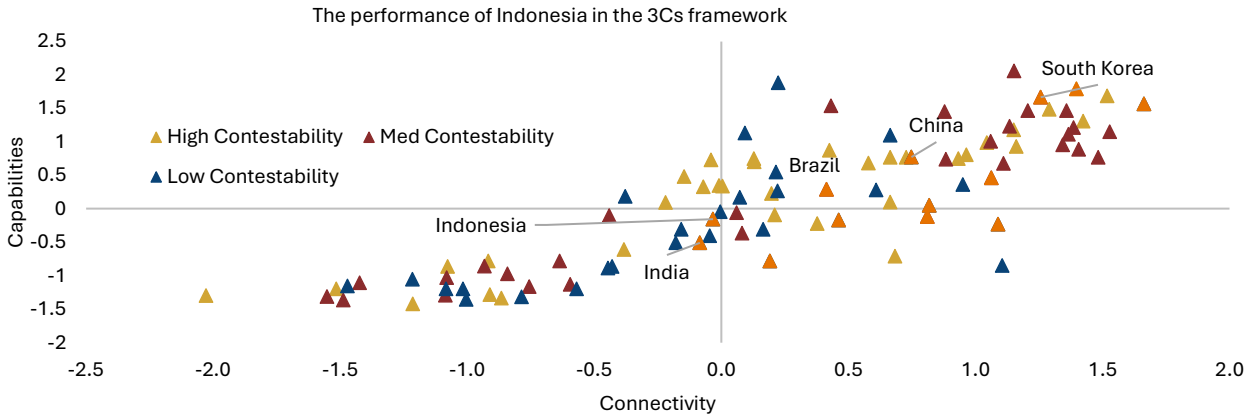
2.5 Contestability, connectivity, and capabilities in the services sector

The expansion of global innovator and enabling services will be influenced by drivers of contestability, connectivity, and capabilities. The manufacturing and other sectors can draw on inputs from either traditional business-enabling services, such as transportation and distribution, or global innovator services such as ICT. Physical and virtual (digital) connectivity is a pre-requisite for this. Second, the benefits of services inputs into downstream manufacturing activity depends on the productivity of the services sector. This places a premium on contestability because productivity benefits from greater competition in services can have benefits throughout the value chain, as discussed in later chapters.

There is considerable scope for Indonesia to improve on the drivers of contestability, connectivity, and capabilities, with particular focus on contestability (Figure 2.24). Globally, Indonesia's performance on connectivity and capabilities approximates that of the median. The gap with respect to capabilities is larger compared with high-income peers such as the Rep. of Korea and Singapore, while its performance is not too different from other comparator countries, including Brazil, Thailand, Viet Nam, Malaysia, and India. The gap with respect to connectivity is starker; Indonesia ranks below all comparator countries. On contestability, Indonesia is placed in the lowest tercile of countries in a global sample, but so too are its comparators such as Malaysia, Thailand, and Viet Nam.

Figure 2.24

Scope for Indonesia to improve contestability, connectivity, and contestability of services



Source: World Bank staff calculations based on Borchert, Gootiiz, and Mattoo 2012; International Telecommunications Union's ICT Indicators Database; and World Development Indicators. Country data are for the 2018–2022 taking latest available year. Note: Each of the 3Cs is described by a summary measure that aggregates relevant indicators. "Contestability" consists of average STRI score excluding construction. "Capabilities" comprises information and communication technology (ICT) skill use for standard ICT skills (This measure is based on the average percentage of 4 indicators, which include Using basic arithmetic formula in a spreadsheet, Connecting and installing new devices, Finding, downloading, installing and configuring software and creating electronic presentations with presentation software (in some cases only two of the indicators are present)), tertiary school enrollment rates. "Connectivity" combines the dimensions of logistics performance index score, and percentage of individuals using the internet. The "capabilities" and "connectedness" indexes based on their mean z-score value between the two indicators. For "Contestability" They are categorized as high, medium, or low in contestability based on partitioning the z-scores from the STRI into terciles.

2.6 Digital technology adoption and its links to market dynamics and services

Limited market contestability is holding back technology adoption in Indonesia's manufacturing and services sectors. Evidence from the 2023 Firm-level Adoption of Technologies (FAT) survey shows that firms see competition as the main motivation for adopting new technologies, followed by cost reduction (Figure 2.25). Both ends of the market power spectrum face disincentives. Highly dominant firms lack pressure to innovate, while smaller firms are discouraged by limited ability to expand market share. A regression of firms' relative technology sophistication on their relative price markups reveals an inverted U-shaped relationship (Figure 2.26). Firms with very low or very high market power adopt less sophisticated technology. The highest adoption occurs among firms with moderate market power—specifically, those with markups up to about 5 percent above the sector average. Beyond this point, adoption declines, suggesting that excessive market power undermines innovation incentives.

Figure 2.25

Competition is the top driver of technology adoption for firms in Indonesia

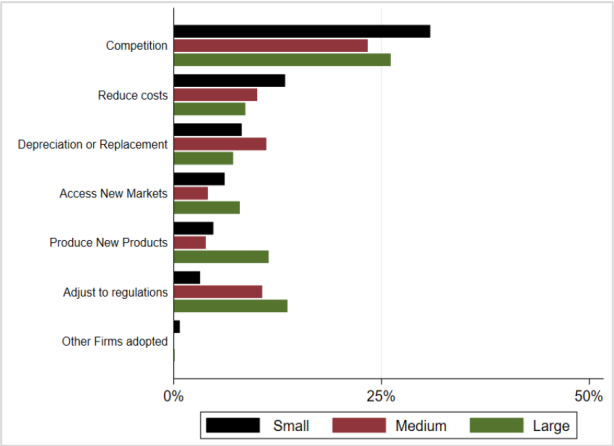
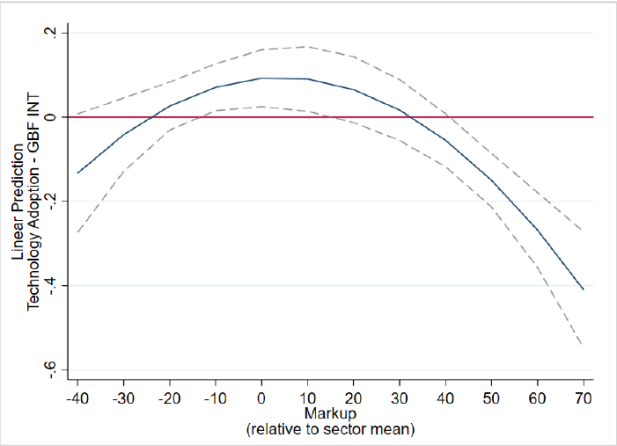


Figure 2.26

Reduced competition disincentivizes technology adoption among Indonesian firms



Sources: Indonesia WB FAT Survey, World Bank staff calculations. Note: Figure plots the linear prediction from linear regressions of firms' technology index (left hand chart) and innovation efforts (right hand chart) relative to the sectors' mean on firms' markup relative to the sector's mean and its quadratic term. Results are weighted using sampling weights.

Four features of technology adoption in Indonesia relate closely to weak market dynamics in manufacturing and a lack of sophisticated service inputs. First, the average firm in Indonesia is less technologically advanced than peers in comparator countries. The technological frontier—defined as a score of 3.5 on the General Business Function (GBF) technology index—reflects firms using advanced technologies across all business functions. In contrast, average scores for Indonesian manufacturing and services firms are below 2 (Figures 2.27 and 2.28), indicating reliance on handwritten processes and basic software. Among the top 20 percent of firms, manufacturing scores are closer to 3, while services remain lower, around 2.5—highlighting a larger gap in services sector sophistication relative to the Rep. of Korea and the frontier. Indonesian firms also lag behind those in Brazil, India, and Viet Nam.

Second, large firms across key sectors remain far from the technological frontier. Food processing and apparel—two of Indonesia's largest manufacturing industries—together account for over one-quarter of manufacturing value added and nearly one-third of employment. Yet large firms in these sectors are furthest from the technology frontier (Figure 2.29). Food processing (Box 2) has persistently below-average productivity and, along with apparel, experienced negative productivity growth between 2010 and 2015. While there is no clear evidence of market concentration in food processing, the apparel sector shows above-average concentration, faces strong import competition and has seen substantial job losses.21 In services, large firms in wholesale and retail trade and land

21 According to the Ministry of Manpower, job losses in textiles and apparel industries due to employment termination more than doubled from 25,114 in 2022 to 64,855 in 2023. Most job losses were concentrated in West and Central Java and Banten, provinces known for their significant contribution to Indonesia's manufacturing base. The manufacturing sector in Indonesia has been particularly susceptible to worker layoffs. In 2018 and 2019, 44 percent and 47 percent of workers reporting employment termination were in manufacturing (SAKERNAS).

Figure 2.27

Manufacturing firms' tech adoption lower than most peers

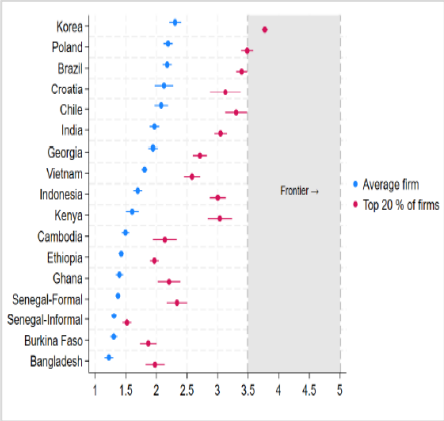
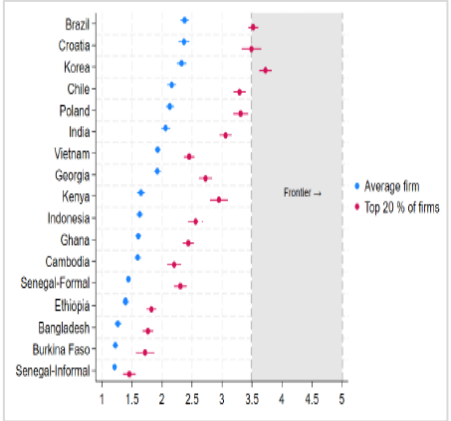


Figure 2.28

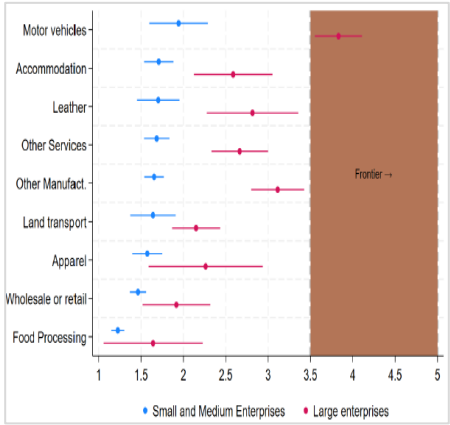
Firms in services even further from the tech frontier



Source: Indonesia WB FAT Survey, World Bank staff calculations. Note: The figure plots for each country the average level of technology sophistication of firms in the top 20% of each country. Technology frontier refers to firms with an index equal to or higher than 3.5. Results are based on ordinary least squares (OLS) estimation using sampling weights and controlling for sector, country, firm size, and age groups. GBF = general business function; INT = intensive margin; SBF = sector-specific business function. Manufacturing includes firms in food processing, apparel, motor vehicles, pharmaceuticals, leather, and other manufacturing. Services relate to firms in land transport, health services, accommodation, and other services. Horizontal bars indicate 95% confidence intervals. All estimates use sampling weights.

Figure 2.29

Only motor vehicle firms are at tech frontier



Note: The figure plots the average level of technology sophistication for each sector for general business functions (GBF) at the intensive margin. Results are based on ordinary least squares (OLS) estimation using sampling weights and controlling for firms' size, region, and age groups.

Third, the technology gap between firms in Indonesia and those in the Rep. of Korea is widest among the most sophisticated firms. A comparison of the technology sophistication distribution shows that at the lower end, Indonesian firms lag Korean firms by about 0.5 points on the technology index. However, among the most advanced firms, the gap exceeds 1 point. This divergence is especially pronounced in the services sector, while in manufacturing the gap narrows slightly around the 90th percentile, but still remains substantial.

Fourth, many Indonesian firms adopt digital technologies (extensive margin) but struggle to fully use them (intensive margin), leading to incomplete digitalization. This common challenge in developing countries often stems from limited technical capacity and weak after-sales support. For example, among firms adopting digital tools for business administration, nearly 80 percent in Indonesia face incomplete digitalization, far higher than in the Rep. of Korea (13 percent) or Viet Nam (30 percent).

Box 2.1

Agribusiness for growth and good jobs

Indonesia's agribusiness sector is a critical pillar of the national economy, contributing 12.6 percent to GDP from primary production and an additional 10.9 percent from downstream activities such as agro-processing and food services in 2024. The sector employs over 60 million people—40.7 million in primary production (28.2 percent of total employment) and 19 million in downstream roles. It is a net exporter, with crop and livestock exports totaling US$48.2 billion and a trade surplus of US$21.4 billion. However, the sector's potential for inclusive growth and job transformation remains underutilized. Exports are heavily concentrated in low value-added commodities, with palm oil accounting for nearly half of export value, and the agro-processing industry is underdeveloped relative to Indonesia's demographic and market potential.

A structural dualism persists: over 27 million mostly informal MSMEs coexist with a few large, vertically integrated firms that dominate exports and investment. Subsector performance is uneven—food and beverage processing (6.79 percent average annual growth), food services (5.24 percent p.a.), and fisheries (5.24 percent p.a.) have grown robustly since 2010, while growth in the food crops sector has lagged (0.93 percent p.a.). Poverty is disproportionately high among agricultural households (12.6 vs. 9.4 percent national average), and agricultural labor productivity lags behind regional and OECD peers. Key constraints include policy distortions favoring staple crops, particularly rice; small and fragmented landholdings; limited technology adoption and mechanization; limited access to finance; and inadequate rural infrastructure, especially in eastern Indonesia. Environmental degradation and climate risks further threaten sustainability. Yet, rapid urbanization and a growing middle class are driving demand for higher-value, safer, and more sustainable foods.

To unlock its agribusiness potential and boost productivity, competitiveness, and incomes, Indonesia must shift from resource-intensive practices to a knowledge- and innovation-driven model. This requires redirecting public support from input subsidies and price controls toward research, extension services, and rural infrastructure. Indonesia should promote technology adoption, mechanization, and digital solutions; bridge rural infrastructure gaps; improve MSME access to finance; and attract private investment. Strengthening food safety standards, advancing climate-smart agriculture, and securing land rights are also essential. Clear institutional mandates and stronger inter-agency coordination are critical for effective, inclusive, and market-oriented agrifood policies.

Source: World Bank staff.

CHAPTER 3

3. LARGE FIRMS AND THE COMPETITIVENESS OF THE BUSINESS ENVIRONMENT

Indonesia's largest firms and conglomerates have historically played a central role in driving growth and creating good jobs. As the economy evolves, ensuring that these firms continue to drive inclusive and dynamic growth requires strengthening market contestability and reducing barriers to entry.

Today, some large firms continue to expand through market dominance rather than productivity gains, limiting space for new entrants and innovation. Horizontal and vertical integration within conglomerates can sometimes result in closed networks, particularly in services, reducing opportunities for broader market participation and global competitiveness.

Many leading firms remain concentrated in traditional sectors, and while they have been engines of past growth, limited turnover in the firms' landscape has constrained creative destruction, reducing the emergence of new, high-productivity firms and technologies. These patterns may contribute to wealth concentration and policy influence.

Business-enabling reforms that promote a more efficient and predictable business environment, as well as greater competition, can unlock new drivers of growth. Streamlining licensing, improving regulatory coherence, and strengthening independent oversight would help open markets and ensure fairer access to opportunities.

Indonesia's competition authority (KPPU) can be further empowered by clarifying legal mandates, enhancing enforcement tools, and embedding competition principles more firmly in policymaking, creating a more dynamic, innovation-friendly business environment.

3.1 Characteristics of large firms

Large firms in Indonesia exhibit six distinct characteristics. First, firms in manufacturing and services are smaller on average (by sales volume) than in nearly all benchmark countries, except Nigeria (Figures 3.1 and 3.2). Second, Indonesia has fewer medium and large firms compared with benchmarks. Third, the few large firms dominate sales, capturing a much higher share of total sales than in benchmark countries (Figure 3.3). The top 5 percent of firms have consistently dominated the market (as measured by sales) in the past 31 years (Figure 3.4). This is not a problem if firms are growing large through productivity gains that have strong multiplier effects across the economy. But, as discussed below, this has not been the case in Indonesia.

Figure 3.1

Manufacturing firms in Indonesia are smaller in size than in other economies

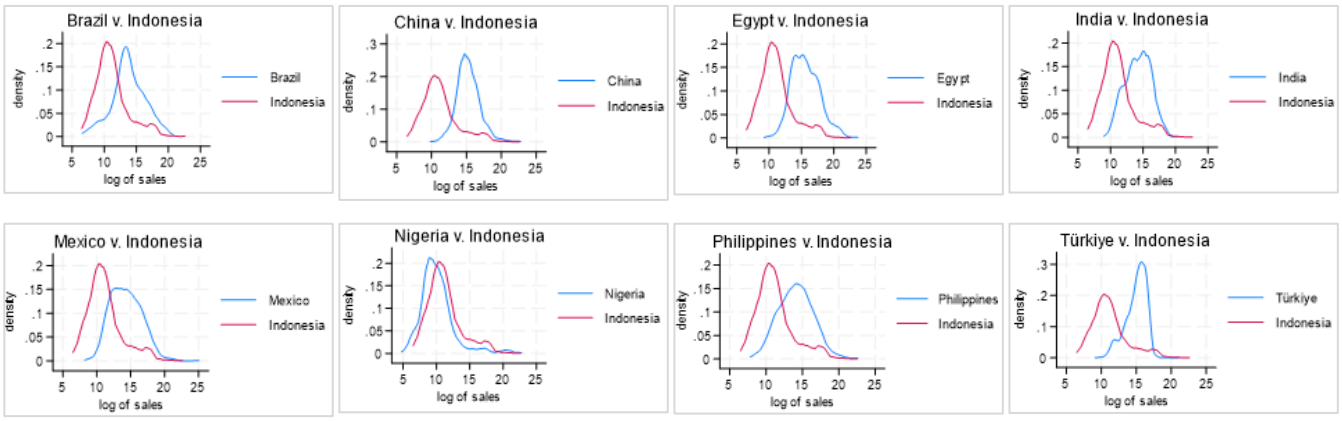
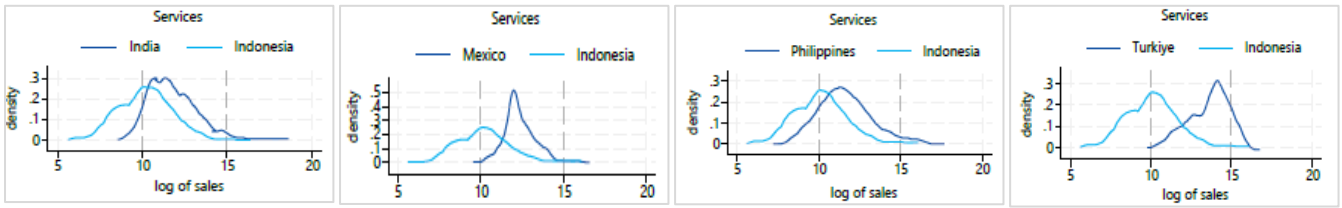


Figure 3.2

A similar pattern emerges when looking at firms in the services sector



Sources: WB Enterprise Surveys (latest years), World Bank staff calculations.

Figure 3.3

A smaller share of large firms controls a greater share of the total revenue compared with peers

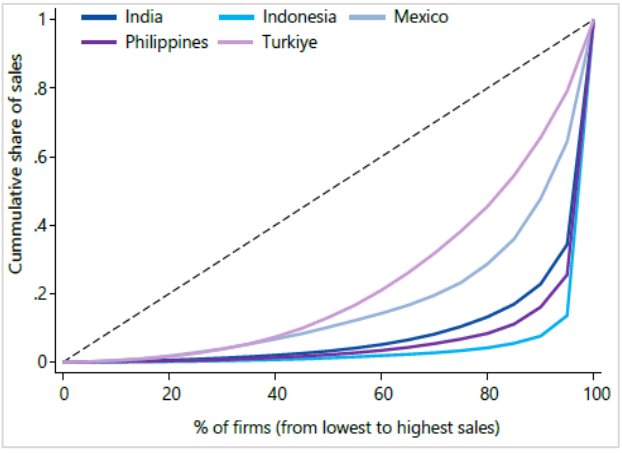
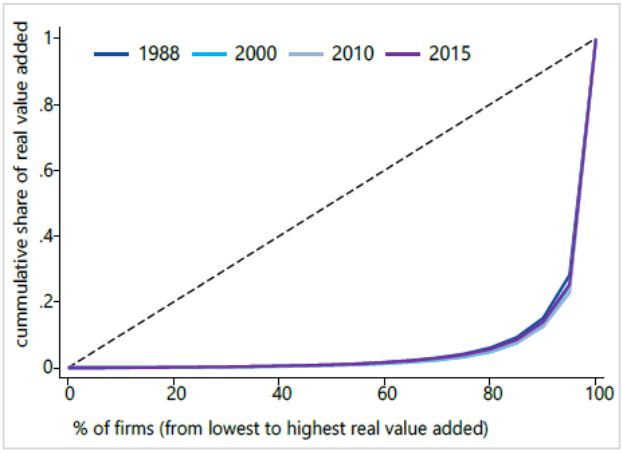


Figure 3.4

The top 5 percent of large firms have dominated sales in the past 31 years



Sources: WB Enterprise Surveys.

Fourth, the largest manufacturing firms grow the fastest, while medium firms grow the least. Labor input increases most rapidly in firms with over 1,000 employees (Figure 3.5), and the probability of advancing to a higher size category rises with firms' size (Figure 3.6). Yet, counterintuitively, and this is the fifth feature, the largest manufacturing firms are the least productive (Figure 3.7), contrasting with global norms where larger firms are typically more innovative and competitive. This lack of competition is exacerbated by the sixth feature: fewer large Indonesian firms are competing in export markets over time (Figure 3.8).

Figure 3.5

Labor input growing most rapidly in largest manufacturing firms

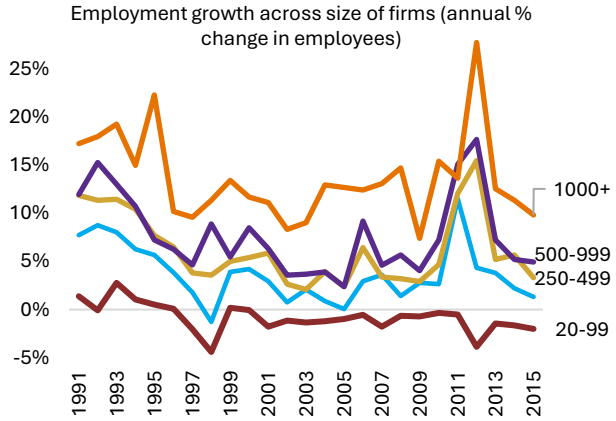
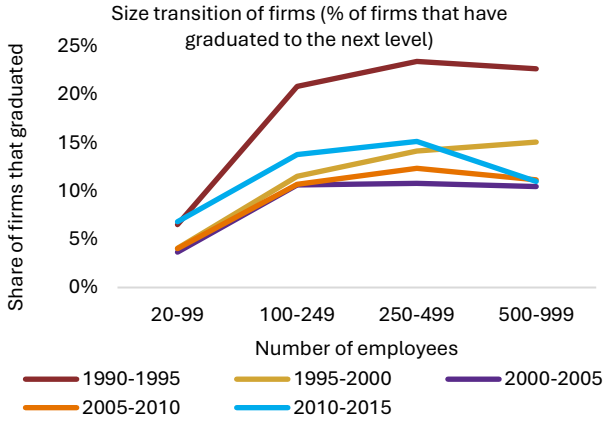


Figure 3.6

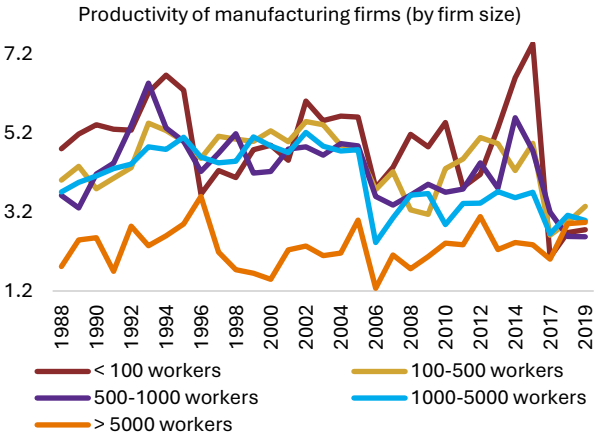
The probability of advancing to a higher size category rises with firms' size



Source: BPS Manufacturing Firm Survey, World Bank staff calculations.

Figure 3.7

Labor input growing most rapidly in largest manufacturing firms



Source: BPS Manufacturing Firm Survey, World Bank staff calculations.

Figure 3.8

The probability of advancing to a higher size category rises with firms' size



Source: WB Enterprise Survey (2023), World Bank staff calculations.

The challenge therefore is to address a "missing large" that can bridge the "missing middle" and foster a more dynamic economy driven by productivity growth. The largest and least productive firms are therefore coming to dominate markets. This concentrates inputs (labor, investment) and outputs (sales) in a few firms, not through higher productivity but market dominance and lack of competition. The result is a feedback loop that stunts growth of Indonesia's firms and markets. The solution is a larger, more balanced ecosystem, with more medium and large firms creating positive spillovers for smaller firms.

3.2 Evolution of listed firms and selected conglomerates

An analysis of listed companies and key conglomerates reveals distinct patterns in sectoral growth and dynamism of large firms. Listed manufacturing companies in commodity and capital-intensive processing sectors have dominated, accounting for an average of 75 percent of sales since 2006, compared with just 20 percent for medium- to high-skill global innovators (Figure 3.9). In the services sector, global innovator services have contributed only one-third of sales (Figure 3.10). This reflects limited expansion of listed companies into more modern, high value-added markets.

Figure 3.9

Listed manufacturing firms are mostly in commodity and capital-intensive processing

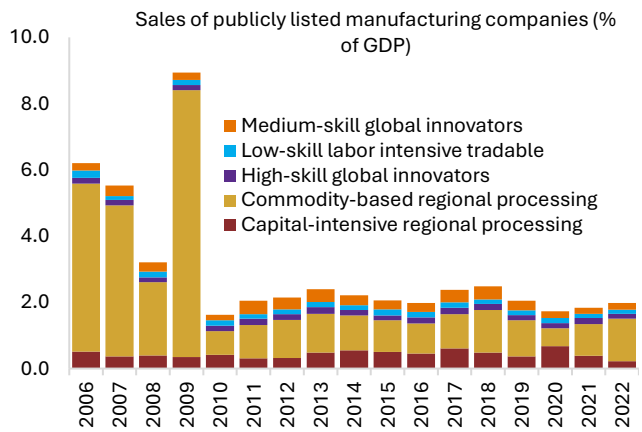
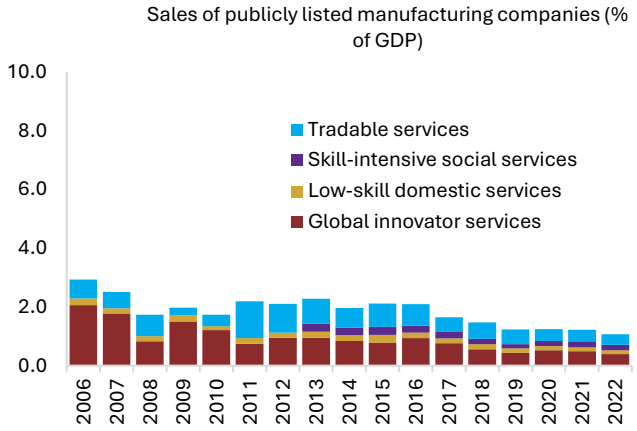


Figure 3.10

Global innovator services accounted for one-third of services among listed companies



Source: TICMI PT Indonesian Capital Market Electronic Library, World Bank staff calculations

For publicly listed firms, sales in modern manufacturing and services are not only small but also highly concentrated among few players (Figures 3.11-3.12). While this could partly reflect economies of scale due to global competition, as discussed in Section 3.1, these firms are not necessarily the most productive or export-oriented. Market concentration may be expected in traditional industries, but its presence in modern sectors risks stifling productivity growth and market expansion where they are most needed. These risks are heightened if concentration results from a lack of competition and barriers to entry.

Figure 3.11

Higher-skilled manufacturing displays greater sales concentration for publicly listed firms

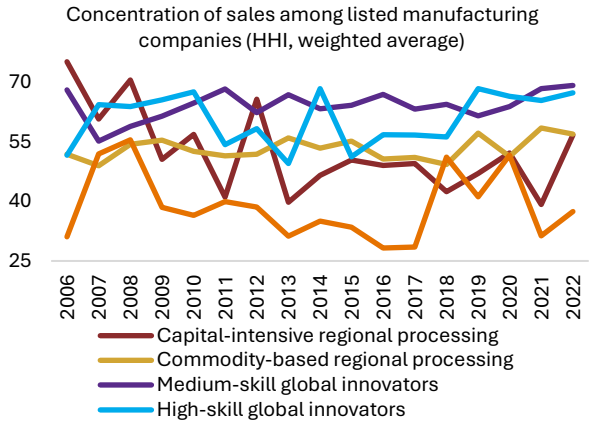
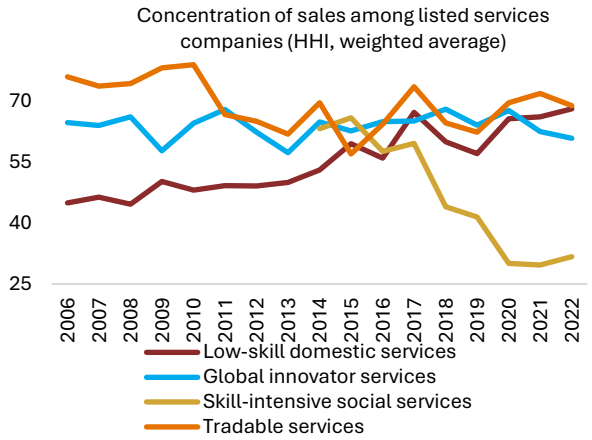


Figure 3.12

The same applies for higher-skilled services industries

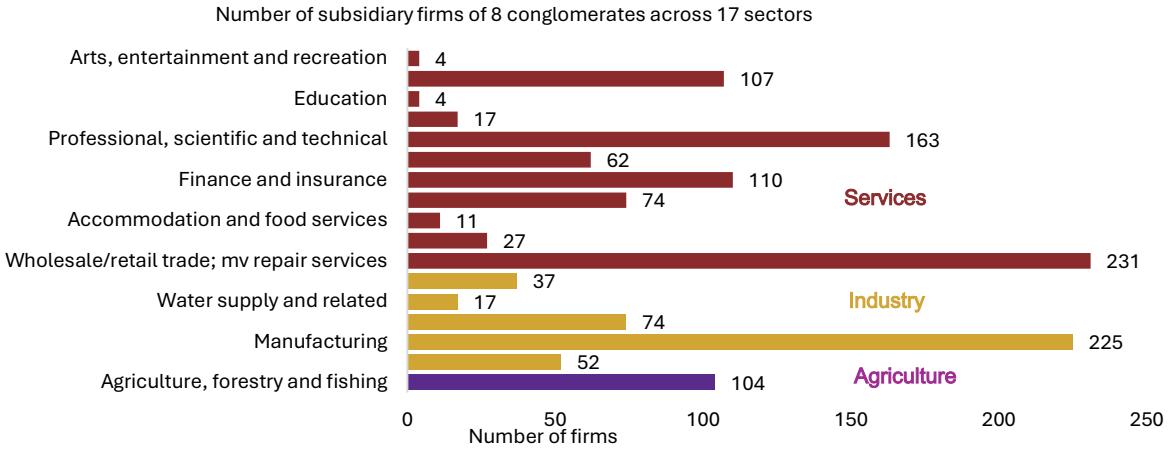


Source: TICMI PT Indonesian Capital Market Electronic Library, World Bank staff calculations.

These trends are reflective of how large Indonesian conglomerates and their subsidiaries have expanded over time. An analysis of nine conglomerates, established between 30 and 70 years ago, shows that these businesses not only dominate their core sectors but also play significant roles in the industries that they have diversified into. Collectively, they have 77 publicly listed subsidiaries, accounting for 8 percent of listed firms, yet contributing 30 percent of sales and 25 percent of assets. In addition to their listed subsidiaries, these conglomerates are estimated to have 1,250 non-listed subsidiaries (Figure 3.13). Together, their 1,330 subsidiaries demonstrate both horizontal expansion across sectors and vertical integration within sectors.

Figure 3.13

Some of the largest enterprises are both vertically and horizontally integrated with many subsidiaries



Source: PT UBS Securitas Indonesia (Cross-Connections), review of company reports, World Bank staff compilation.

Vertically and horizontally integrated enterprises have increasingly expanded into enabling services and global innovator services, presenting a mixed blessing. On the one hand, the scale of conglomerates' operations can enhance the overall supply of these services if they are made accessible to the broader market. On the other hand, challenges arise when these services are primarily confined to servicing their own subsidiaries or are offered to external businesses at high markups.

Indonesia's mega firms have a small presence on global markets relative to the size of the economy. Indonesia has only eight firms on the Forbes Global 2000 list of the world's largest publicly traded companies. Of these eight firms, four are banks, five are SOEs, and none ranks within the top 300. Among benchmark countries, most emerging markets have a limited global presence relative to their economic size, but the gap is particularly pronounced for Indonesia. By contrast, Chinese, Indian, and, to some extent, Philippine and Brazilian firms, demonstrate a global footprint more aligned with their economic scale. Furthermore, large Indonesian firms lack sectoral diversity compared with peers, with banks dominating; however, Indonesia's banking sector remains very small relative to benchmarks (see next chapter).

3.3 Leading industrialists behind Indonesia's mega firms

Behind the growth of Indonesia's mega firms are prominent industrialists who significantly influence dynamism in industry and services. Building on Freund (2014),[22] the number of billionaires per million people in Indonesia has expanded rapidly over the past decade (Figure 3.14). This expansion is not unusual in high-growth economies. In open markets that encourage the adoption of knowledge, skills, technology, and higher productivity, the number of billionaires per million people will grow (e.g., Rep. of Korea).

Indonesia's leading industrialists and billionaires exhibit four notable features that reflect broader manufacturing and services sector dynamics. First, Indonesia's billionaires per million population have increased in the past decade but remain below most benchmark countries after controlling for per capita GDP (Figure 3.14). Second, despite fewer billionaires per million population, their assets as a share of GDP have surpassed most benchmark countries, despite a major correction after the AFC (Figure 3.15). Third, over half of billionaires' net wealth in Indonesia comes from traditional, lower-value-added sectors such as natural resources and consumer tradables. This contrasts with other countries, where billionaires' wealth is more prominently tied to new technology, manufacturing, and financial services (Figure 3.16). Fourth, though the increase in billionaires has seen growth in young firms (less than 30 years old), over 50 percent of billionaires' firms are old incumbents—unlike several peer countries, where over 50 percent of billionaires' firms are less than 30 years old (Figure 3.17).

22 Caroline Freund & Sarah Oliver, 2016. "Rich People Poor Countries: The Rise of Emerging-Market Tycoons and their Mega Firms," Peterson Institute Press

Figure 3.14

Rapid increase yet fewer billionaires per million population in Indonesia than peers

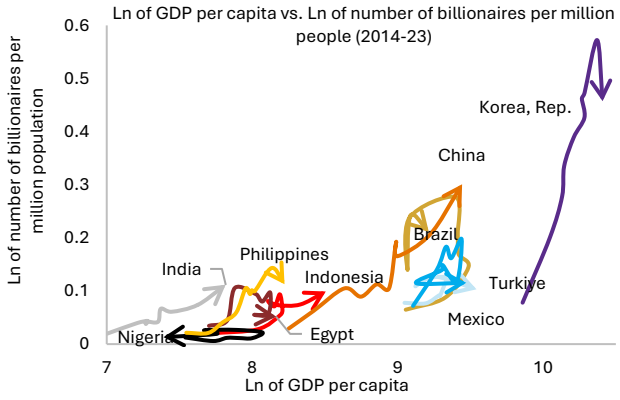


Figure 3.15

But fewer billionaires per million have surpassed assets as a share of GDP compared with peers

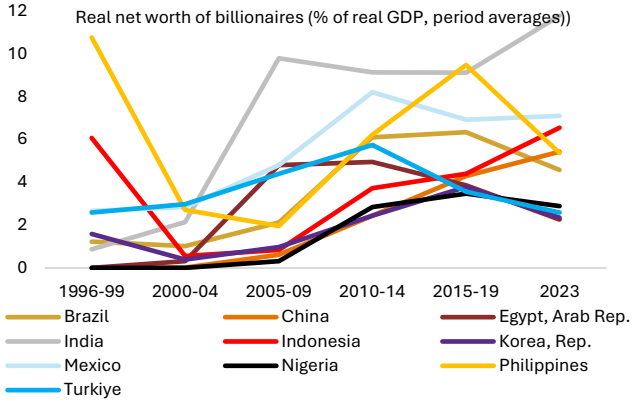


Figure 3.16

Sources of wealth are from traditional, lower value-added sectors compared with peers

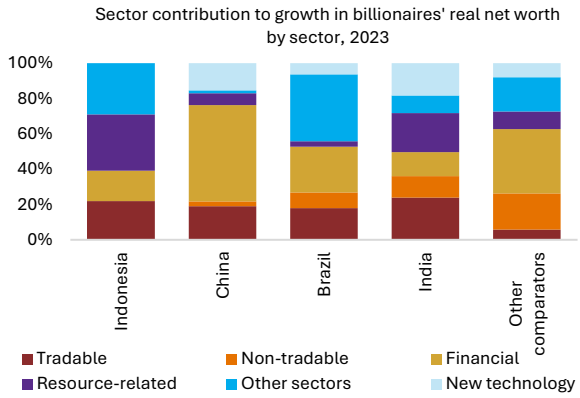
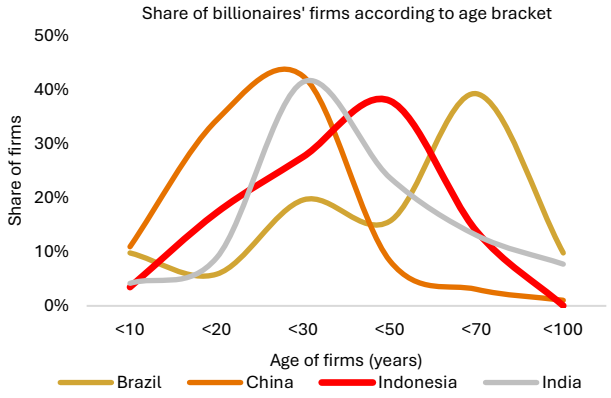


Figure 3.17

Billionaires' firms tend to be older in Indonesia



Source: TICMI PT Indonesian Capital Market Electronic Library, World Bank staff calculations.

Prominent industrialists and their firms can boost dynamism but can also stifle it when the forces of preservation dominate. As discussed in the 2024 WDR, between the forces of creation, preservation, and destruction, those of preservation tend to dominate in MICs. The large incumbents that have the resources and scale to boost dynamism tend to slow it down. This is evident in large firms' low productivity and weak digital adoption, as well as limited creative destruction. The issue of preservation is at the heart of Indonesia's political economy and state-business relations, which have been extensively researched.[23]

23 See for example: Ampalavanar Brown, R. (2006). *Indonesian Corporations, Cronyism, and Corruption*; Aswicahyono, H., Hill, H., & Basri, M. C. (2000). *How Not to Industrialize: Indonesia's Automotive Industry*; Berenschot, W. (2017). *The Political Economy of Clientelism: A Comparative Study of Indonesia's Patronage Democracy*; Fisman, R. (2001). *Estimating the Value of Political Connections*; Fukuoka, Y. (2012). *Politics, Business, and the State in Post-Soeharto Indonesia*. Gathen, J. (2022). *The Aggregate Costs of Political Connections*; Hadiz, V., & Robison, R. (2013). *The Political Economy of Oligarchy and the Reorganization of Power in Indonesia*; Johansson, A. C. (2014). *Political Change and the Business Elite in Indonesia*; KPPU. (2017). *Mainstreaming Competition Policy in Indonesia*; Leuz, C., & Oberholzer-Gee, F. (2003). *Political Relationships, Global Financing, and Corporate Transparency*; Mobarak, A. M., & Purbasari, D. P. (2006). *Corrupt Protection for Sale to Firms: Evidence from Indonesia*; Pangestu, M., Aswicahyono, H., Anas, T., & Ardyanto, D. (2002). *The Evolution of Competition Policy in Indonesia*; Warburton, E. (2022). *Private Power and Public Office: The Rise of Business Politicians in Indonesia.*

Figure 3.18

Wealth inequality can lead to a deterioration in institutional quality...

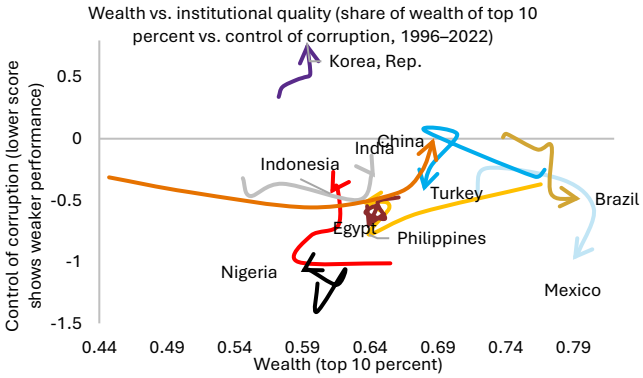
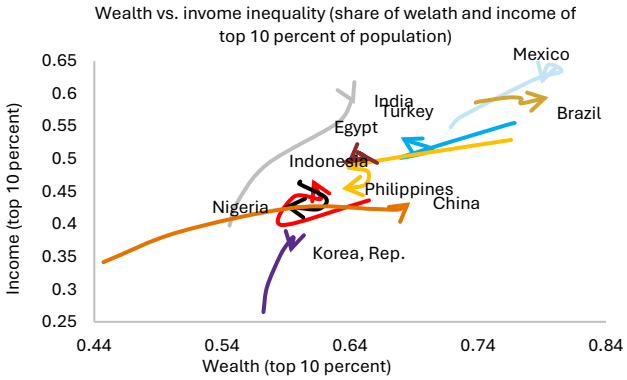


Figure 3.19

...and perpetuate income inequality



Source: World Inequality Database, Worldwide Governance Indicators, World Bank staff calculations.

These challenges can be exacerbated when wealth disparities are associated with low institutional quality. Wealth inequality creates opportunities for the capture of policies, judicial systems, and regulatory frameworks that enable preservation. The relationship is complex and not linear (Figure 3.18); Indonesia and the Philippines, since the AFC, experienced a correction in wealth inequality and modest improvements in control of corruption, both of which have regressed in recent years. Brazil and Mexico have seen deteriorations in both dimensions, while the Rep. of Korea exhibits relatively low wealth inequality and strong institutional quality.

The potentially self-reinforcing dynamic between wealth inequality and weakening institutions can exacerbate income inequality. Wealth inequality is positively linked to income inequality (Figure 3.19) because the unequal ownership of land and capital concentrates returns from these assets. Institutional deficiencies further amplify this dynamic by failing to redistribute assets and incomes effectively. Addressing these deficiencies requires strengthening business-enabling policies—such as competition, finance, business regulations, and trade—that allocate resources based on economic value (e.g., the most productive firms) rather than economic power (e.g., monopolies).

Compared with most peers, Indonesia has lower wealth concentration and a higher elite quality score, but institutional challenges persist. The recently developed Elite Quality Index helps unpack whether elites' influence over institutions results in a system that is value creating (i.e., benefiting the broader economy through new players, knowledge, and technology) or value extracting (i.e., benefiting elites through rent-seeking).[24] Indonesia

24 The Elite Quality Index (EQx) is a political economy index that measures the overall Elite Quality of nations in terms of the ability of elite business models to create value, rather than rent seek, as evidenced by aggregated datasets. EQx is built on four pillars: (i) Economic Power, which measures the economic influence of elites, such as monopolies and market fairness; (ii) Political Power, which measures the political influence of elites, focusing on governance, rule of law, and corruption; (iii) Value Creation, which assesses whether elites foster innovation, competitive industries, and public goods; and (iv) Value Extraction, which assesses how much elites extract wealth through harmful practices like rent-seeking. The EQx is based on a combination of quantitative indicators (e.g., wealth inequality, corruption indices, innovation metrics) and qualitative assessments of governance, economic structures, and societal outcomes. Countries receive a composite score and rank based on their elite quality. Higher scores indicate that elites are contributing positively to society, while lower scores suggest self-serving behavior that harms economic and institutional development.

performs better than peers along these dimensions (i.e., value creation greater than value extraction). But the assessment also highlights challenges such as state and regulatory capture, unearned income and wealth distribution, market dominance and lack of creative destruction. Recent reforms to simplify regulations and promote investment reflect attempts to enhance elite quality through deregulation. But multiple attempts at challenging the provisions of the law reflect ongoing resistance to changing the status quo.

This is consistent with other measures of policy capture. The recently developed State Capture Index shows that Indonesia made progress after the AFC in reducing influence by private interests over policies and institutions, but these gains may have eroded slightly over time (Figure 3.20).[25] The deterioration is largely due to setbacks in combating corruption and upholding the rule of law (Figure 3.21). This is reflected in indicators for legislative and judicial corruption, and high court independence. These trends suggest that core institutions such as the judiciary and legislature may require reform. While policymaking remains relatively open, and structural conditions such as wealth inequality and governance capacity are reasonably sound, strengthening judicial independence and anti-corruption measures is essential to sustain improvements in policy quality and institutional resilience.

In sum, Indonesia's prominent industrialists and large firms have played a central role in Indonesia's success; going forward, they should evolve from dominating a small pie to securing a bigger slice of a larger pie. Importantly, this bigger slice does not necessarily mean a bigger share of the pie—it could involve having a smaller share but contributing to, and benefiting from, a much larger market. This requires stronger business-enabling policies that could, in turn, lift foundational infrastructure. This is essential to mitigate the risks of interest groups focused on wealth preservation rather than creation and innovation, coexisting with a large mass of economically vulnerable people and an aspiring middle class struggling to secure good jobs.

Figure 3.20

Gradual deterioration in policy capture index...

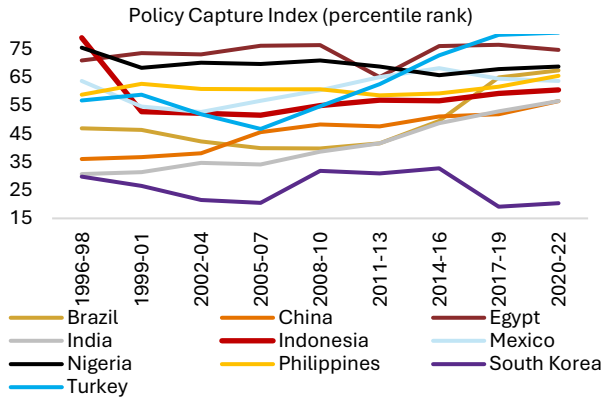
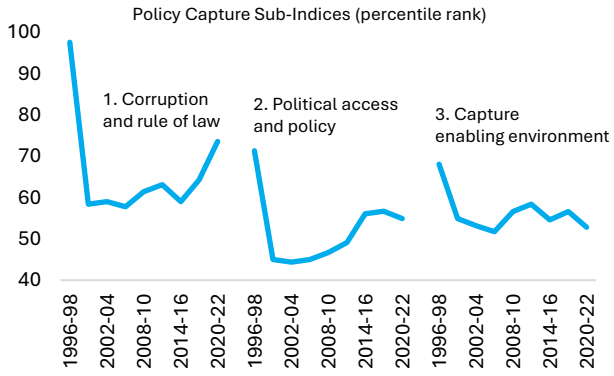


Figure 3.21

...driven by a reversal in gains on corruption and rule of law



Source: World Inequality Database, Worldwide Governance Indicators, World Bank staff calculations.

25 Kaufmann, Daniel, State Capture Matters: Considerations and Empirics toward a Worldwide Measure (May 14, 2024).

3.4 Predictability of the business regulatory environment

Some of the above institutional challenges reflect frictions in the business regulatory environment that discriminate against or exclude firms from the market. Based on the latest Indonesian Enterprise Survey results, this manifests itself in several ways (World Bank 2024).[26] First, the time spent by managers dealing with government regulations has increased over time. Second, corruption, which remains an important impediment to doing business, is positively associated with senior management's time complying with government regulations. Third, discordance between central and local laws and regulations creates varying compliance burdens for business across regions.

These factors add up to regulatory uncertainty due to either the complexity of regulations or the discretion with which they are implemented. Past reforms in Indonesia have helped to improve the efficiency of the business environment (average number of days needed for compliance), but discretion has also risen (variance around the average) (Figure 3.22). Indonesia, along with Türkiye and Nigeria, has an efficient but discretionary business environment. Brazil, Egypt, India, and the Philippines score poorly on both dimensions. Indonesia's regulatory interfaces related to international trade, such as clearing exports and imports, and obtaining import licenses, perform relatively well, being efficient and largely non-discretionary (Figure 3.23). In contrast, obtaining construction permits and operating licenses are the weakest areas.

Large incumbent firms are better equipped to navigate regulatory uncertainty than smaller firms or potential new entrants. They have more financial and administrative resources to manage complex regulatory environments that pose a disproportionate burden on small to medium enterprises (SMEs). Enterprise Survey results for Indonesia show that

Figure 3.22

Indonesia's regulatory interfaces are efficient but discretionary...

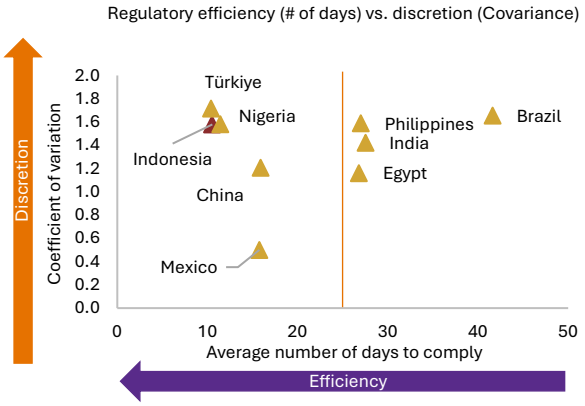
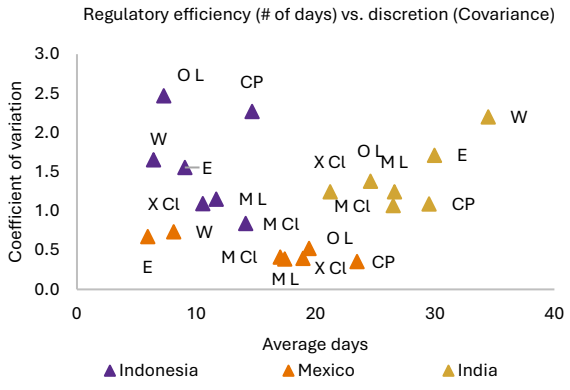


Figure 3.23

...with construction permits and operating licenses being the most discretionary



Source: World Bank Enterprise Survey, various years. Note: Time taken to obtain electrical (E) and water connection (W), clearing exports (X Cl) and imports (M Cl) through customs, and obtaining construction permit (C), and operating (OL) and import licenses (ML).

26 The World Bank. June 2024. "Indonesia Economic Prospects: Unleashing Indonesia's Business Potential."

large firms took longer to comply with regulatory requirements than SMEs. But they also face less uncertainty compared with SMEs, signaling their ability to reduce uncertainty more than SMEs.

These aspects of the business environment, which favor preservation over creation and destruction, are further intensified by regulatory gaps that increase the risk of policy capture.[27] For example, Indonesia's conflict of interest regulations contain gaps, increasing vulnerabilities to privilege and policy capture (Figure 3.24). Public officials can simultaneously serve on the boards of SOEs, as there are no provisions prohibiting dual positions. While restrictions exist on officials accepting gifts or joining private firm boards, no such limitations apply to their family members. Parliament members face even fewer restrictions, being allowed to serve on private boards.

The lack of robust checks and balances extends to finance, which scores poorly on policy capture relative to peers (Figure 3.25). Politically exposed persons (PEPs), including public officials and their close associates, are subject to limited regulations. Although the central bank mandates due diligence and maintains a PEP list, there are no clear rules on data retention or compliance audits. These regulatory gaps heighten risks of corruption, favoritism, and financial crimes, which can perpetuate allocative inefficiency.

Public procurement is also susceptible to capture, despite a reasonably sound institutional framework. There are ambiguities in regulations governing SOEs in procurement. Private sector representatives report SOEs competing for low-value projects,

Figure 3.24

Limited conflict of interest rules (e.g., dual positions, gifts to family)...

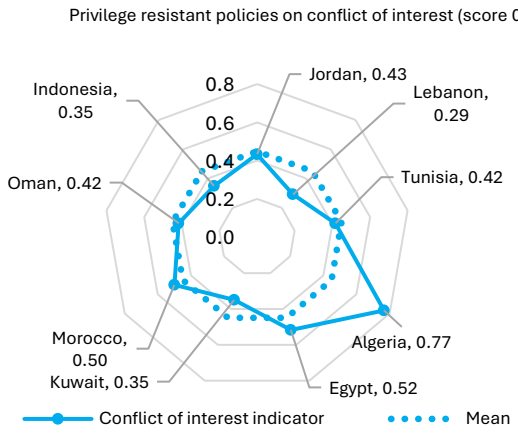
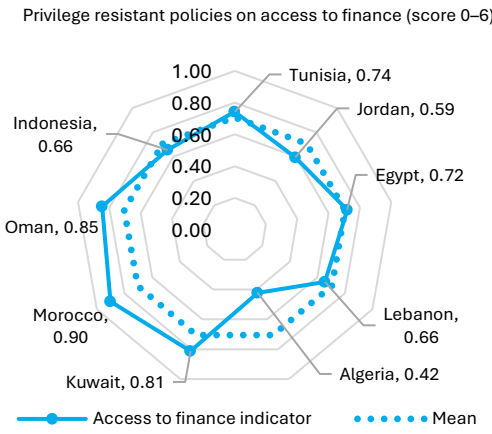


Figure 3.25

...are associated with financial sector policy gaps



Source: Privilege Resistant Policies questionnaire, World Bank staff calculations.

27 This analysis applies the Privilege-Resistant Policies framework (Mahmood & Slimane 2018) to assess how vulnerable Indonesia's business regulatory environment is to uncompetitive practices. The framework uses structured questionnaires across 11 policy areas to identify gaps in policy design, implementation, and enforcement that may enable privilege or market distortions. It evaluates three stages: ex-ante policy formulation, implementation, and ex-post measures to detect and deter anti-competitive behavior. A scoring system classifies policy environments from "moderately prone to privilege" (0.75–1) to "extremely prone" (0–0.25), helping to highlight areas where reforms are needed to create a more level playing field for businesses and reduce the risk of capture by vested interests.

where they may have advantages due to unclear rules. This undermines competition, deterring private sector participation and reducing efficiency (Box 3.1).

Construction permits also face severe procedural inefficiencies, reflecting high susceptibility to privilege and are consistent with Enterprise Survey results on discretion reported above. The process requires multiple pre-approvals, such as Environmental Impact Assessments (AMDAL) and Space Utilization Approvals (PKKPR), which are prone to delays and complexity. While the service level agreement (SLA) suggests five business days for approvals, acquiring permits often takes up to 10 months. Complex procedures, involving both online and offline interactions at national and local levels, significantly raise compliance costs and create opportunities for corruption and discretionary actions by public officials.

Box 3.1--3

Competition and public procurement efficiency

Competition impacts the efficiency of public procurement in Indonesia. Contract-level data for public procurement in Indonesia have been mined to analyze the determinants of costs.[28] The data are used to model the impact of competition (as proxied by market entry and supplier's market share) on the cost of procurement (as measured by relative price, which is the estimated price and the awarded (bid) price), while controlling for structural variables (year, province, sector).

The analysis highlights a few patterns. First, competition varies across categories: goods and works typically have fewer bidders than services, but post-2020 trends show a sharp decline in bidders for services. Second, over 50 percent of tenders for goods and works and nearly 50 percent for services receive only one bid by 2023. Third, market entrants face differing barriers; goods procurement allows over 50 percent new suppliers, while works remain restrictive, though 2021–2022 saw notable increases in new entrants. Finally, construction dominates procurement volumes, far exceeding other markets such as agriculture and IT services.

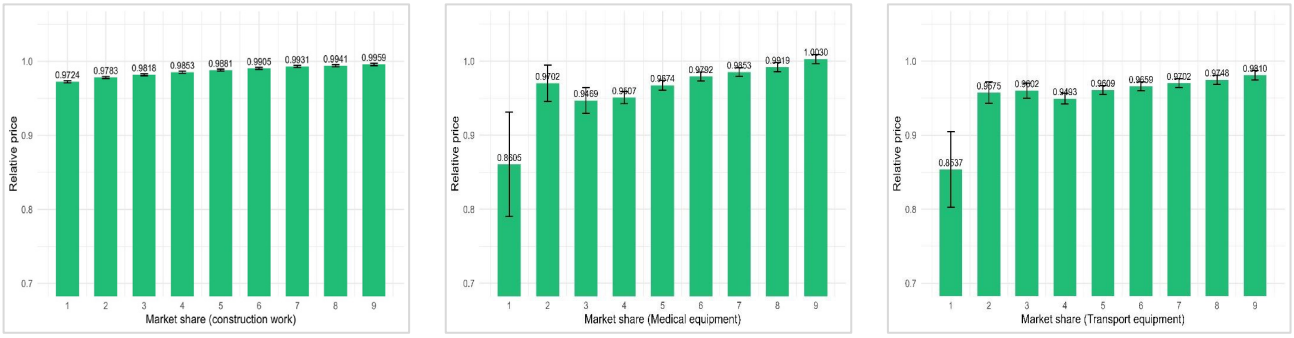
Sectoral analysis reveals three distinct patterns regarding the impact of market entry on government procurement costs. In construction, medical equipment, health services, and agricultural products, market entry lowers relative prices. Construction work, the largest sector in the dataset, demonstrates particularly significant improvements, showcasing the potential for optimizing prices through increased market participation. In contrast, highly regulated sectors with price caps or dominated by SOEs, such as utilities, exhibit rising prices for market entrants due to protective regulatory frameworks and barriers to competition. Lastly, in sectors such as transport and financial services, the effect of market entry is insignificant, with no consistent relationship between entry and relative prices. These sectors face entrenched networks and regulatory constraints that nullify competitive benefits, highlighting the need for targeted reforms to reduce barriers and enhance market efficiency.

The impact of supplier market share on procurement cost is also consistent with expectation. Higher market concentration (decile 10) is associated with higher relative prices, as dominant firms exploit their market power to maximize profits, creating inefficiencies (Figure 3.26). In contrast, less concentrated markets (decile 1) with greater competition exhibit lower relative prices, reflecting the pressure to align closer to marginal costs. This trend is most evident in the construction sector, where a linear increase in relative price corresponds with rising market concentration, highlighting the potential to reduce costs by awarding contracts to smaller suppliers. Similar patterns emerge in medical and transport equipment sectors, which also show a sharp price jump between the first two deciles, underscoring sensitivity price sensitivity to slight changes in competition.

28 The data are collected from official public procurement publication portals of Indonesia and from a wide variety of regional and local sites. The original dataset covers the period 2010–2023 and contains 5,389,072 bids submitted. The data contain both winning and losing bids, which require additional processing to filter for winning bids, bringing our sample to 1,366,416 contracts. Further processing to remove outliers has further brought our sample to 1,327,330 contracts for the period 2012–2023 (the first 2 years of the time series are used to calculate the market entry indicator so cannot be used in the main analysis).

Figure 3.26

Government procurement cost is positively associated with market concentration



Source: World bank staff calculations based on data collected from official procurement publication portals.

3.5 Market restrictions in selected manufacturing industries

Beyond regulatory frictions, the manufacturing sector exhibits several market restrictions. Regulations across a sample of 10 manufacturing industries exhibit constraints to competition when assessed using the World Bank's Anti-Competitive Laws and Policies Questionnaire (ALPQ).[26,27] Across the 10 industries, the ALPQ identified over 40 regulatory provisions that restrict competition. Nearly half of these were associated with rules that discriminate and protect vested interests (Figure 3.27).

Within industries, the manufacturing of oils and fats features seven competition restrictions out of the 12 possible restrictions assessed (Figure 3.28). The manufacturing of sugar, pharmaceuticals, and steel products such as tubes, pipes, hollow profiles, and related fittings all feature about five restrictions that could be limiting to competition. And construction of buildings, roads and motorways have seven restrictions. While these restrictions may be in place for good reason, it is important to reassess their merit given the negative impact of market concentration, large firms, and SOEs on manufacturing dynamism discussed in Chapter 2.

29 The World Bank's Anti-Competitive Laws and Policies Questionnaire is a diagnostic tool designed to assess the extent and impact of laws, regulations, and policies that restrict competition. It gathers detailed information across sectors and regulatory frameworks to identify key barriers to market entry, distortions caused by state intervention, and the presence of anticompetitive practices. The questionnaire covers: (i) restrictions that could reinforce dominance or limit entry (e.g., minimum capacity requirements); (ii) restrictions that are conducive to collusive outcomes or increase costs to compete (e.g., control of prices of output and key input goods, quotas on quantities sold, and potential risk of undue influence of regulators by market participants); (iii) and restrictions that could potentially discriminate and protect vested interests (e.g., restrictions on foreign firms and regulatory advantages for SOEs, such as exemption from some economywide laws) .

30 The ALP questionnaire was applied to 10 four-digit industries (NACE classification) in Indonesia. Industries were selected based on a mix of criteria including high average markups, low productivity, high SOE presence, relatively high contribution to GDP, and/or the identification of the sector as a GoI priority sector. The industries are: oils and fats; sugar; pharmaceuticals; tubes, pipes, hollow profiles; textile articles; plastic packaging; electronic components; motor vehicle parts; construction of buildings; construction of roads and motorways.

Figure 3.27

Over 40 provisions that restrict competition across 10 competitive industries

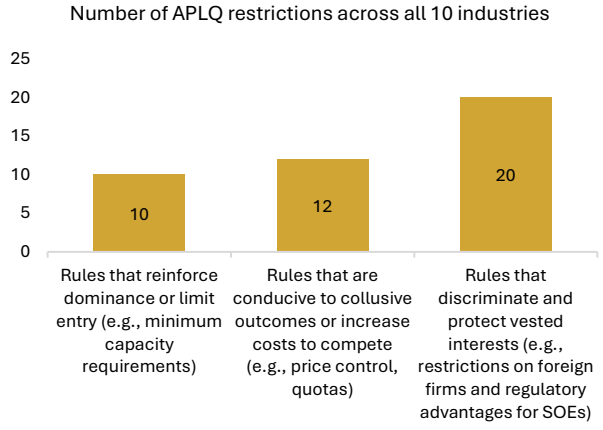
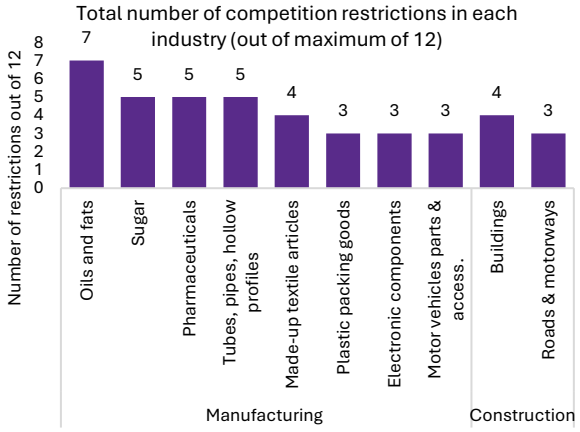


Figure 3.28

Several industries have at least five restrictions out of a possible 12



Source: WB ALPQ assessment across 10 industries in Indonesia.

3.6 Competition policy

Beyond a more predictable business regulatory environment and fewer market restrictions, competition policy is important to enable expansion and new entry of productive firms. The establishment of the Indonesia Competition Commission in 1999[28] (*Komisi Pengawas Persaingan Usaha*, KPPU) sought to promote fair competition, prevent anti-competitive practices, and enhance market efficiency. Before the enactment of Law No. 5/1999, Indonesia's competition policy was fragmented, with regulatory provisions scattered across the Civil and Criminal Codes, industry law, limited liability company law, and ministerial decrees. The passage of Law No. 5/1999 provided a unified legal framework and marked a significant step toward ensuring market contestability in Indonesia.

The enforcement of competition policy from 2000 to 2017 saw significant progress, though challenges persist. A notable trend is the high incidence of cartel cases compared with abuse of dominance (Figure 3.29). The construction sector has the highest number of competition violation cases (Figure 3.30). This sector is particularly vulnerable to cartel violations due to its project-based nature; large, discrete, and fragmented projects enable firms to coordinate bids or divide markets. The high number of cartel cases compared with other violations may reflect regulatory focus by KPPU. While fewer reports on abuse of dominance cases and violations in other sectors suggest challenges in detection, limited resources, complex practices, or fear of retaliation from dominant players.

31 Indonesia's Law No. 5/1999.

Figure 3.29

Cartel cases are higher

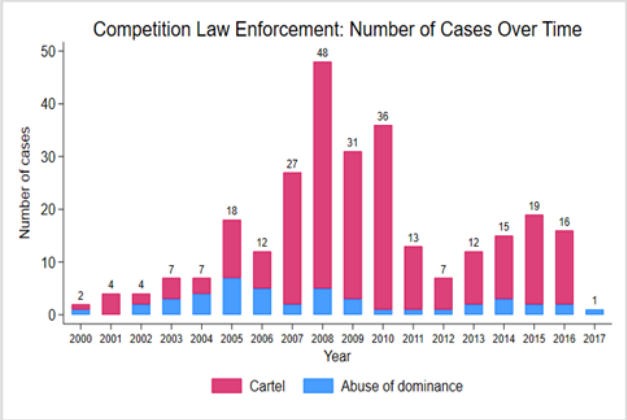
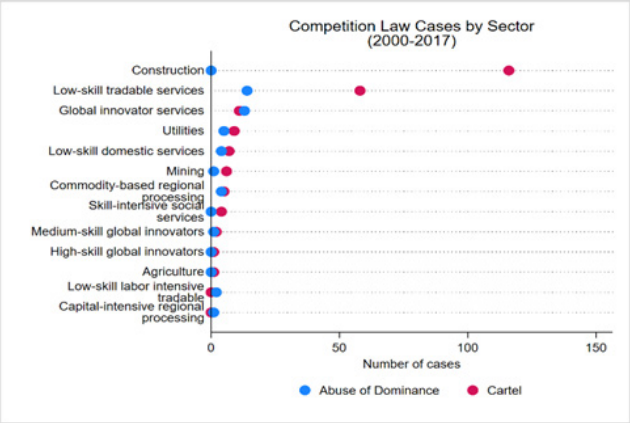


Figure 3.30

Cartel cases mostly occurred in construction sector



Source: Compiled from KPPU rulings repository and Supreme Court rulings repository. Note: Excludes ongoing and merger cases.

Competition policy enforcement is challenged by ability to gather robust evidence and addressing cases involving SOEs. Despite the growing number of convictions (Figure 3.31), challenges remain, particularly in meeting the burden of proof and navigating the intricacies of competition law. The enforcement process often involves appeals through multiple courts, with a substantial number of cases reaching the Supreme Court (Figure 3.32). Diverse and robust evidence is essential for cartel enforcement, as the strength and type of evidence significantly impact conviction rates (Figure 3.33). In addition, a considerable portion of competition policy cases involves SOEs in contestable markets of the economy, for example in low-skill tradable services and global innovator services. This underscores the necessity for stringent enforcement of competition policy in sectors where SOEs have natural monopolies (Figure 3.34).

The high rate of cases going to Supreme Court appeal underscores the ambiguities present in Indonesia's Competition Law. This situation indicates a limited deterrence effect of the law, partly due to the absence of a leniency program and robust investigative tools, which reduces the likelihood of early settlements and encourages more litigation. Consequently, firms prefer to appeal rather than cooperate with the KPPU, aiming to minimize penalties or overturn decisions by exhausting all legal avenues. Consequently, the high rate of appeals underlines the need for comprehensive reforms to enhance the clarity and effectiveness of Indonesia's Competition Law, which is further exacerbated by the lack integration of competition principles into broader policy framework.

Without strong competition policy and enforcement, Indonesia risks policy capture, with regulations favoring incumbents, undermining markets, and stifling competition and innovation. While notable progress has been made in enforcing competition policy, significant challenges persist, which could undermine the broader goals of economic growth

Figure 3.31

Growing number of convictions between 2000–2017

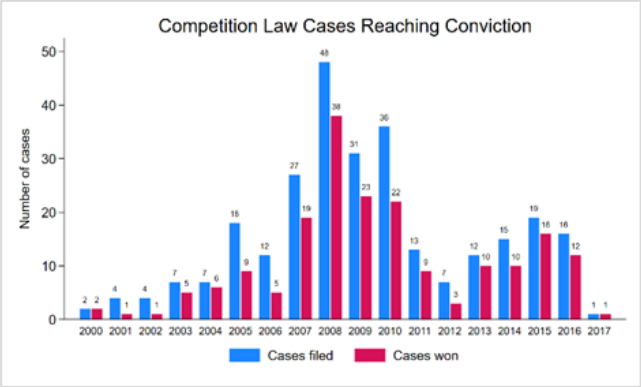
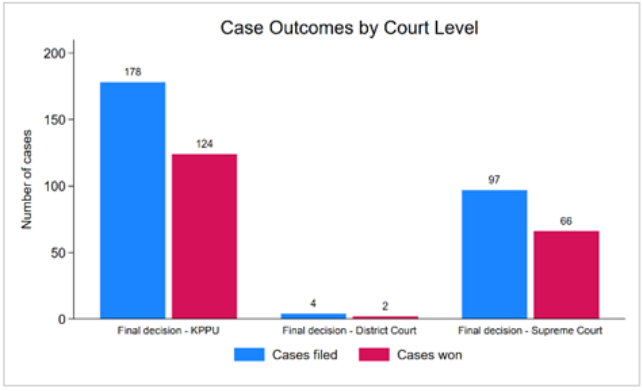


Figure 3.32

Substantial number of cases were settled at the Supreme Court level



Source: Compiled from KPPU rulings repository and Supreme Court rulings repository. Note: Excludes on-going and merger cases.

Figure 3.33

Evidence strength determine conviction in cases

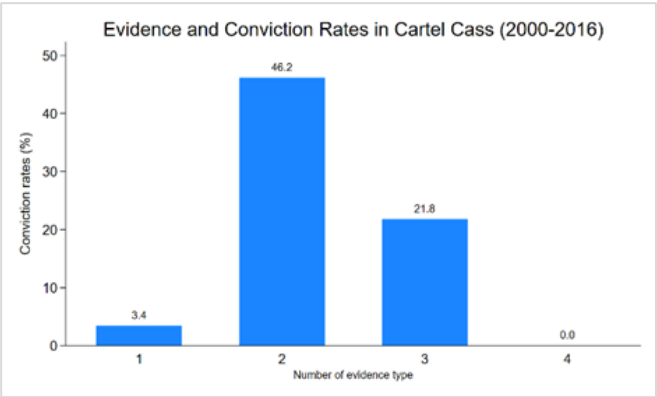
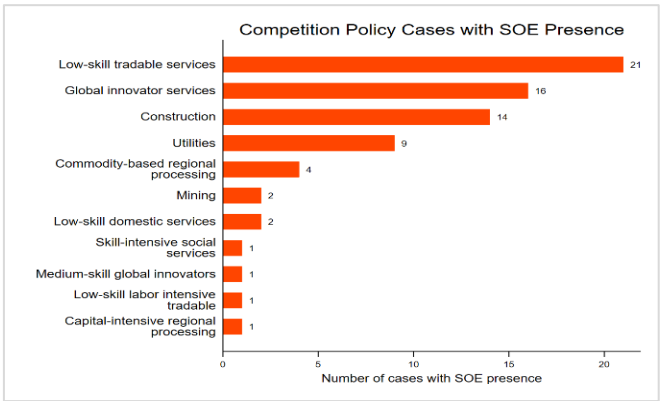


Figure 3.34

SOEs in competition investigations within contestable market



Source: Compiled from KPPU rulings repository and Supreme Court rulings repository. Note: Excludes on-going and merger cases.

and job creation. The current emphasis on cartel investigations underscores regulatory priorities and demonstrates achievements in addressing collusive behavior. However, addressing other anti-competitive behaviors, such as abuse of dominance, could further enhance the overall effectiveness of competition policy enforcement. Furthermore, the high rate of appeals against regulatory decisions highlights systemic weaknesses, including legal ambiguity, limited institutional capacity, and procedural inefficiencies, all of which present opportunities for improvement in fostering a more competitive and dynamic market environment.

CHAPTER 4

4. BUSINESSES OF THE STATE AND DOMESTIC MARKET RESTRICTIONS

Businesses of the state (BOS)—enterprises with minority and majority government stake in them—are reasonably expansive in Indonesia and are associated with several challenges.

First, SOEs in manufacturing industries are linked to lower productivity (Chapter 2). Second, BOS operate across many commercial sectors, including business-enabling and global innovator services that struggle to expand (Chapter 2). Third, BOS presence in a sector is positively correlated with market restrictions. Fourth, Indonesia has extensive regulatory restrictions in its product markets, which are largely driven by the state's involvement in the economy.

The financial sector has a large BOS presence, but its depth and reach remain low. Economy-wide market frictions and restrictions (Chapters 3–5) constrain growth of high-value manufacturing and services, which prevents financial sector deepening and weighs on the demand for more sophisticated financial instruments.

Lowering several market restrictions could foster a more dynamic business environment and accelerate private capital mobilization. These include not only tackling public ownership but also reducing government intervention in business operations (e.g., price controls), as well as other command and control regulations (e.g., licensing and permitting requirements, local content requirements, restrictions on market entry).

It would also require tackling market restrictions in key network sectors—foundational infrastructure—whose outputs are critical inputs for downstream firms. These include regulations that limit firms' entry and competition in energy (electricity and natural gas), transport (rail, air, road, and water), and e-communication (fixed and mobile).

4.1 Presence and scope of businesses of the state

Businesses of the state (BOS) are reasonably expansive in Indonesia's economy. There are around 1,324 active BOS. Around 90 percent of them operate in domestic markets and 10 percent in foreign markets across 36 countries. Out of the domestically oriented BOS, 125 are traditional SOEs.[32] Domestically-oriented BOS operate across 40 percent of industries reported in the BOS database (Figure 4.1), which is higher than traditional SOEs (operating in 12 percent of industries), several benchmark countries, and the average for the 91 reporting countries (15 percent of industries). Indonesian BOS revenue (44 percent of GDP) (Figure 4.2) and employment (2.6 percent of formal jobs) (Figure 4.3) are also higher compared

32 Data from the World Bank Global Businesses of the State (BOS) database. The term SOEs refers to businesses in which governments (mostly national) hold 50 percent or more of shares, while the term BOS encompasses businesses with both majority and minority (i.e., as low as 10 percent) ownerships and is much broader in scope in that it captures the direct State businesses as well as their subsidiaries, whether ultimately owned by national, provincial, municipal, district, or city governments.

with benchmark countries. Around 80 percent of domestically oriented BOS are owned by the central government and 20 percent by subnational authorities (Figure 4.4). Among the national BOS with known ownership stakes, a slight majority (about 51 percent) are either wholly, or majority owned.

Indonesia's BOS are present across many commercial sectors that are associated with market restrictions. State provision of goods and services can be justified to overcome market failures, for example, in cases of public goods, externalities, natural monopolies, or other when private businesses cannot supply enough at a fair price. BOS in Indonesia, however, are present in sectors that are not subject to these features. Three-quarters of Indonesia's BOS operate in competitive sectors, which is higher than in Brazil and Nigeria, although slightly lower than that of India. A further 20 percent of BOS operate in contestable market segments, with the 5 percent operating in natural monopoly sectors.

Figure 4.1

BOS operate across many sectors...

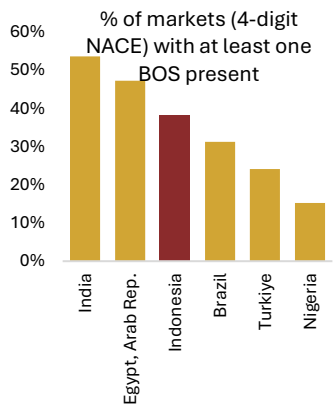


Figure 4.2

...have significant turnover...

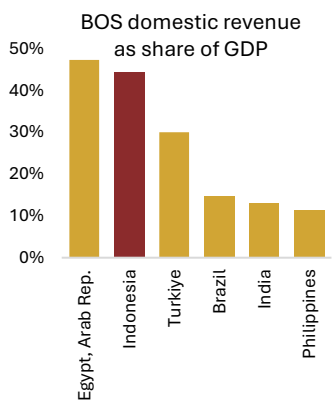


Figure 4.3

...and moderate employment

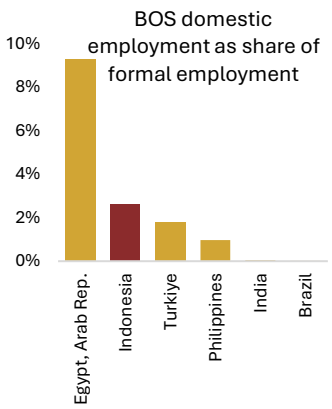
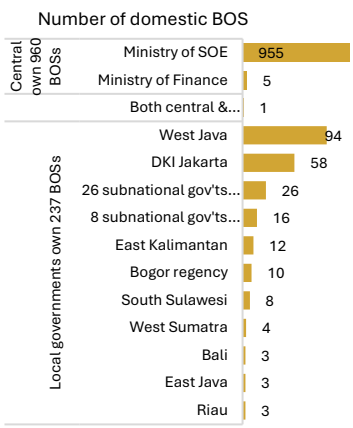


Figure 4.4

Most are owned by the central government



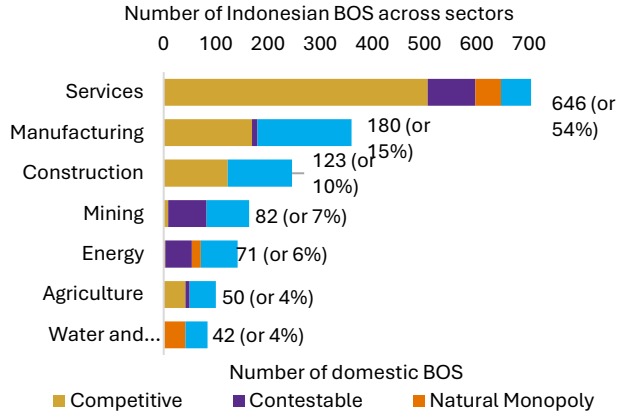
Source: World Bank Global Businesses of the State (BOS) database. Information as of December 2019. Note: The number of BOS includes only those operating in the domestic markets. Subsidiaries of domestic BOS operating in foreign countries are excluded. China, Rep. of Korea, and Mexico do not yet have BOS data. Note: The BOS revenue share of GDP and employment share of formal sector employment are for countries with between 33 and 65 percent coverage in either revenue or employment or both.

Over half of BOS operate in competitive services (Figure 4.5), including many in enabling and global innovator services which, as discussed earlier, are struggling to expand. For example, there are over 250 BOS operating in most industries within financial and insurance, 125 BOS in 75 percent of industries within transport and storage, and 123 BOS in half of industries within construction services. Around 11 percent of nationally owned BOS operate in civil engineering activities and another 9 percent in financial services.

The issue with state ownership in competitive industries is not about ownership itself, but whether BOS use privileges to crowd out efficient firms. As discussed in Chapter 2, the presence of SOEs in manufacturing industries is negatively associated with productivity within those industries.[33] Data on BOS also indicate that, in 2019, BOS with majority private ownership saw relatively better labor productivity than their majority state-owned peers, particularly among those in competitive sectors. On the other hand, BOS with majority state ownership were more profitable. While these do not provide conclusive evidence of how ownership drives performance, the bigger issue, discussed in the next chapter, is how the presence of BOS is associated with restrictions that prevent market entry of potentially more productive players.

Figure 4.5

Many BOS operate in competitive services...



Source: World Bank Global Businesses of the State (BOS) database. The distribution of BOS by sector is based on number of firms by 4-digit NACE economic activity. All businesses have information of economic activity.

4.2 The role of the state in the financial sector[34]

Indonesia's financial sector is characterized by large state presence. It includes 1,232 fully or partially state-owned financial institutions. The combined assets of state-owned financial institutions account for 32 percent of total financial sector assets, and banks overall around 74 percent (Figure 4.6). Within the banking sector, state-owned banks (SOB) account for four of the five largest banks in the country (Figure 4.7). These four SOB account for 46 percent of all lending and 42 percent of deposits (Figure 4.8). In contrast, the largest private commercial bank accounts for 11 percent of lending and 13 percent of total deposits in 2023. The three largest SOB (Mandiri, BRI, and BNI), together with the largest private bank (Bank Central Asia, BCA), sometimes referred to as the "big 4", dominate the banking sector.

Despite such an important state presence, the financial sector in Indonesia, and by extension the banking sector, is very small in proportion to the country's economy. Indonesia's financial sector is among the smallest compared with benchmark countries, with only Egypt's and Nigeria's being smaller (Figure 4.9). This is driven by not only the small size of capital markets (e.g., stock exchange, securitized debt) but also limited banking sector credit. Private sector credit to GDP averaged 39 percent between 2015 to 2020, dropping further to 32 percent in 2023, compared with an average of 143 percent for UMICs in 2023.

33 The ADB (in Asian Development Bank 2022, Unlocking the Economic and Social Value of Indonesia's State-Owned Enterprises) also find that the productivity of SOEs in Indonesia tend to lag those of private competitors. Using data on large and medium-scale manufacturing firms from 2000–2015, the analysis shows that firm productivity (i.e., ratio of a firm's outputs to its inputs) and labor productivity (i.e., a firm's output per worker) of SOEs were 1.4 percent and 46.8 percent lower than those of their private peers.

34 More detailed assessment available at World Bank and IMF 2024, *Indonesia - Financial Sector Assessment.*

Figure 4.6

Banks account for 75 percent of financial sector

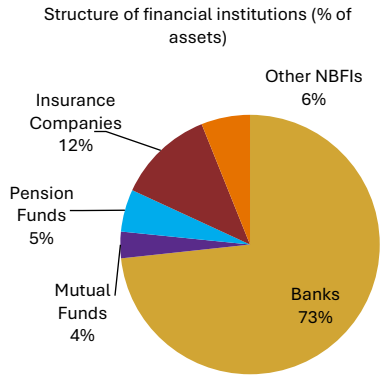


Figure 4.7

Within the banking sector SOBs account for 42 percent of assets

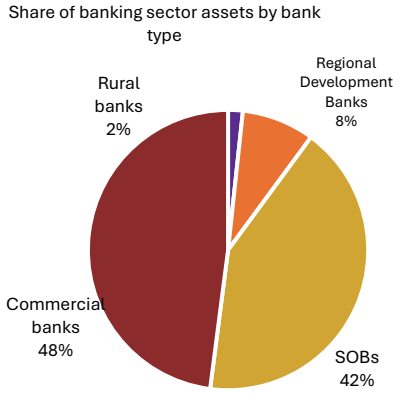
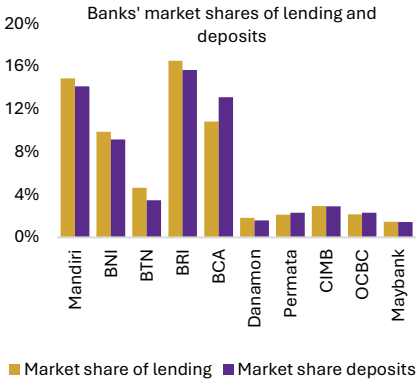


Figure 4.8

Four SOBs account for nearly half of lending



Sources: Indonesia Financial Services Authority (OJK) and Haver.

Notwithstanding the dominance of SOB, it is not market concentration per se that is preventing growth of the banking sector but a lack of dynamism that drives banks to expand their reach. Market concentration prevents new players entering the market on the same scale. But concentration among the top banks is not unusual. In fact, compared with peers, Indonesia exhibits relatively less asset concentration in its top five banks (Figure 4.10). Most other benchmarks, except for China and India, exhibit higher concentration, including the Rep. of Korea.

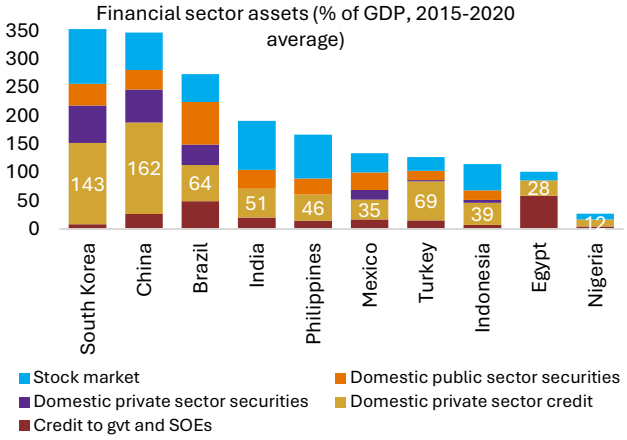
Banks in Indonesia seem to operate on the back of low volume, high lending rates, and high profits, when they should be moving to a model with high volume, risk-based lending, and profits. In dynamic markets, bank concentration may be reflective of economies of scale. Individual banks are growing on the back of their large networks through competition for markets. In Indonesia's banking sector, however, not only is credit to the private sector low, it is also concentrated among few banks. When compared with peers, those few banks have one of the highest net interest margins,[35] reflecting the high cost of financing for the private sector, and one of the highest returns on assets, reflecting high profits for banks (Figure 4.11).

Indonesia has taken steps to expand financial access (i.e., expand volume) and improve sector dynamism through initiatives such as the *Kredit Usaha Rakyat* (KUR) program and the rapid growth of fintech. KUR, one of the world's largest MSME lending programs, has disbursed over US$100 billion via 50 million loans since 2007, though it faces challenges related to limited competition, risk-based pricing, and MSME graduation to commercial credit. Fintech, particularly peer-to-peer (P2P) lending, has grown fourfold since 2020 to IDR 60 trillion in 2024, offering new credit pathways for underserved MSMEs. However, its reach remains narrow, with only 5.2 million of 64 million MSMEs served, prompting regulators to steer more fintech lending toward the productive sector.

35 Net interest margins (NIMs), defined as banks total interest income minus total interest expenses divided by total assets.

Figure 4.9

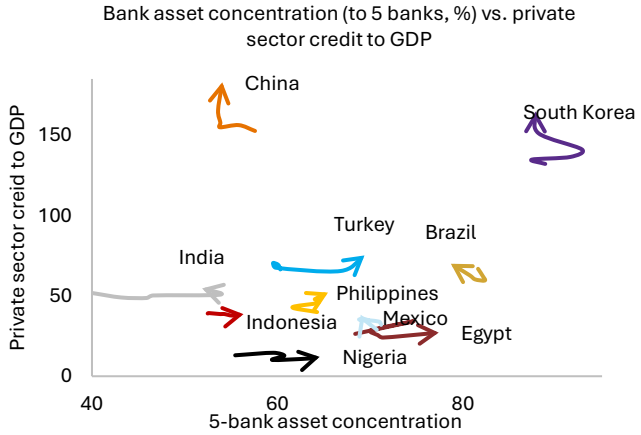
The financial sector in Indonesia is small



Source: WB FINDEX, World Bank staff calculations.

Figure 4.10

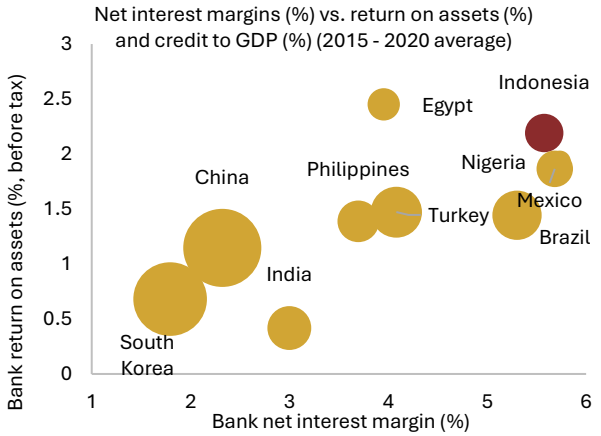
Market concentration is not unusual



Source: WB FINDEX, World Bank staff calculations.

Figure 4.11

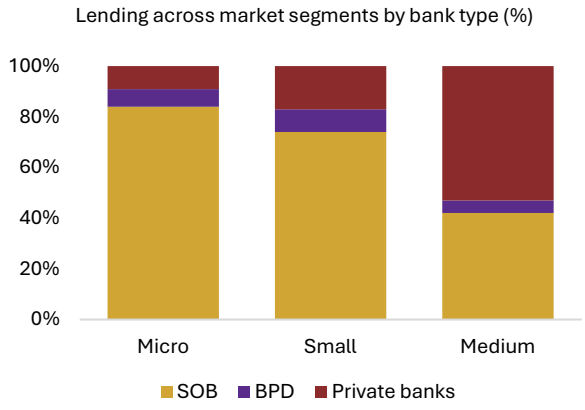
But in the case of Indonesia concentration is associated with high cost of financing and profits



Source: WB FINDEX, World Bank staff calculations.

Figure 4.12

State banks dominate certain market segments including the small and micro enterprises



Source: World Bank staff calculations based on OJK data.

Despite these efforts, the financial system and the banking sector remain small for three reasons. First, the AFC gave rise to a strong focus on financial stability in the banking sector. The banking sector has high capital buffers, ample liquidity, strong profitability, and good asset quality. This provides healthy balance sheets with sufficient buffers to absorb potential shocks. This disincentivizes banks from expanding their markets. But stability concerns should not be a reason not to expand when Indonesia has created a stable base, and strong supervision and regulatory foundations. The more the market grows, the more supervision and regulatory capacity need to expand. This is an example of how business-enabling policies (i.e., expansion of financial system) should lift foundational drivers of competitiveness (i.e., supervision and regulatory capacity).

Third, the expansion of high value manufacturing and services is critical for driving demand for more advanced financial services. High-tech manufacturing, digital services, and green industries require diverse financial products such as long-term financing, trade finance, and risk management solutions. For instance, Silicon Valley's growth spurred the venture capital industry, while Germany's automotive sector relies on specialized trade financing to manage global supply chains. Similarly, the Rep. of Korea's electronics and semiconductor industries have driven demand for hedging and forex instruments. In emerging digital economies such as Indonesia, e-commerce and ride hailing platforms have fueled the rise of fintech, showcasing how innovation responds to industry needs.

Without such demand, the financial sector risks stagnating. In economies focused on traditional industries such as low-value manufacturing and services, banks tend to remain more conservative, offering basic services with limited innovation. For example, pre-industrial Indonesia saw its financial sector primarily catering to SOEs and consumers. Resource-dependent economies similarly lack financial diversity, as banking systems often operate in a shallow market. Conversely, countries that expand higher value industries show transformative financial sector growth. These examples demonstrate how advancing complex industries compels financial institutions to innovate, creating a virtuous cycle of economic and financial sector development that traditional sectors cannot achieve.

4.3 Overview of economy-wide market restrictions

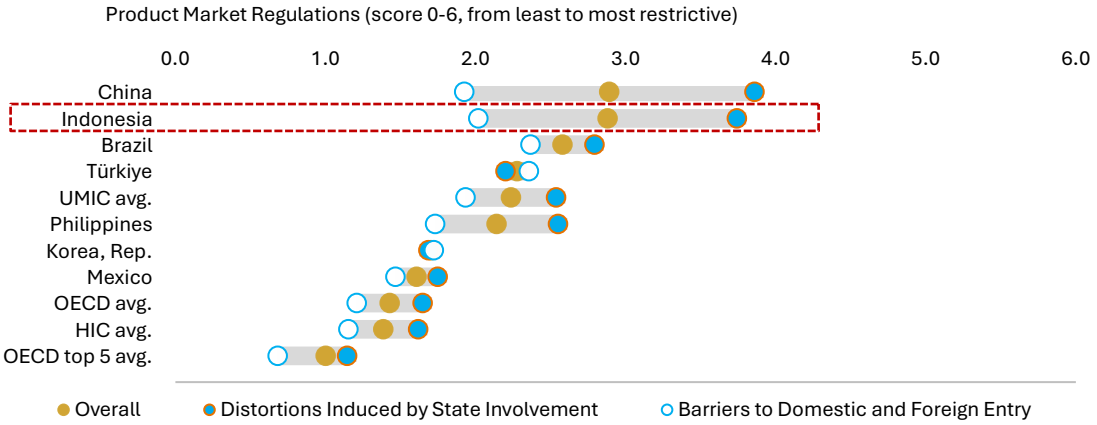
Compared with peer and OECD countries, Indonesia has some of the highest regulatory restrictions on competition in its product markets. Except for China, Indonesia's product market regulations are more restrictive than those of all its peer countries and others with publicly available Product Market Regulation (PMR) data during the 2018–2022 period.[36] Overall, Indonesia's product market regulations were twice as restrictive as the average in OECD and HICs (Figure 4.13).

Regulatory restrictions on competition in Indonesia are driven in large part by the state's involvement in the economy (Figure 4.14). State involvement accounts for two-thirds of competition-restricting regulations in the OECD PMR framework. They manifest themselves in the form of: (i) distortions linked to extensive public ownership (as discussed in the analysis of BOS in Chapter 3); (ii) heavy government intervention in business operations (e.g., price controls); (iii) complex regulations (see below); and (iv) inadequate assessments of their competition impacts (Figures 4.15–4.17 and below).

36 The 2018–2022 PMR indicators are based on over 1,400 questions on economywide and sectoral laws and regulations for each country, solicited through a standardized questionnaire answered by experts and national authorities.

Figure 4.13

Product market regulations are some of the most restrictive to competition relative to peers



Source: OECD and OECD-WBG PMR indicators, 2018–2022. Note: Scores range from 0 to 6, from the least to most competition-restricting regulatory framework. The PMR indicators are based on laws and regulation for the following countries and years: China (2020), Indonesia (2020), Brazil (2018), Türkiye (2018), Philippines (2022), Rep. of Korea (2018), and Mexico (2018).

Figure 4.14

Regulatory restrictiveness to competition in Indonesia driven by state involvement in markets

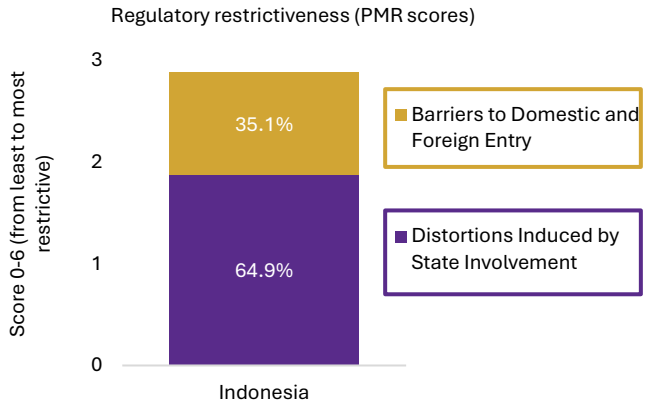
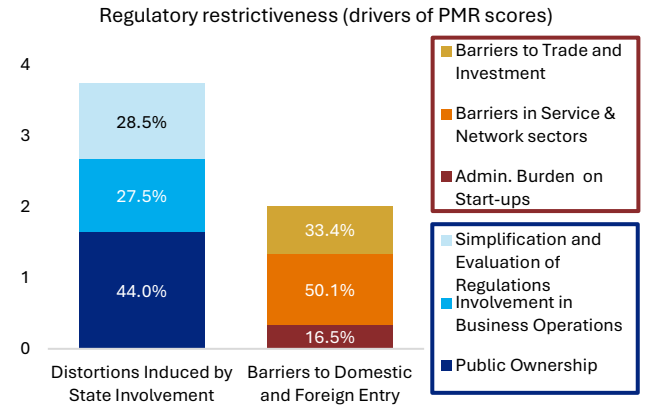


Figure 4.15

Public ownership and barriers in service and network sectors significantly restrict competition



Source: OECD PMR indicator for Indonesia, 2020. Note: The scores range from 0 to 6, from the least to most competition-restricting regulatory framework. The indicators are based on laws and regulation "on the books" as of January 1, 2020.

In Indonesia, regulatory restrictions to competition often coincide with the presence of BOS. This is not problematic if BOS operate on a level playing field. Issues arise when BOS have preferential treatment or are shielded from competition, which stifles entry or growth of more productive private firms. OECD data on regulatory restrictions to competition indicate that BOS presence in markets is moderately linked to market distortions, driven mainly by state induced distortions (Figure 4.18), such as a higher degree of retail price controls in key sectors (Figure 4.19) and command-and-control regulations (Figure 4.20).

Figure 4.16

Within public ownership, dominance in network sectors, price controls, and complex regulations undermine competitionand complex regulations undermine competition

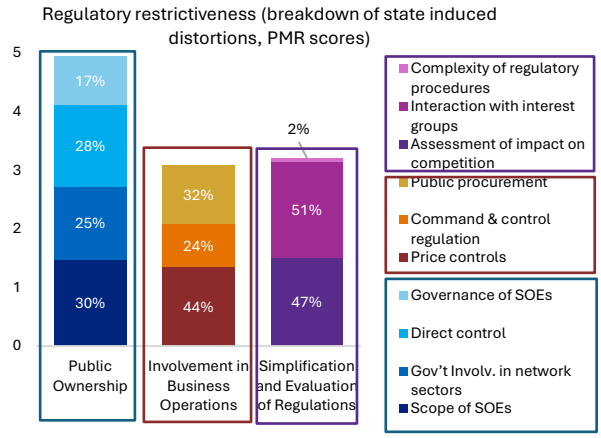
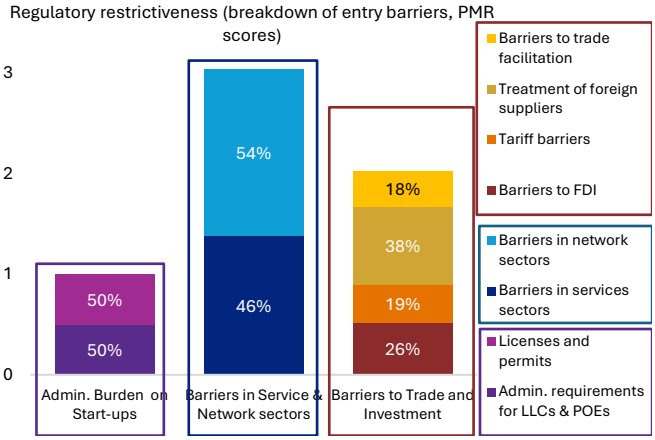


Figure 4.17

Within barriers to entry, restrictions in services and network sectors are major drags on competition



Source: OECD PMR indicator for Indonesia, 2020. Note: The scores range from 0 to 6, from the least to most competition-restricting regulatory framework. The indicators are based on laws and regulation "on the books" as of January 1, 2020.

Figure 4.18

BOS presence is also linked to state induced distortions...

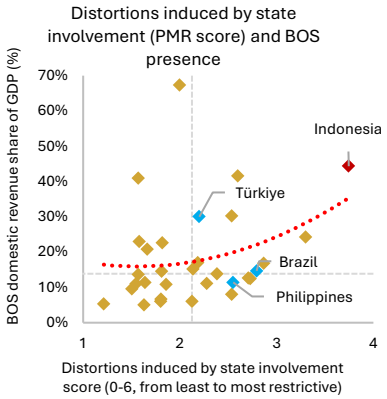


Figure 4.19

...including higher degree of retail price controls in key network and service sectors...

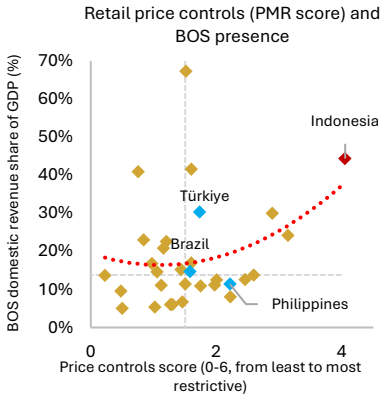
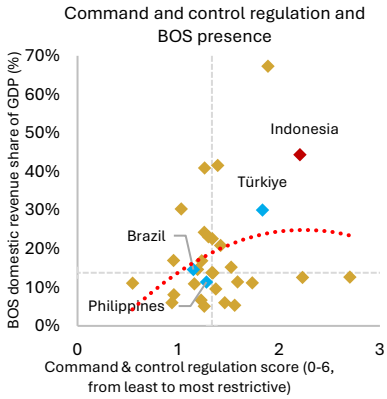


Figure 4.20

...and command-and-control regulation



Sources: Indonesia Financial Services Authority (OJK) and Haver.

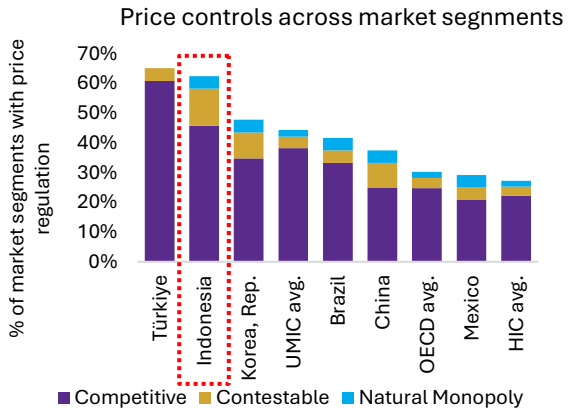
Price controls in Indonesia—an important driver of state induced distortions—are extensive compared with peer countries. Price regulation may be necessary in natural monopoly markets to prevent price markups through abuse of market power. But in Indonesia price controls are also applied in competitive markets, which can limit firms' entry, stifle competition and innovation, and reduce product quality. The retail price of certain goods and services open to competition are subjected to greater control or regulation compared with peers (Figure 4.21). Even for global innovator and tradable

services, Indonesia has more price controls than in other UMICs (Figure 4.22).

While price controls may be well intentioned in ensuring affordability and security, particularly for energy and food, there are better ways of achieving these goals.[37] In energy, inefficiencies associated with electricity and fuel subsidies in Indonesia are well documented elsewhere in terms of fiscal costs, regressivity, and carbon intensity of growth.[38] In food policy, subsidies and support mechanisms such as market price supports (MPS) and irrigation entrench inefficient, input-intensive agricultural practices, favoring rice production over diversified and nutritious food.[39] Targeted income transfers are more effective than subsidies, though structural reforms are needed to overcome constraints in delivery mechanism. In competitive sectors, particularly global innovator and tradable services, it is important to reduce or eliminate price controls to allow expansion of these markets through new entry, innovation, and competition.

Figure 4.21

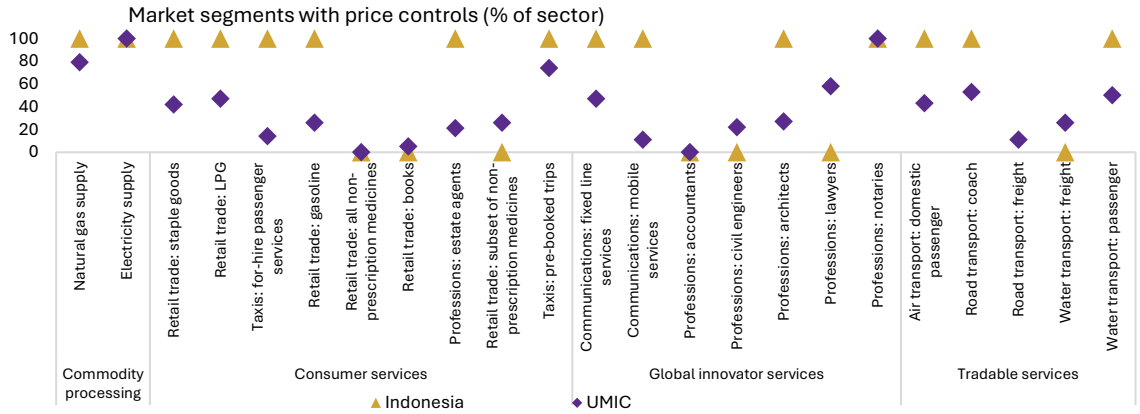
Extent of price control higher than in most peer countries…



Source: PT UBS Securitas Indonesia (Cross-Connections), review of company reports, World Bank staff compilation.

Figure 4.22

…including in global innovator and tradable/enabling services, price controls are quite extensive



Source: PT UBS Securitas Indonesia (Cross-Connections), review of company reports, World Bank staff compilation.

37 World Bank. 2022. "Reforms for Recovery" World Bank East Asia and Pacific Economic Update (October), World Bank, Washington, DC.

38 World Bank 2023. "Indonesia Country Climate and Development Report," World Bank, Washington DC.

39 Ministry of Agriculture Regulation No 10/2022 regulates the ceiling price of subsidized fertilizers for the agricultural sector, and targets commodities such as maize, rice, soybean, shallots, garlic, chilies, sugar cane, coffee, and cacao.

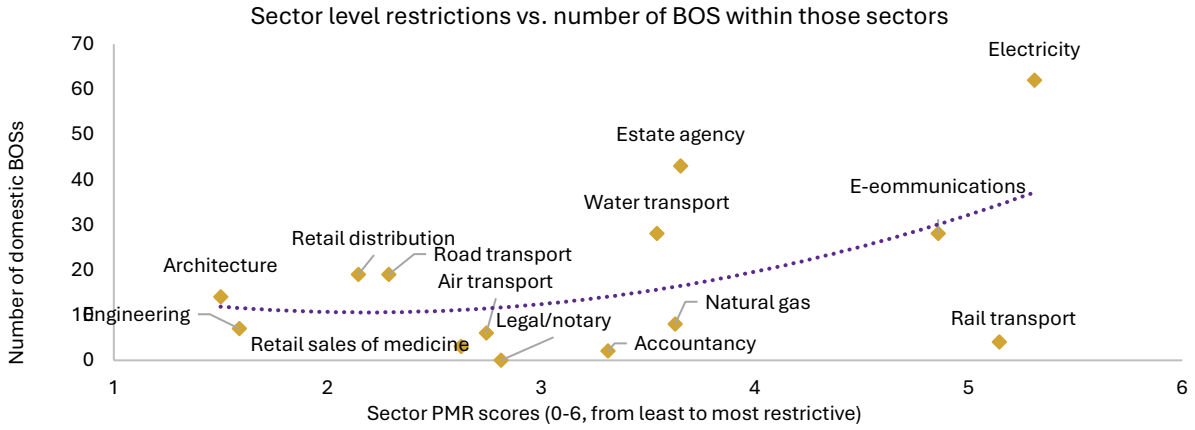
Beyond state involvement in the economy, market competition is also restricted by regulations that limit the entry of domestic and foreign firms in selected markets. These account for one-third of regulatory barriers to competition in the OECD PMR framework. Notable barriers to domestic entry in the services and network sectors include restrictions on the number of firms allowed to compete in electricity subsectors, while barriers to foreign entry include restrictions in key professional services and the unfavorable treatment of foreign suppliers under the public procurement regulatory framework. Even though these restrictions are less prominent than those induced by state involvement in the economy, they nevertheless remain high compared with peer countries.

4.4 Markets restrictions for foundational infrastructure

Indonesia's regulatory framework also features restrictions that limit market dynamics in key network sectors, or foundational infrastructure, whose outputs are critical inputs for downstream firms. These include regulations that limit firm entry and competition in energy (electricity and natural gas), transport (rail, air, road, and water), and e-communication (fixed and mobile). In general, regulatory distortions seem to be positively associated with BOS presence in network sectors and critical services (global innovator and enabling services) that provide important inputs across the economy (Figure 2.23).

Figure 2.23

Regulatory restrictions to competition are higher in key network sectors with larger BOS presence in Indonesia



Source: World Bank Global Businesses of the State (BOS) database and OECD PMR indicators, 2020. Note: Information on BOS is as of December 2019. The PMR indicators are based on laws and regulation "on the books" as of January 1 of a certain year. For most countries, they reflect the situation as of January 1, 2018.

Indonesia faces regulatory restrictions in the energy sector, particularly in electricity and natural gas (Figure 2.24). The absence of vertical separation between electricity transmission, generation, and retail supply allows for cross-subsidization, distorting costs and reducing market efficiency. In contrast, most UMICs and HICs have legally or operationally unbundled these segments to foster competition (Figure 2.25). Another critical issue is the lack of regulated third-party access (TPA) to electricity transmission and

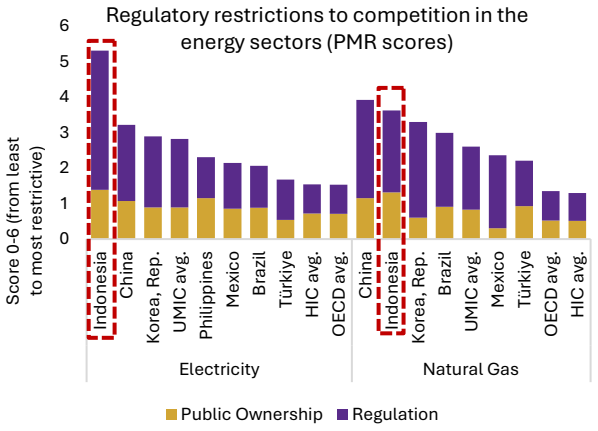
distribution networks, with access negotiated rather than guaranteed under fair, transparent rules. In the natural gas sector, regulated TPA aligns with international norms, but electricity lags. Moreover, as noted above, energy prices are distorted by government controls, with electricity and natural gas retail prices set below marginal costs.

Indonesia's transport sector faces high regulatory restrictiveness across rail, air, road, and water transport segments (Figure 4.26). Rail passenger services remain closed to competition, unlike in over 60 percent of OECD countries, where at least some routes allow for open competition or public service contracts. Similarly, water transport suffers from government-imposed capacity restrictions on passenger and freight services, which deter private investment. These restrictions stand in stark contrast to over 90 percent of OECD countries, which allow for market-driven capacity adjustments. Air transport also faces significant regulatory barriers, including foreign equity limits and licensing requirements that stifle innovation and competition. While road transport is somewhat less restrictive, high licensing barriers persist. Introducing competitive dynamics in rail transport, relaxing capacity restrictions in water transport, and easing foreign equity limits in air and road transport could attract private investment, enhance service quality, and foster market efficiency.

Indonesia's telecommunications sector is also highly restricted, particularly in mobile services, where regulatory barriers exceed those of all peer countries. The government retains substantial equity stakes in major operators, especially in fixed-line services. Another

Figure 2.24

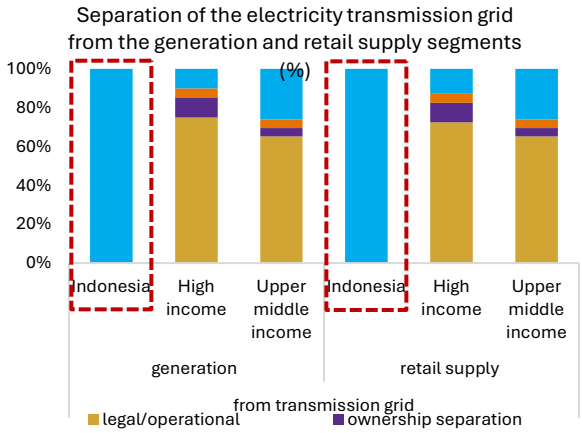
Indonesia features more severe regulatory restrictions to competition in the energy sectors than most peers



Source: OECD and OECD-WBG PMR indicators, 2018–2022.
Note: The scores range from 0 to 6, from the least to most competition-restricting regulatory framework. The PMR indicators are based on laws and regulation "on the books" as of January 1 of a certain year. For most countries, they reflect the situation as of January 1, 2018. The year for which the data reflect for each comparator country is indicated in parentheses: China (2020), Indonesia (2020), Brazil (2018), Türkiye (2018), Philippines (2022), Rep. of Korea (2018), and Mexico (2018).

Figure 2.25

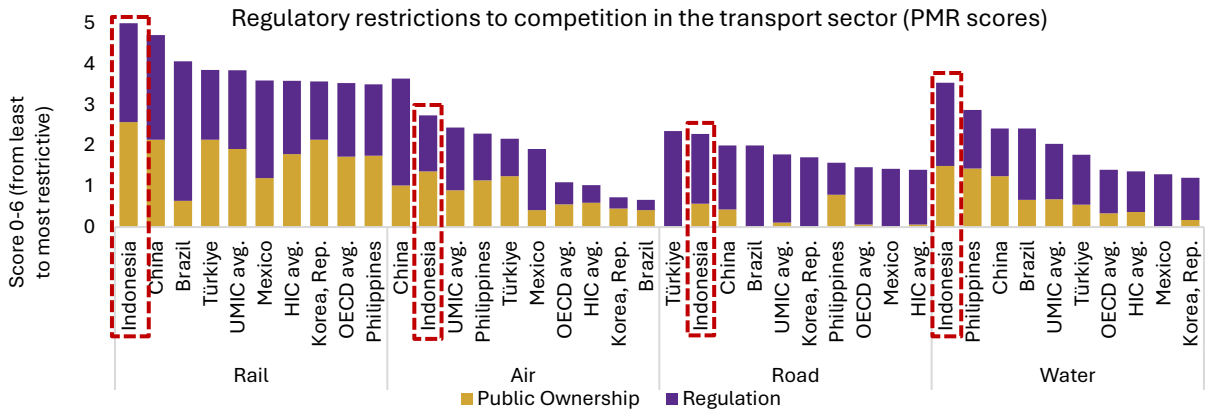
There is no vertical separation of the electricity transmission grid from the generation and retail supply segments



Source: World Bank staff elaboration based on OECD and OECD-WBG PMR database 2018–2022 and data collected on selected questions of the 2018 PMR for other countries between 2021 and 2023. The information for Indonesia is based on laws and regulation "on the books" as of January 1, 2020

Figure 4.26

Regulatory restrictions to competition in the transport sector of Indonesia are more severe than in most peer countries

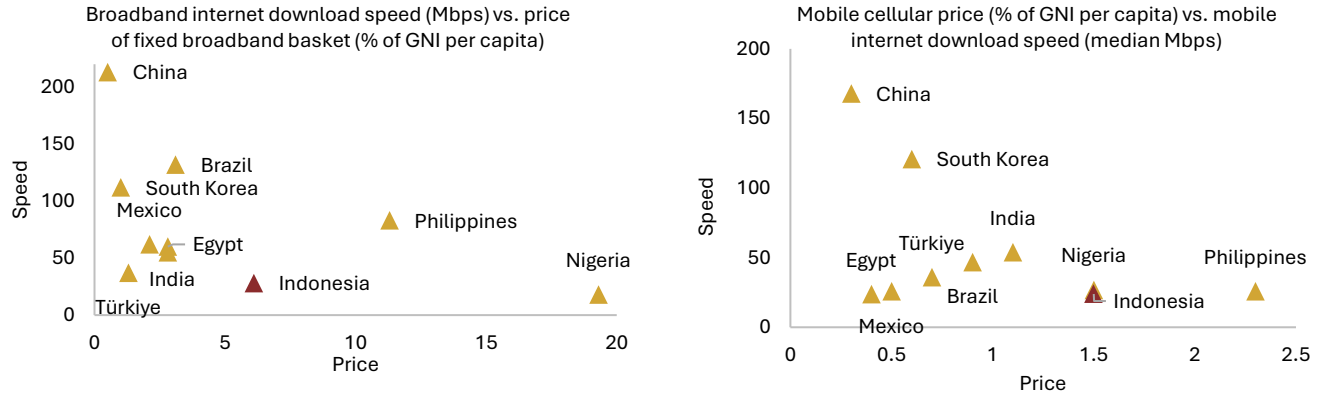


Source: OECD and OECD-WBG PMR indicators, 2018–2022. Note: The scores range from 0 to 6, from the least to most competition-restricting regulatory framework. The PMR indicators are based on laws and regulation "on the books" as of January 1 of a certain year. For most countries, they reflect the situation as of January 1, 2018. The year for which the data reflect for each comparator country is indicated in parentheses: China (2020), Indonesia (2020), Brazil (2018), Türkiye (2018), Philippines (2022), Rep. of Korea (2018), and Mexico (2018).

key issue is the lack of mandatory number portability for fixed-line and mobile services, unlike in most UMICs and HICs. This limitation prevents consumers from easily switching providers, reinforcing monopolistic tendencies. These restrictions result in higher prices and lower service quality. Broadband and mobile services in Indonesia are more expensive than in peer countries, while download speeds for both fixed broadband and mobile internet are significantly lower (Figure 4.27). Reforms such as mandating number portability, promoting infrastructure sharing, and further liberalizing foreign equity restrictions would enhance competition and improve service delivery.

Figure 4.27

Limited competition in the e-communications sector of Indonesia translate into relatively higher prices and low service quality than in most peer countries



Source: OECD and OECD-WBG PMR indicators, 2018–2022. Note: The scores range from 0 to 6, from the least to most competition-restricting regulatory framework. The PMR indicators are based on laws and regulation "on the books" as of January 1 of a certain year. For most countries, they reflect the situation as of January 1, 2018. The year for which the data reflect for each comparator country is indicated in parentheses: China (2020), Indonesia (2020), Brazil (2018), Türkiye (2018), Philippines (2022), Rep. of Korea (2018), and Mexico (2018).

CHAPTER 5

INTERNATIONAL TRADE AND INVESTMENT REGULATION

Unlocking services trade can significantly boost growth and good jobs. Reducing barriers in professional services, finance, and transportation can enhance competitiveness, lower costs, and foster innovation. A more open services sector would also strengthen manufacturing and exports by improving access to critical inputs.

Indonesia can build on its bold reforms to maximize the impact of investment liberalization. While the 2021 Omnibus Law improved foreign investment openness, easing high capital requirements, local content rules, and ownership limits in logistics, media, and retail could further attract investment and expand market opportunities.

Streamlining non-tariff measures (NTMs) is necessary to enhance trade. Simplifying import approvals, revising local content requirements, and improving regulatory standards can reduce costs for manufacturers, encourage foreign investment, and enhance Indonesia's participation in global value chains.

Downstreaming efforts could be optimized for sustainable growth. Instead of outright export bans, a mix of moderate export taxes and targeted incentives could attract investment while ensuring economic and fiscal sustainability in resource processing industries.

5.1 Overview of services trade restrictions

Indonesia's services trade restrictiveness remains among the highest globally. In 2022, Indonesia's average Services Trade Restrictiveness Index (STRI) stood at 65.6,[40] compared with 45.1 for OECD countries and 52.2 for ASEAN peers (Figure 5.1). By comparison, recently acceded OECD members such as Costa Rica and Colombia have substantially lower barriers to services, with STRIs at 43 and 38.9, respectively. Although Indonesia has made notable progress in addressing barriers to services trade (Figure 5.2), it continues to rank alongside some of the most restrictive countries globally, such as Libya, Egypt, or Ethiopia. Despite reforms to ease foreign equity restrictions and improve access to foreign skills, significant

40 STRI results are based on a comprehensive survey conducted in Indonesia in 2022 covering 34 service sectors and all 4 modes of supply. The index capture policies affecting market entry, operations, competition, administrative procedures, regulatory transparency and other measures. The results of the survey were subsequently incorporated into the World Bank – WTO Services Restrictions database to provide detailed and comparable information on policy and regulatory measures affecting international trade in services across countries, sectors, and modes of supply.

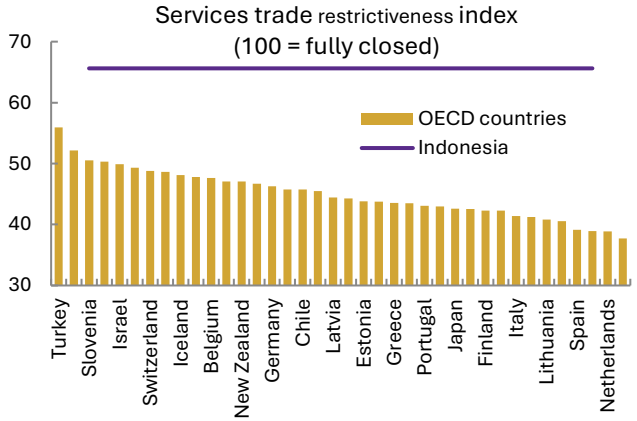
obstacles persist, particularly in mode 3 (commercial presence) and mode 4 (movement of natural persons) trade (Figure 5.3).[41]

Restrictions are prevalent in high value-added global innovator services such as professional and financial services, as well as connector services such as transportation. The average STRI for professional services in Indonesia stands at 75.8 (Figure 5.4), slightly lower than in the Philippines (83) but significantly higher than Viet Nam (56.3) and Singapore (58.8). Within professional services, legal, auditing, and accounting services face the highest restrictions. In the financial services sector, barriers to insurance services are more pronounced than those in banking and reinsurance. In transportation, the average STRI is 66.4 are higher than in the Philippines (50.4), Malaysia (51.9), and Viet Nam (55.8). High restrictions persist in sectors such as maritime intermediation, road freight, and maritime cargo, storage, and warehousing.

Services trade restrictions affect both foreign and domestic firms, often shielding local providers from competition but at the cost of inefficiency and reduced innovation. These barriers—ranging from preferential treatment, market entry restrictions, and operational constraints—deter foreign investment, limit access to higher-quality or lower-cost imported services and raise consumer prices. Domestic firms also face reciprocal obstacles when trying to expand abroad, reducing their global competitiveness.

Figure 5.1

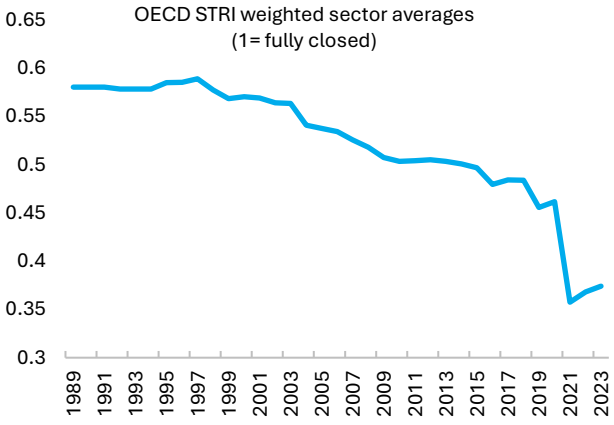
Indonesia's services trade restrictiveness is significantly higher than that of OECD peers...



Source: World Bank-WTO services trade policy database. Simple averages.

Figure 5.2

... despite reforms that have significantly liberalized services trade

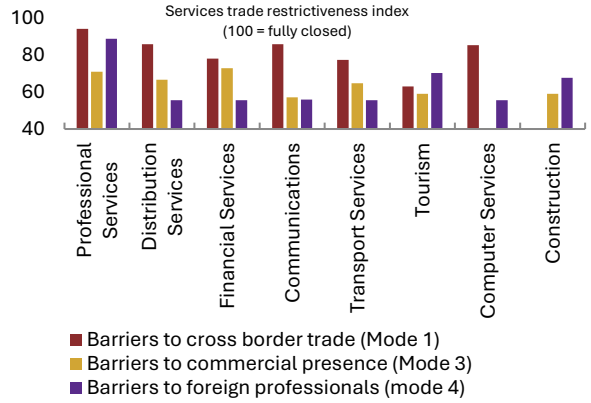


Source: OECD (2024).

41 Services trade occurs through four modes of delivery defined by the WTO's General Agreement on Trade in Services (GATS). Mode 1, or cross-border supply, involves services delivered remotely, such as financial consulting or software development provided across borders without the movement of the provider or consumer. Mode 2, consumption abroad, occurs when consumers travel to another country to access services, such as tourism or studying abroad. Mode 3, commercial presence, involves a service supplier establishing a branch or subsidiary in a foreign market, as seen in multinational banks or hospitals operating in host countries. Finally, mode 4, the presence of natural persons, refers to individuals temporarily traveling to another country to provide services, such as engineers or IT specialists working on short-term assignments. These modes reflect the diverse ways in which services cross borders and contribute to global trade.

Figure 5.3

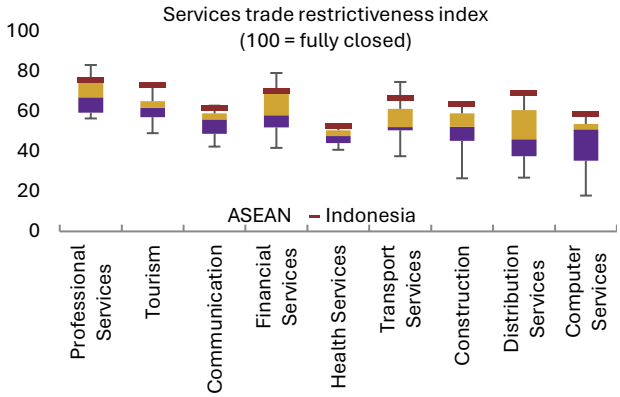
Pronounced restrictions remain in cross-border delivery and investment



Source: World Bank-WTO services trade policy database.

Figure 5.4

Restrictions are most prevalent in global innovator services



Source: World Bank-WTO services trade policy database.

At a broader level, these restrictions suppress productivity, constrain the growth potential of the services sector, and reduce its contribution to the economy. Given the increasing integration of services into manufacturing, such policies also raise input costs, restrict access to essential services such as finance, logistics, and telecoms, and hinder the ability of firms to move up the value chain. Moreover, they limit access to global knowledge and technologies, further impeding innovation and long-term economic development.

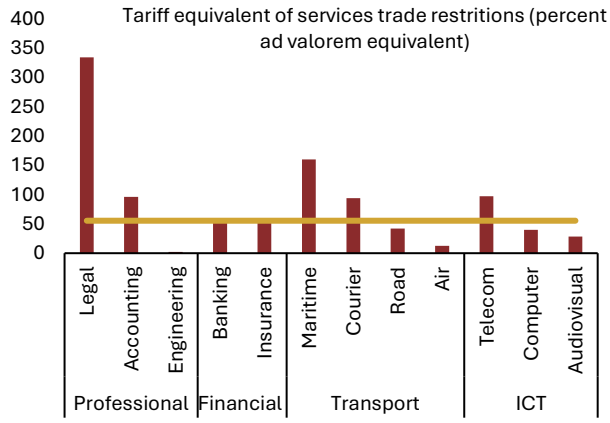
Indonesia's services restrictions are estimated to amount to an average tariff equivalent of 55 percent, and much higher in key sectors such professional services, maritime transport, and telecoms. In comparison, average import tariffs stand at 5.3 percent, while NTMs on goods imports add up to a tariff equivalent of 30 percent.[42] Legal and accounting services are estimated to face the most binding restrictions, equivalent to a tariff of 334 and 96 percent, respectively (Figure 5.5). Similarly, restrictions to maritime transport amount to an ad-valorem equivalent (AVE) of 160 percent, a significant impediment to improving logistics competitiveness and lowering logistics costs. In the ICT sector, key to Indonesia's digitalization ambitions, barriers in telecoms are estimated at an AVE of 97 percent. Those in computer services (40 percent) and audiovisual services (29 percent) are comparatively less restrictive.

Restrictions to services not only hinder access to imports but also limit Indonesia's services exports. World Bank estimates indicate that a 1-percent increase in Indonesia's services restrictiveness reduces exports by 2.9 percent, more than the corresponding impact on imports at 2.4 percent (Figure 5.6). The strong effect on services exports can be attributed to the negative relationship between services restrictions and sector performance, including long-term productivity losses that could be realized with higher foreign investment. Among different measures, limitations on foreign entry have the most pronounced impact, as every 1-percent increase in their STRI sub-index reduces exports of services by 2.2 percent.

42 A gravity model of services trade was used to estimate ad-valorem equivalents (AVEs) of services restrictions. Given the lack of available bilateral-sectoral services trade data, mirror flows as reported by Indonesia's trading partners was used.

Figure 5.5

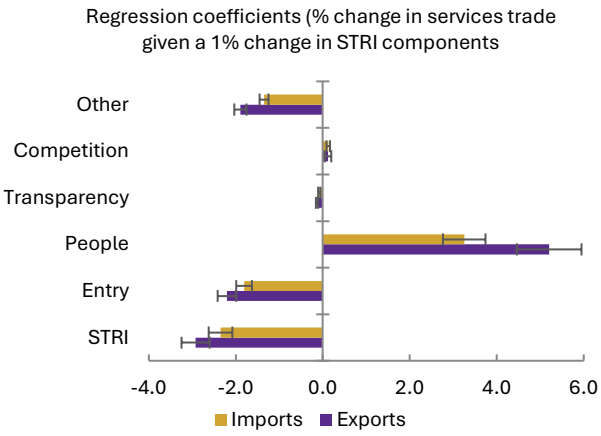
Services restrictions amount to an average tariff equivalent of 55 percent



Source: Source: World Bank staff calculations.

Figure 5.6

Services restrictions limit not only access to imports but also export competitiveness



Source: World Bank staff calculations.

5.2 Regulation of foreign investment in the services sector

Indonesia substantially opened service sectors to foreign investment through the Omnibus Law on Job Creation (JCOL) in 2021. The 2021 Positive List repealed the 2016 Negative List,[43] allowing up to 100 percent foreign ownership in most business activities, except where specific restrictions apply. The number of business fields subject to foreign investment restrictions was reduced from 515 to 374, including the number of sectors closed to FDI, those reserved for or requiring partnership with MSMEs, and those open with some limitation such as foreign equity caps (Figure 5.7).

For instance, wholesale distribution, previously limited to 67 percent foreign ownership has been fully liberalized for foreign investment. Similarly, restrictions on foreign equity in airport services, seaport facilities (formerly capped at 49 percent), and airport terminal support services (formerly capped at 67 percent) have been entirely removed. In telecommunications, equity limits for the provision of internet services, and fixed and mobile network providers were also fully lifted from the previous caps of 49 and 65 percent, respectively.

While overall foreign investment in services has remained low (Chapter 1), there has been some increase in newly liberalized sectors. For instance, foreign investment in telecommunication more than doubled from US$1.2 billion in 2018 to US$2.9 billion in 2023, with the share of telecommunications in total services FDI increasing from 12.1 to

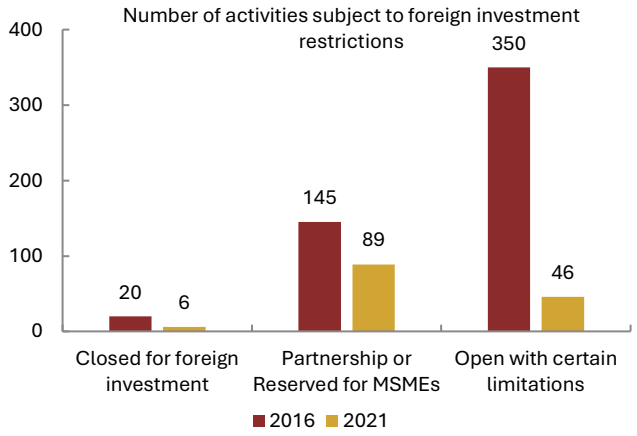
43 Presidential Regulation No. 10/2021 and the amended Presidential Regulation No. 49/2021 repealed the 2016 Negative List of Presidential Regulation No. 44/2016 with a substantially liberalized Positive List for the services sector.

16.3 percent (Figure 5.8). Similarly, FDI in transportation and warehousing increased in importance from 10.6 percent of the total during the pre-JCOL period (2017–2019) to 16.7 percent thereafter.

A few segments in the service sector remain closed to foreign investment. These include Umrah and Hajj travel agency activities, art galleries, e-commerce involving specific goods (e.g., food, textiles, and household items), and wholesale or retail trade of alcoholic beverages. Activities reserved for Indonesian MSMEs, where foreign investment is prohibited, span sectors such as small-scale electricity provision (<1 Mega Watt), construction using basic technology, retail trade of everyday items, one-star hotels, guest houses, tourism travel agents and tour guides, primary health clinics, and small service businesses including photocopying, laundry, and beauty salons.

Figure 5.7

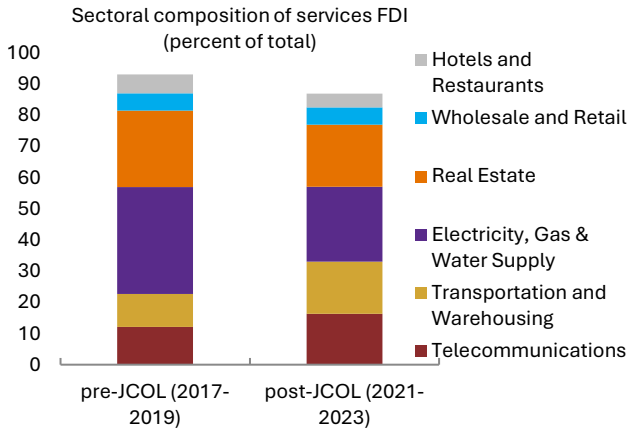
JCOL significantly reduced the number of activities subject to foreign investment restrictions



Source: Presidential Regulations No. 44/2016 and No. 10/2021.

Figure 5.8

The share of telecommunications and transportation has grown within services FDI



Source: Ministry of Investment/BKPM, World Bank staff calculations.

Certain business lines, notably in logistics and transportation services, are subject to foreign equity limits or require partnerships with local cooperatives or MSMEs. For example, foreign ownership is capped at 49 percent for water transport, domestic air transportation, domestic passenger liner and tramp activities, sea transport for tourism, and postal and courier services. Media and entertainment (private broadcasting and community TV) are limited to 20 percent foreign equity, while publishing (newspapers and magazines) allows up to 49 percent. In addition, sectors such as bridge construction using simple technology, courier agent activities, and clinical health labs require partnerships with cooperatives or MSMEs. While joint ventures with local partners are not generally mandatory, de facto partnerships are often needed in sectors with foreign equity limits. Foreign ownership limits cannot be bypassed through mergers or acquisitions.

Several other barriers to the establishment and operations for foreign service providers continue to limit services investment and exports. Among these, the most binding are minimum capital requirements, local content requirements, investment screening and approval, and land ownership restrictions. These measures often act as de-facto barriers to investment, while increasing costs, delays and uncertainty for investors and traders. In addition, there are sectoral or other regulations that impose varying or different requirements that have yet to be addressed.

Foreign investment is subject to high minimum capital requirements, exceeding those in other countries in the region. Foreign investors must meet a minimum capital investment threshold of IDR 10 billion (about US$650,000) per business activity and per project location (excluding investment in land and buildings), with a paid-up capital requirement of IDR 2.5 billion (about US$150,000) deposited in an Indonesian bank.[44] In comparison, neighboring countries Viet Nam, Malaysia and Singapore have virtually no formal minimum capital requirements for most sectors (Table 5.1).

Table 5.1

Minimum capital requirements for foreign investment in ASEAN

Indonesia	**US$630,000 (IDR 10 billion)**
Philippines	**US$200,000 (PHP 12 million)**
Thailand	**US$60,000 (THB 2 million)**
Singapore	**US$0.7 (SGD 1)**
Malaysia	**US$0.5 (MYR 2)**
Viet Nam	**none**

Source: Country-specific investment regulations, compiled from official sources.

These high minimum capital thresholds may inadvertently limit the diversification and competitiveness of Indonesia's services sector. While Indonesia liberalized foreign investment, it also quadrupled minimum capital requirements from IDR 2.5 billion to IDR 10 billion, aiming to attract large-scale investments and to protect local MSMEs. However, the substantial minimum capital threshold may act as a de-facto barrier to investment in many segments of the service sector that are typically less capital-intensive, for example, professional and creative services. Such high investment requirements prevent smaller foreign service providers and startups from entering the market, potentially stifling innovation and competition, implicitly favoring incumbents.

Foreign investment is subject to screening, approval, and reporting requirements, adding complexity for investors. Business licenses are granted if investments comply with the 2021 Investment List, meet capital requirements, and adhere to sector-specific regulations. Licenses are processed through the Online Single Submission (OSS) system, which has streamlined registration and licensing using a risk-based assessment approach. The government can reject investments in closed sectors, such as gambling, or based on national security or interest. Companies failing to implement investment plans risk license revocation. Apart from screening, there are no quantitative limits on foreign service providers.

44 This minimum capital requirements apply in all sectors unless determined otherwise in the applicable laws and regulations (e.g., banking sectors' regulations require a higher capital threshold). The requirement does not apply to representative offices and foreign business entities that conduct business in Indonesia without having a local subsidiary.

In some segments of the services sector, the use of minimum local content thresholds is mandated as an operational condition. For example, shopping centers and modern stores are required to ensure that at least 80 percent of their sales or inventory consist of locally manufactured goods. Food and beverage service providers are similarly required to source 80 percent of their raw materials and equipment domestically. Furthermore, certain industry regulations provide incentives for using local products, such as offering price preferences in tenders.

Foreign companies face restrictions on land ownership, potentially hindering services investment that require substantial physical infrastructure. Indonesian law prohibits foreign companies from holding freehold land titles (*hak milik*). Instead, foreign companies can obtain the Right to Build (*hak guna bangunan*), which permits the construction and ownership of buildings on land for up to 30 years, with the possibility of renewal. Alternatively, they can secure the Right to Use (*hak pakai*), enabling the use of land for specific purposes, typically up to 30 years renewable up to a maximum of 80 years. Services that require long-term stability in their physical location such as retail and wholesale outlets, hotels, and higher value-added services such as telecommunications may be disadvantaged.

Services are not included in the JCOL priority sectors list eligible for fiscal and non-fiscal incentives. Of the 245 prioritized business lines, only segments in the services sector related to the digital economy (e.g., hosting, data processing) qualify for tax holidays. Other benefits for priority sectors include a 50 percent corporate income tax reduction for investments between IDR 100 billion and IDR 500 billion for five years, and a 100 percent reduction for investments over IDR 500 billion for 5–20 years. Tax allowances provide a 30-percent reduction in taxable income based on total investment, spread over six years, a reduced 10-percent withholding tax on dividends, and the ability to carry forward tax losses for up to 10 years.

5.3 Regulation of services trade

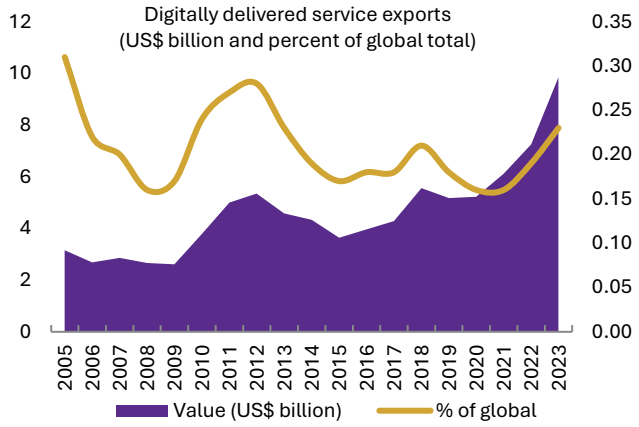
In the past 20 years, digital services trade has grown more than fourfold. In 2023, global digital exports reached over 4 percent of world GDP. Indonesia has been part of this growth, with digital services exports tripling from US$3.1 billion in 2005 to US$9.8 billion in 2023 (Figure 5.9). Cross-border services trade delivered digitally or otherwise,[45] also benefited from rising internet use, e-commerce, e-payments, and other technologies. Key sectors include IT services (e.g., software, cybersecurity, cloud computing), professional services (e.g., consultancy, accounting), and financial services (e.g., online banking). Education via e-learning platforms and healthcare services such as telemedicine and online therapy have also expanded.

45 Digitally delivered services often overlap with mode 1 (cross-border) trade, but not all mode 1 transactions are digital e.g., postal consulting, print media subscriptions, and phone-based services. Likewise, some digital services fall under other modes, such as mode 4 (presence of natural persons).

Yet Indonesia's digital trade competitiveness is constrained by high barriers. Its digital trade restrictiveness remains the highest compared with peers in the regions, limiting its ability to fully capitalize on the fast-growing global demand for digital services (Figure 5.10). Barriers affecting infrastructure, connectivity, electronic transactions, and payment systems prevent Indonesia from capturing a higher share of this dynamic digital market. Fixed broadband faces challenges due to lack of competition, limited infrastructure-sharing among internet service providers, and fragmented internet procurement processes. Mobile broadband connectivity is constrained by low speeds, high network congestion, and high spectrum fees. Among other barriers are data localization and data transfer restrictions, discriminatory conditions for licenses to engage in e-commerce, barriers to services procurement, foreign ownership caps to payment companies and contract rules for cross-border transaction that deviate from international standards.

Figure 5.9

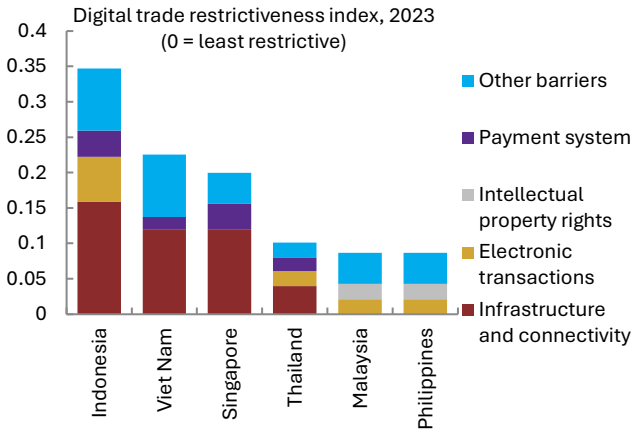
Indonesia's digital trade exports have shown consistent growth



Source: WB ALPQ assessment across 10 industries in Indonesia.

Figure 5.10

High barriers hamper Indonesia's digital trade competitiveness



Source: WTO Digitally delivered services trade dataset.

Data localization and transfer restrictions increase costs for businesses, hinder global operations, and limit data-driven innovation, thereby constraining digital services trade. Electronic system operators (ESPs) engaged in public service activities are required to store data locally, maintain data centers and establish disaster recovery centers in Indonesia. Private sector operators can store data overseas but only if the recipient country has equal or higher data protection standards than Indonesia.[46]

46 There is currently no government authority competent for the design, implementation and/or enforcement of requirements and rules governing cross-border data flows. Law No. 27/2022 on Personal Data Protection mandated the establishment of a Data Protection Authority (DPA), but this has yet to be established.

Although government incentives[47] have spurred growing investment in data center capacity, the supply remains insufficient to meet the rising demand. Restrictions on cross-border data flows can prevent service providers from having access to Indonesian market, thereby stifling competition and limiting the availability of certain services. This is particularly detrimental to sectors reliant on real-time data exchange, such as financial services and e-commerce. MSMEs are disproportionately affected, as they often lack the resources to comply with these requirements.

Indonesia has recently introduced stricter regulations on e-commerce transactions. These include a ban on cross-border e-commerce transactions valued below US$100 with the stated goal of protecting small businesses from import competition and disincentivizing the under-declarations of goods' value to avoid tariffs and taxes.[48] Furthermore, foreign e-commerce platforms are required to establish a representative office in Indonesia if they meet certain thresholds, such as conducting more than 1,000 transactions with local consumers or generating traffic from at least 1 percent of Indonesia's internet users within a one-year period. In addition, social e-commerce platforms (e.g., TikTok) are now banned from facilitating direct e-commerce transactions.

Restrictions on foreign service firms' access to public procurement contracts directly hinder cross-border services trade. Foreign service providers are only allowed to join public procurement tenders above a specified threshold and, in most cases, are required to use a local agent or representative. International tenders are only carried out for contracts exceeding minimum thresholds, namely (i) construction works valued at least IDR 1 trillion (about US$63 million); (ii) goods/services valued at least IDR 50 billion (about US$3.1 million); (iii) consultancy services valued at least IDR 25 billion (about US$1.5 million); and (iv) goods/services financed by export credit agency or foreign private creditors.[49]

Procurement contracts must also meet minimum local content requirements, tied to price preference margins. Procurement projects that meet local content of 25 percent benefit from price preference margins of 7.5–25 percent, applied to domestic goods/services depending on the sector.[50] These price preferences, stringent local content requirements coupled with high minimum thresholds in public procurement exclude foreign service providers in sectors where quality and access to advanced technology unavailable domestically are paramount, potentially leading to higher costs and reduced productivity. These restrictions limit competition and choice for government procurers, which leads to higher costs as discussed in Chapter 4.

47 Targeted incentives aim to attract investment in the data center sector, including income tax reductions tied to investment value. For example, investments ranging from IDR 100–500 billion are eligible for a 50 percent tax reduction over a five-year period, with even greater reductions and extended durations available for larger investments.

48 Ministry of Trade Regulation 31 of 2023 on Business Licensing, Advertising, Guidance and Supervision of Businesses in Trade Through Electronic Systems.

49 Thresholds for foreign service providers may be lowered if domestic providers cannot fulfill procurement requirements.

50 The price preference for Construction Works conducted by national business entities is a maximum of 7.5 percent above the lowest bid price of foreign business entities.

5.4 Regulation of foreign workers

Limited access to essential skills further hinders the development of high-skilled segments of the services sector. For example, recent estimates indicate that Indonesia needs an additional 600,000 digitally high-skilled workers annually to meet industry demand.[51] However, the current supply falls short, with advanced digitally skilled workers constituting less than 1 percent of the workforce. Furthermore, close to 80 percent of Indonesian companies reported that they were unable to fill managerial vacancies (World Bank 2020). To address the skills gap, initiatives to strengthen the skilled workforce through formal education, vocational training, and on-the-job training programs could provide medium-term solutions. In the short term, importing foreign talent could help alleviate skills shortages.

Recent JCOL reforms have eased restrictions on the movement of foreign professionals. For example, the requirement to have the Expatriate Manpower Employment Plan (RPTKA) for several positions was eliminated, including roles in tech start-ups, business travel and time-bound research. Furthermore, employers are no longer required to obtain a written license from the Ministry of Manpower to employ expatriate workers.[52] These reforms have streamlined the approval process, eliminated the discretion of sectoral ministries, and expanded the range of skill gaps that firms can fill through global markets.

The number of foreign workers employed in Indonesia has since grown, albeit from a low base. By 2023, approved expatriate work permits reached 168,000, with about half employed in the service sector (Figure 5.11). While this marks a notable increase from only 109,000 in 2019, foreign workers still represent less than 1 percent of Indonesia's skilled workforce. Foreign workers are nearly evenly distributed in professional and managerial/advisory positions, with the proportion of professionals increasing over time (Figure 5.12). Close to half of all foreign workers in Indonesia originate from China, followed by Japan (9.5 percent), Rep. of Korea (9.3 percent), and India (5.2 percent) (Figure 5.13).

Foreigners are only allowed to work in 18 segments of the services sector and are restricted to 2,000 job titles.[53] Segments in the services sector with the highest number of positions open to expatriates are education (980 positions), ICT (244 positions) and construction (181 positions). In contrast, employment in professional services is limited to 20 positions, adding to other sector-specific restrictions. Foreigners are also not permitted to take up positions related to human resources.

51 "Digital skills landscape in Indonesia" prepared by SMERU Research Institute, University of Oxford and UN ESCAP.

52 These reforms under Government Regulation 34 of 2021 on the Utilization of Foreign Workers were also supported by the World Bank Development Policy Lending operation Indonesia Investment and Trade Reforms DPL (P172439).

53 According to the International Standard Classification of Occupations (ISCO), issued by the International Labor Organization (ILO).

Figure 5.11

Increase in foreign workers in the services sector

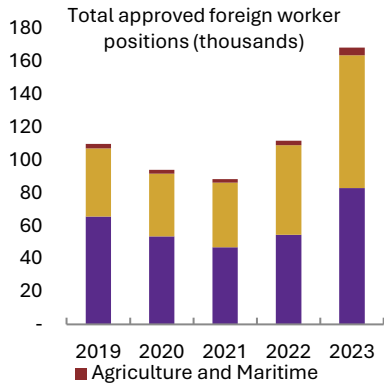


Figure 5.12

Mostly in managerial, advisory, and professional

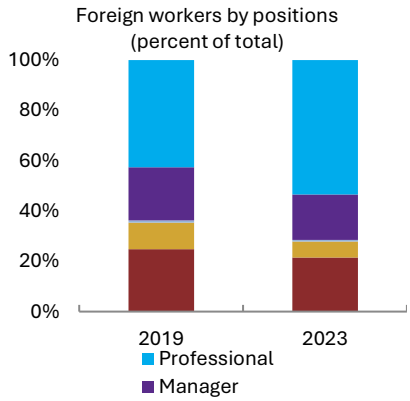
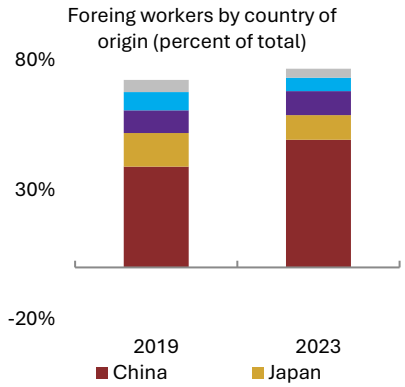


Figure 5.13

Nearly half of foreign workers originate from China



Source: Ministry of Manpower, World Bank staff calculations.

The work permit process can be cumbersome, costly, and subject to yearly reporting requirements. Expatriates in Indonesia must obtain a work permit and a stay permit. Employers must apply for an Expatriate Manpower Utilization Plan (RPTKA) from the Ministry of Manpower and a stay permit from Immigration. Applications must demonstrate a lack of suitable local candidates and efforts to recruit local talent. Permits are typically valid for up to two years. Employers must submit annual reports to the Ministry of Manpower, including efforts to transfer expertise to Indonesian workers. A mandatory US$100/position/month fee to the Foreign Workers Compensation Fund significantly raises costs. Even non-resident foreign board members must apply for a work permit.

Employers are required to prioritize Indonesian workers and appoint at least one Indonesian person as the foreign national's counterpart. They must have a similar or equivalent position as the foreign national, and the foreigner must transfer their knowledge and expertise to them. This requirement is not applicable if the foreign national is appointed as: (i) a member of the board of directors or board of commissioners in a limited liability company in Indonesia; (ii) trustee, manager or supervisor in a foundation in Indonesia; or (iii) chief of foreign company/foreign trade representative office in Indonesia.

Box 5.1

Boosting medical competitiveness and attracting investment in the health sector

Until recently, several policies limited the supply of doctors and development of much needed skills in the health system. For example, Indonesian doctors that graduated abroad—and even more so, foreign doctors—faced significant entry barriers. In 2023, less than 0.2 percent of doctors receiving registration letters were Indonesian graduates from foreign institutions. Due to regulatory restrictions, there were no foreign medical doctors practicing in Indonesia in 2023, compared with 16 percent in Singapore and 7 percent in Malaysia. These restrictions were intended to protect domestic practitioners but also contributed to skills shortages in specialized medical areas, particularly outside Java. Many Indonesians sought medical care abroad (e.g., in Malaysia or Singapore), highlighting the need for reform.

The Health Omnibus Law In Indonesia, adopted in 2023, has made a significant reform in liberalizing the local health sector by opening it up to foreign doctors. It now allows foreign doctors and dentists to practice under specific conditions aimed at ensuring quality and safety. Foreign health professionals must fulfill requirements such as passing competency assessments, adhering to Indonesian regulations, and often partnering with local institutions.

These reforms are intended to expand access to specialized medical services, address health workforce shortages, and improve the overall quality of healthcare services. The reform also aims to boost Indonesia's medical competitiveness, attract investment in the health sector, and reduce the outflow of patients seeking treatment abroad.

Source: WB, Indonesia Universal Health Coverage Development Policy Loan (2023).

5.5 Non-tariff measures and manufacturing competitiveness

Addressing barriers to services can also boost manufacturing output, which as discussed in Chapter 2 has suffered from declining productivity. As a result, Indonesia's share of global manufacturing exports has stagnated at 1.1 percent since 2000, trailing behind regional peers such as Viet Nam, whose share rose from 0.2 percent in 2000 to 1.6 percent in 2020—a sixfold increase. Indonesia's exports remain heavily concentrated in commodities such as palm oil, coal, gold, gas, rubber, and copper, which together accounted for nearly one-third of total goods exports in 2020.

Over the past two decades, the composition of manufacturing exports has remained largely static. Although exports in transport equipment, chemicals, footwear, and food products increased slightly between 2001–2010 and 2011–2020, segments such as machinery, electronics, textiles, and wood products declined. In contrast, regional peers such as Malaysia and Thailand have diversified into higher value-added industries, significantly boosting their economic complexity. For example, Malaysia's Economic Complexity Index (ECI) score in 2020 was 1.0, compared with Indonesia's -0.3.

Indonesia's integration into global value chains (GVCs) is also uneven, with high forward participation in commodities but low backward participation in manufacturing. Backward GVC participation—critical for integrating into international production networks—declined from 19 percent in 2005 to 12.9 percent in 2015.[54] By comparison, Malaysia's backward GVC participation stood at 33 percent, and Viet Nam's at 47 percent in 2015.

Declining manufacturing competitiveness is not just due to lack of service inputs, but also trade barriers that impact manufacturing input more directly. Indonesia has long relied on import substitution to stimulate domestic industry. The goal of substituting 35 percent of imports by 2022 reflects this strategy.[55] Local content requirements, import approvals, and Indonesian National Standards (SNI) aim to promote domestic production. However, imports remain vital, particularly for manufacturing and export-oriented industries. Electronics, textiles, chemicals, and transport equipment, among others, heavily depend on imported inputs. These imports contribute significantly to domestic value addition, with imported intermediate goods accounting for over 10 percent of manufacturing costs and 20 percent of intermediate input costs.

Although tariffs have declined, NTMs have surged, now affecting 90 percent of imported consumer goods and a substantial share of intermediate and capital goods. Key NTMs include pre-shipment inspections (PSI), port-of-entry restrictions, import approvals, and mandatory certification with SNI. For instance, port restrictions force goods to enter through designated facilities, increasing trade costs and consumer prices. NTMs disproportionately affect capital goods such as transport equipment, machinery, and electronics, which face cumulative tariff equivalents of 60–130 percent.

The prevalence of NTMs makes Indonesia's trade policy less transparent and more burdensome than tariffs. In 2021, NTMs imposed an average tariff equivalent of 30 percent. This includes 13 percent from technical barriers to trade (TBTs), 22 percent from sanitary and phytosanitary measures (SPS), and 15 percent from pre-shipment inspections. Compared with ASEAN peers, the cost of NTMs in Indonesia is significantly higher. For example, port restrictions impose a 22 percent tariff equivalent in Indonesia, double the cost in neighboring countries.[56]

54 High uneven participation in GVCs is an outcome of both policies as well as structural factors. For instance, evidence shows that overall, countries with a larger domestic market such as Indonesia have lower the backward GVC participation. This is because countries with a larger market are able to draw on a wider array of domestic raw materials and intermediates. Conversely, a country that primarily supplies intermediate goods to an assembler will typically have a higher forward participation.

55 Ministry of Industry Work Plan 2022 (Rencana Kerja Kementerian Perindustrian 2022); Government Regulation No. 14/2015 on National Masterplan for Industrial Development 2015–2035 (Rencana Induk Pembangunan Industri Nasional 2015–2035).

56 Montfaucon, Yar Khan and Agnimaruto 2022.

Recent reforms have aimed to reduce NTMs and enhance regulatory transparency. Between 2020 and 2021, import-related NTM regulations fell from 147 to 116, and export-related regulations declined from 30 to 18. Pre-shipment inspections have also decreased, with the share of import value affected dropping from 15 percent in 2020 to 5 percent in 2021. Similarly, the number of products requiring PSI fell from 14 to 2 percent. Import approval regulations halved in 2021, reversing a decade-long upward trend, though these approvals remain stringent. Despite these improvements, NTMs continue to burden businesses, consumers, and investors. Capital goods such as transport equipment and electronics remain the most affected, while cumulative NTMs on these goods inflate costs significantly. The opaque and discretionary nature of NTMs increases compliance complexity and corruption risks, dampening business confidence and investment.

Import substitution policies, though intended to reduce foreign dependency, risk limiting economic potential by restricting access to imported inputs vital for manufacturing and investment. These inputs are key for productivity and export competitiveness. Evidence shows a 10-point cut in input tariffs raises firm productivity by 12 percent, due to learning effects, better input quality, and greater variety.[57] Firms engaged in global markets are 20 percent more productive on average than non-integrated firms.[58]

Importing-exporters—firms that both import and export—are particularly significant for Indonesia's trade landscape. These firms account for one-quarter of imports and two-thirds of exports, underscoring the importance of imports for export growth. Firms that engage in two-way trade are more productive, export more frequently, and reach more destinations than those focused solely on exporting.[59] For example, the share of Indonesian firms engaging in international trade grew from 18 percent in 2010 to 25 percent in 2020, with importing-exporters contributing significantly to this increase.

Expanding access to imported inputs supports diversification into higher value-added activities, improving productivity and wages. Evidence also shows that an increased use of imports in manufacturing is associated with improved diversification and higher product quality.[60] Firms using imported inputs grow faster, are more innovative, and pay higher wages. For instance, workers in firms sourcing 10 percent of their inputs from abroad earn a wage premium of 3.7 percent.[61] Open trade policies also strengthen the linkage between imports and exports, particularly in complex GVCs. For example, transport equipment and electronics, key sectors for Indonesia, depend on the efficient movement of goods across borders. Barriers to imports effectively act as a tax on exports, compounding trade costs and reducing competitiveness.

57 Amiti and Konings 2007.
58 Javorcik et. al 2012.
59 Montfaucon et al. 2022.
60 Rahardja and Varela 2018.
61 Rahardja and Varela 2018.

5.6 Local content requirements

Local content policies are among the fastest growing NTMs globally, also gaining prominence in Indonesia. Local content requirements (LCRs) require firms to use a minimum level of domestically manufactured goods or services, aiming to support the development of local industries, generate employment and reduce reliance on imports. Indonesia's LCR policies span several key sectors including renewable energy, telecommunications, construction, oil and gas, and electric vehicles (EVs). For instance, telecommunications infrastructure mandates 30–40 percent local components, while renewable energy projects require between 15 and 65 percent. In the EV industry, the minimum local content to be met is set at 40 percent, with an ambitious target of 80 percent after 2030 (Table 5.2). Similarly, oil and gas upstream activities must meet a 25–30 percent local content threshold, while construction projects require a minimum of 50 percent local materials and labor. As discussed above, public procurement contract, as well as several segments of the services sector, are also subject to LCRs.

Table 5.2

Local content requirements for electric vehicles

Electric vehicles		Electric motorcycles	
2019–2021	35%	2019–2026	40%
2022–2026	40%	2027–2029	60%
2027–2029	60%	2030 onwards	80%
2030 onwards	80%		

Source: PP No. 79/2023

The economic literature on the effectiveness of LCRs reveals mixed outcomes, with their success dependent on policy design, market structure, enforcement, and complementary investments. Generally, LCR policies have been found to lead to higher production costs for firms, increases in prices for consumers, and lower foreign investment.[62] In turn, advocates argue that LCR policies can generate long-term learning benefits and technological spillovers. While local content policies can foster industrial development and downstream capacity, their economic benefits are often constrained without robust potential to scale up domestic capacity, targeted policy design, and supporting investments to ensure the availability of required skills and infrastructure.

The impact of LCR policies is highly context dependent, but country- and industry-specific studies reveal important insights. For example, evidence shows that, while LCR policies in the renewable energy sectors in India and South Africa boosted local manufacturing capacity, they also increased project costs by up to 20–30 percent, slowing the adoption of clean energy technologies.[63] Conversely, the successes of LCR policies in Thailand's automotive sector demonstrate that carefully designed LCRs, combined with incentives, can effectively integrate domestic industries into GVCs. When complemented with capacity-building initiatives, LCRs can drive technology transfers and skills, as seen in Angola and Brazil's oil sectors.[64]

62 OECD (2016) and World Bank (2015).
63 Kuntze and Moerenhout (2013).
64 Esteves and Barclay (2011).

Local content policies in Indonesia highlight some successes and important drawbacks. For example, Indonesia's LCR policies in machinery and transport industries[65] have not led to any reduction in the dependence of firms on imported inputs during the period 1990–2013. Instead, imported inputs were found to boost firm-level productivity, value added, and employment. LCRs in the oil and gas sector have been found to have contributed to employment generation and skills development, but their overall economic benefits remained modest due to weak integration with other sectors of the economy.[66] Furthermore, LCR policies in the oil and gas sector were associated with an increase of local content for compliers but they have also raised domestic input costs, reduced the local content of for other firms, leading to a decline in aggregate local content.[67]

Several measures could enhance the effectiveness of Indonesia's LCR policies.[68] First, the government could establish clear objectives for LCRs, ensuring they address specific industrial needs without being applied uniformly across diverse sectors. Industrial mapping is essential to identify sectors with comparative advantages and potential for growth, allowing tailored policy interventions. Second, a robust monitoring and performance-linked assessment mechanism would be necessary to evaluate the effectiveness of LCRs against predefined targets, using outcomes such as productivity, exports, and FDI. Third, strengthening local industrial ecosystems is crucial, with investments in infrastructure, innovation, research and development, and human capital. Policies could also prioritize transparency, clarity, and adaptability to prevent rent-seeking behavior and unintended economic consequences. Finally, LCR policies would need to be complemented by broader industrial strategies focused on fostering competitiveness, productivity, and integration into global value chains, also discussed in earlier sections.

5.7 Export restrictions and downstreaming

The government's focus on industrialization is in part centered around the downstream processing of natural resources. This includes the downstreaming of natural resource-based industries, including nickel, copper, bauxite, palm oil, rubber and others. To support downstream development, Indonesia has relied on export restrictions and bans most notably for nickel. Indonesia is among the 20 percent of raw material-exporting countries that enforce such export restrictions.

Indonesia's nickel export ban has had significant impacts. On the one hand, the ban has successfully attracted foreign investment into domestic nickel processing and smelting facilities. The number of operational nickel smelters reached 44 in 2023, up from only two before the entry into force of the ban in 2014. This boosted Indonesia's capacity to produce and export refined nickel products, while exports of iron and steel have notably surged from US$1.2 billion in 2014 to US$26.7 billion in 2023. On the other hand, the policy has come with costs. It reduced foreign exchange earnings from nickel ore, caused short-term market disruptions, and contributed to a sharp rise in global nickel prices, while simultaneously

65 Negara (2018).
66 Yusuf and Resosudarmo (2015).
67 Ing and Zhang (2023).
68 Center for Strategic and International Studies (2023).

pushing domestic prices for nickel miners downward. Tax holidays and other incentives in these sectors have had fiscal costs. The ban has triggered a World Trade Organization (WTO) dispute settlement case challenging the policy.

With domestic smelting capacity now well-established, replacing the nickel export ban with a less distortive export tax may present an opportunity to balance revenue generation and value addition objectives. An export tax could create a stable and sustainable revenue stream for the government while enabling a more efficient allocation of resources along the nickel value chain. An export tax could also boost competitiveness in upstream sectors, allowing producers to respond dynamically to shifts in global demand and price fluctuations. Furthermore, the revenue generated from the export tax could be reinvested into targeted subsidies for downstream industries. A well-designed export tax, paired with transparent and performance-based subsidy mechanisms could be directed toward the development of the battery industry. A mix of complementary fiscal, trade policy, business environment, land management and infrastructure policies could further create the business-enabling environment for supporting the development of such downstream industries.

Analysis using a computable general equilibrium model[69] suggests that moderate export taxes paired with targeted subsidies could potentially balance downstreaming and economic growth objectives most effectively. Results show that under a continued nickel ore export ban, processed nickel production would be maximized, but in the absence of complimentary policies battery and EV output would remain moderate (Figures 5.14 and 5.15). Alternatively, removing the ban would generate significant nickel ore export revenues but downstream production would be constrained. In contrast, replacing the export ban with an export tax, particularly at 10 and 20 percent, could boost battery and EV production significantly. A 20-percent export tax with revenues directed to subsidize the battery industry shows the highest potential to boost battery and EV output, while a higher 30-percent tax reduces these gains despite higher processed nickel production. Such a 20-percent export tax combined with a subsidy would also have the highest economy-wide value addition and labor income benefits (Figures 5.16 and 5.17). In contrast, a 20-percent tax without subsidies would limit downstream benefits, with lower battery and EV outputs.

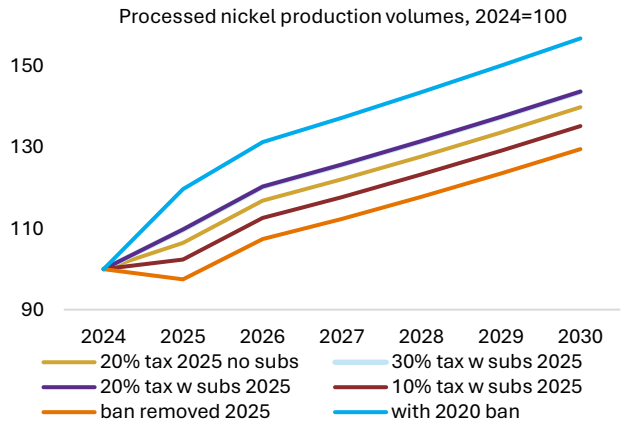
The limited impact on Indonesia's GDP highlights that, while downstreaming policies can boost sectoral output and exports, their overall contribution to the broader economy remains modest. The impact on real GDP reveals no significant relative differences in aggregate economic outcomes across policy scenarios by 2030, even relative to the full ban remaining in place. These findings align with evidence that the mining and ore processing sectors have limited integration with the wider Indonesian economy, restricting their ability to generate substantial multiplier effects. For example, output multipliers indicate that a

69 Based on a custom GTAP CGE model and database developed to incorporate the full EV value chain. Six alternative policy scenarios are considered: (i) the nickel export ban remains in place; (ii) the nickel export ban is removed in 2025; (iii) the export ban is replaced with a 10-percent export tax, with the export tax revenue recycled to support the expansion of batteries production; (iv) the export ban is replaced with a 20-percent export tax, with the export tax revenue recycled to support the expansion of batteries production; (v) export ban is replaced with a 30-percent export tax, with the export tax revenue recycled to support the expansion of batteries production in Indonesia; and (vi) the export ban is replaced with a 20-percent export tax, without recycling the export tax revenue as a subsidy.

US$1.00 increase in mining sector output results in only a US$1.6 increase in total domestic output. In contrast, comparable resource-exporting economies such as China, South Africa, and Brazil report multipliers nearly twice as high, reflecting stronger sectoral linkages and spillover effects. Extractive industries are also capital-intensive, with limited potential for generating employment and creating widespread labor value addition. To maximize the broader economic benefits of downstream policies, Indonesia will need to enhance these sectors' economy-wide and geographical integration and strengthen integration with supply chains.

Figure 5.14

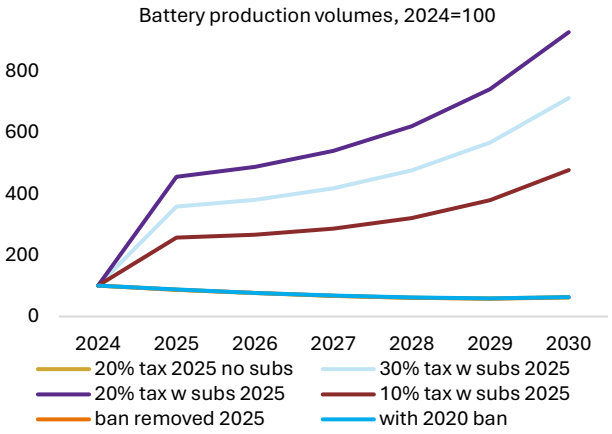
Replacing the nickel export ban with an export tax would continue to support processed nickel production...



Source: World Bank staff calculations using a custom CGE model. Note: lines for 20 and 30 percent export tax with subsidy scenarios coincide.

Figure 5.15

...a well-designed export tax, paired with transparent and performance-based subsidy mechanisms could boost battery production



Source: World Bank staff calculations using a custom CGE model. Note: lines for "with ban", "ban removed", and "20% tax no subsidies" scenarios coincide

Figure 5.16

Revenues from a 20-percent export tax used a subsidy to the battery industry could also support benefit economy-wide value addition

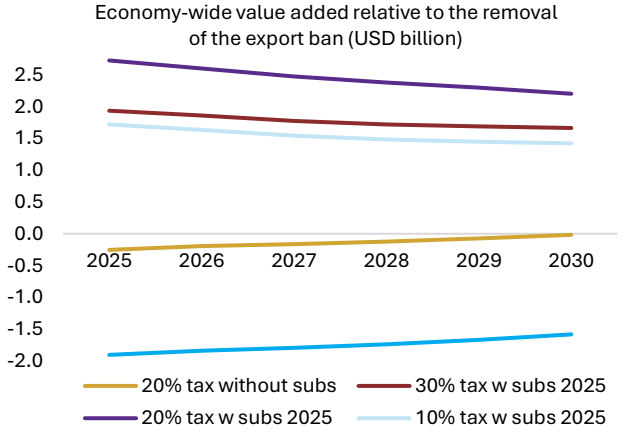
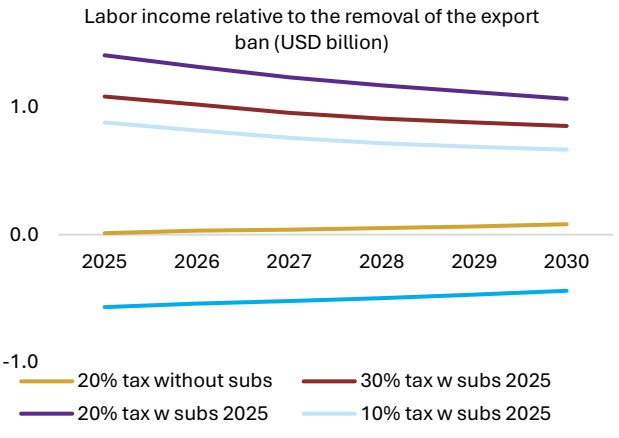


Figure 5.17

A targeted subsidy would also boost labor incomes



Source: World Bank staff calculations using a custom CGE model.

CHAPTER 6

POLICY REFORMS AND THEIR POTENTIAL IMPACTS ON GROWTH AND JOBS

Reducing domestic market restrictions to enhance competition could lead to GDP levels that are nearly 5 percent higher in the long run compared with a no-reform baseline. These reforms would also contribute to better quality jobs such that the increase in earnings create the equivalent of 7.7 million jobs.

Financial sector reforms by themselves (as proxied by lower risk premia and improved access to credit) yield moderate gains—raising GDP by 0.4 percent in the medium term and improving labor productivity—especially in capital-intensive sectors. The gains could be larger if paired with broader structural reforms.

Trade reforms deliver the largest impacts. Services liberalization raises GDP by 1.14 percent and labor income by 1.4 million job equivalents. NTM reform effects range from a 3.42 percent GDP increase (partial removal) to 6.61 percent (more ambitious reform), with higher labor earnings contributing up to 16.5 million job equivalents.

Reforms improve job quality more than quantity. Net job creation is modest—ranging from 380,000 under services liberalization to 2.5 million under full NTM reform—but better-quality jobs increase significantly: 7.7 million under reduced market restrictions, 1.5 million equivalent under services reform, 8.3 million equivalent under partial NTM reform, and over 16.5 million under full NTM reform.

6.1 Enabling businesses through domestic regulatory reform and stability

Reforming domestic market regulations would open markets across manufacturing and services to greater competition. Market restrictions have entrenched large, low-productivity incumbents. This stems both from specific regulatory barriers, as well as policy and market capture by incumbents. Incumbents charge higher markups on their products, without the threat of entry from competitors. Reducing the barriers to entry of new and existing firms through policy reforms that eliminate such distortions can lower prices, stimulate investment, and enhance growth of productive firms.

The impact of reforms of domestic market regulations and competition on growth and jobs are simulated in four steps (Figure 6.1):

i. Sector-specific reforms are identified based on the analysis in Chapters 3 and 4; specific reforms are listed in Annex 4. An assumption is made, based on the analysis in Chapter 4, of the potential impact of these reforms on entry, expansion into a new market, and innovation costs in agriculture, industry, and services sectors. Depending on the sector, entry cost and expansion cost are lowered by 50 or 75 percent.

ii. The impact of these changes on sector productivity and markup dispersion (a measure of distortion) is estimated using Peters (2020).[70] If the policies reduce the barriers for new firms to enter, for existing firms to expand, and for all firms to innovate, they are expected to increase the number of firms, average size of firms, and productivity of incumbent firms in these sectors and to lower markups and their dispersion.

iii. The spillover effects through the production network of sector TFP changes on other sectors through the input-output matrix are estimated (e.g., productivity boost and lower distortions in upstream industries positively affect productivity in downstream industries).[71,72] This provides economy-wide estimates for TFP changes due to the initial reforms.

iv. Aggregate TFP estimates are fed into a macro-structural model (MFMod-SA),[73] which provides overall impacts on growth, employment, and labor productivity in a general equilibrium framework.

70 Peters, Michael. "Heterogeneous markups, growth, and endogenous misallocation." Econometrica 88, no. 5 (2020): 2037-2073.

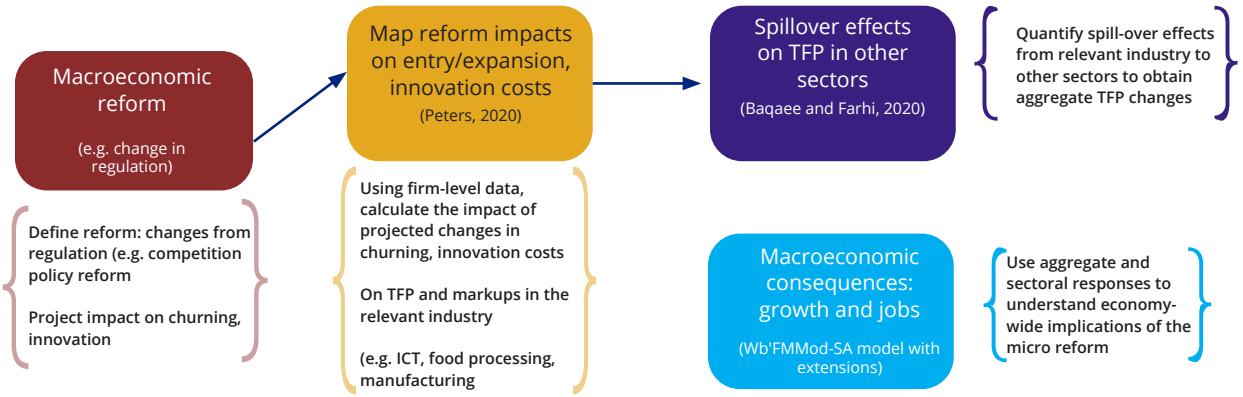
71 Baqaee, David, and Farhi, E. "Productivity and misallocation in general equilibrium." The Quarterly Journal of Economics 135, no. 1 (2020): 105-163.

72 We examine the effects of policy reforms using the framework developed by Peters (2020), which introduces a tractable model of firm dynamics with endogenous market power and an equilibrium-determined markup distribution. In this model, monopoly power arises from a process of forward-looking, risky accumulation: firms invest in productivity growth to increase markups on their existing products but are stochastically replaced by more efficient competitors. Stronger competition fosters creative destruction, mitigating the distortion from markups because faster churn gives firms less time to accumulate market power. Within this framework, competition in a market stems from both the expansion of existing firms into the market and the entry of new firms. To discipline the model, we utilize firm-level data moments including: (i) average productivity growth rate, (ii) entry rate, (iii) markup growth over eight years since entry, and (iv) employment growth over eight years since entry. These moments calibrate four key parameters: entry cost, expansion cost, innovation cost, and productivity growth step length. Our firm-level data is comprehensive for the manufacturing sector, while for other sectors, we only observe productivity growth and aggregate profit from the Gloria database. To extend the model across all sectors, we calibrate using manufacturing data and assume that productivity growth step length and the ratio of entry cost to innovation cost remain constant across sectors. This approach allows us to calibrate other sectors using just two moments—growth rate and aggregate profit. With the fully calibrated model, we can then simulate the effects of policy reforms targeting reductions in entry, expansion, and innovation costs.

73 Burns, Andrew; Campagne, Benoit; Jooste, Charl; Stephan, David; Bui, Thi Thanh. 2019. The World Bank Macro-Fiscal Model Technical Description. Policy Research Working Paper No. 8965.

Figure 6.1

Over 40 provisions that restrict competition across 10 competitive industries



Source: World Bank staff illustration, CGJR Guidelines on Policy Impacts

The results report on how policies affect more and better jobs. More jobs reflect the increase in the number of people employed because of the policy. This includes both direct jobs (e.g., workers hired for a new project) and indirect jobs (e.g., jobs created in other parts of the economy because of increased demand). Better jobs means that the wages of existing or new jobs go up, so people earn more money—even if the number of jobs does not change. To compare these two effects together, both are expressed in the same unit: as if they were "job equivalents." For example, if a policy did not create any new jobs but raised wages enough to equal the value of hiring 10,000 workers, that would count as 10,000 job-equivalents under the better jobs part. So, "more and better jobs" measures both quantity and quality of employment using a common scale.

Table 6.1

Impact of reducing market restrictions on growth and jobs

	2025	2040	2050
GDP (% change from BAU)	0.72%	2.78%	4.94%
labor income (% change from BAU)	1.10%	2.76%	4.84%
better jobs	1,866,837	4,338,183	7,761,038
more jobs	-381,666	-349,024	-37,670
More and better jobs	1,485,171	3,989,159	7,723,368

Source: World Bank staff calculations using MFMOD.

In aggregate, the reforms that remove domestic market restrictions are expected to boost growth and, while they do not necessarily lead to net job creation, they are projected to generate better jobs. In terms of growth, GDP levels in the long term are projected to be 4.94 percent above a baseline with no reforms to market restrictions (Table 6.1). The biggest TFP gain comes from reforms in the services sector, given that the sector has the highest distortions and is strongly connected to manufacturing through the value chain. In terms of jobs, the reforms could lead to a net loss in jobs of around 38,000 in the long term; but the reforms will also increase labor income by the equivalent of 7.7 million jobs on a projected employment level of 179.5 million by 2050.

6.2 Enabling businesses through trade and investment policy reform

The removal of services trade restrictions and selected NTMs on goods is modeled to assess the impact of trade reforms on the economy. This is done using MANAGE-WB, a dynamic computable general equilibrium (CGE) model calibrated to Indonesia's 2017 Social Accounting Matrix (SAM). MANAGE-WB captures the complex interactions between households, firms, government, and the rest of the world across multiple sectors and commodities. A baseline (business-as-usual) scenario to 2050 is constructed using key macroeconomic assumptions.[74] In aggregate, the combined impact of services trade and NTM reform could boost GDP by 8 percent above the no reform scenario in 2050. Reforms would boost labor earnings to the equivalent of 21.4 million over this period.

The study simulates three separate trade policy reform scenarios:

(i) Removing services trade restrictions generates meaningful gains. Aligning Indonesia's level of restrictiveness with regional peers could raise real GDP by 1.14 percent above a no-reform baseline by 2050, and lift labor income by 1.02 percent (Table 6.3). Based on a projected baseline employment level of 179.5 million in 2050, the reforms could create 380,000 additional jobs and raise labor income earnings to the equivalent of 1.5 million jobs. The better jobs reflect the expansion of higher-value services and a reallocation of labor toward more productive opportunities.

Table 6.2

Impact of combined trade reforms on growth and jobs

	2025	2040	2050
GDP (% change from BAU)	4.21%	7.71%	8.07%
labor income (% change from BAU)	4.82%	11.16%	11.91%
better jobs	552,832	15,915,085	18,464,560
more jobs	105,600	2,576,000	2,905,000
More and better jobs	658,432	18,491,085	21,369,560

Source: World Bank staff calculations using MFMOD.

Table 6.3

Removing services trade restrictions

	2025	2040	2050
GDP (% change from BAU)	0.58%	1.02%	1.14%
labor income (% change from BAU)	0.21%	0.85%	1.02%
better jobs	20,057	1,110,951	1,454,383
more jobs	9,000	300,000	380,000
More and better jobs	29,057	1,410,951	1,834,383

Source: World Bank staff calculations using MANAGE-WB

74 GDP projections follow MFMod estimates; population growth is based on UN data; the debt-to-GDP ratio is capped at 40 percent; and foreign direct investment is fixed at 1.8 percent of GDP. Under this baseline, labor productivity is endogenous and drives capital accumulation and growth.

(ii) A partial removal of NTMs on goods has an even larger, positive impact on long-term economic prospects. The partial removal assumes a 50-percent reduction in restrictiveness (ad-valorem equivalent) across four egregious NTMs discussed in Chapter 5: port of entry restrictions, mandatory certification requirements, pre-shipment inspections, and import approvals. Implementation of these reforms could, by 2050, boost GDP by 3.42 percent above a no reform scenario and labor income by 5.3 percent (Table 6.3), which is equivalent to 16 million jobs on a projected employment level of 179.5 million by 2050. Given the sizable magnitude of the shocks and the time horizon, the magnitude of results is in line with that of similar estimates in the literature.

(iii) A more ambitious removal of NTMs on goods could have more significant impacts. This would involve complete removal of port-of-entry restrictions and pre-shipment inspections. These NTMs are highly unorthodox ones that other countries do not apply. In this scenario, by 2050, GDP could be 6.61 percent and labor income by 10.54 percent above the no reform baseline (Table 6.4). Better-quality jobs could expand by over 16 million, on a projected employment level of 179.5 million.

Table 6.3

Partial removal of four NTMs

	2025	2040	2050
GDP (% change from BAU)	1.76%	3.25%	3.42%
labor income (% change from BAU)	2.28%	4.98%	5.33%
better jobs	264,611	7,112,258	8,294,850
more jobs	47,000	1,140,000	1,280,000
MBJ	311,611	8,252,258	9,574,850

Source: World Bank staff calculations using MANAGE-WB.

Table 6.4

More ambitious removal of four NTMs

	2025	2040	2050
GDP (% change from BAU)	3.41%	6.52%	6.61%
labor income (% change from BAU)	4.44%	10.29%	10.54%
better jobs	514,155	14,787,244	16,467,369
more jobs	92,000	2,260,000	2,460,000
MBJ	606,155	17,047,244	18,927,369

Source: World Bank staff calculations using MANAGE-WB.

While trade reforms may lead to adjustment costs in certain sectors due to increased import competition, model simulations indicate positive net employment effects across all reform scenarios. This underscores the importance of intersectoral spillovers in driving broader labor market gains. For example, services sector reforms are found to benefit high- and medium-skill manufacturing employment the most, demonstrating the role of services as key inputs for industrial development. Likewise, NTM reforms are expected to drive job creation in non-tradable (construction, wholesale, public services) and enabling services (transportation), reinforcing the broader labor market benefits of trade policy reforms.

Box 6.1

Impacts of reducing services trade restrictiveness

Reducing regulatory restrictions in the services sector present a significant opportunity to attract more of the rising global services investment. Evidence suggests that aligning Indonesia's services regulatory framework with that of ASEAN and OECD peers could increase services FDI by 10 and 21 percent, respectively (Figure 6.2). Moreover, as such reforms would also foster a more competitive and efficient domestic services sector, they could boost domestic service investment by 21 and 44 percent, respectively.

Against a backdrop of stagnating investment in services in Indonesia, these reforms will be much needed to support these sectors' long-term productivity and growth prospects.[75] Indeed, as Indonesia advances its OECD accession process, bringing its services regulations in line with OECD standards will be an important step toward creating a more predictable and investment-friendly business environment.

Reforms to close the services restrictiveness gap relative to ASEAN peers could drive export growth in priority services sectors targeted in the 2025–2029 Medium-Term National Development Plan. CGE modeling estimates suggest that professional services exports could increase by 11.6 percent, while information and communications services exports could grow by 6.8 percent over the medium to long run (Figure 6.3).

The benefits would extend beyond services, with positive spillovers to manufacturing. Exports of electronics, pharmaceuticals, and transport equipment—which are highly dependent on efficient services inputs—could expand with services reforms by 3.5, 5.1, and 5.1 percent, respectively (Figure 6.4).

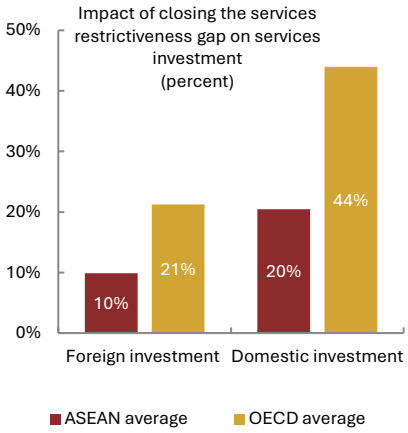
More generally, reforms to boost productivity in services sectors could support GDP growth and strengthen manufacturing competitiveness. CGE simulations indicate that a 1-percent increase in productivity across all services sectors could result in a 1.5-percent increase in GDP and a 1-percent rise in manufacturing output over the medium to long run. At the sectoral level, key services—including logistics, finance, communications, and professional services—play a critical role as enablers of economic activity (Figures 6.5 and 6.6).

By reducing business costs, enhancing firm productivity, and improving supply chain efficiency, more competitive and efficient services can strengthen industrial performance and export competitiveness. Moreover, high-quality services inputs are essential for industrial upgrading, supporting innovation and the development of higher value-added manufacturing sectors, such as electronics, pharmaceuticals, and transport equipment.

75 While the Job Creation Omnibus Law has helped attract FDI to Indonesia, much of this new investment has been directed toward commodity-based industries. In contrast, investment in services has remained stagnant, averaging around U$14 billion annually over the past five years (excluding the pandemic years). As a result, the share of services in inward FDI has been on the decline, from 54 percent in 2019 to 29 percent in 2023. Similarly, the share of domestic services investment has also fallen, from 68 percent in 2020 to 53 percent in 2023.

Figure 6.2

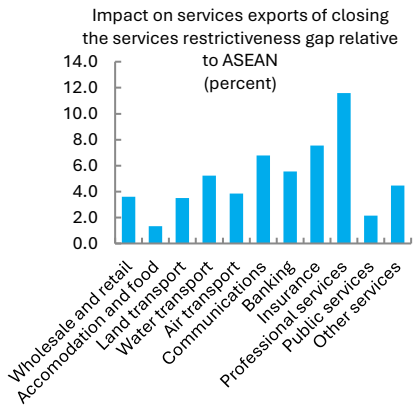
Reducing STRI to peer levels could significantly boost services investment



Source: World Bank staff estimates using a gravity trade model.

Figure 6.3

Services reforms could boost exports in priority sectors of the 2025–2029 plan



Source: World Bank staff estimates using GTAP.

Figure 6.4

STRI reform benefits spill over from services to manufacturing

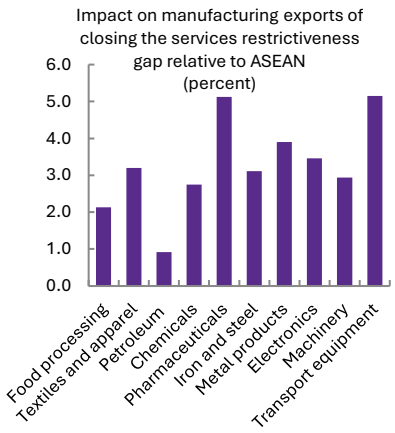


Figure 6.5

Enhancing productivity in the services sector could boost other sectors

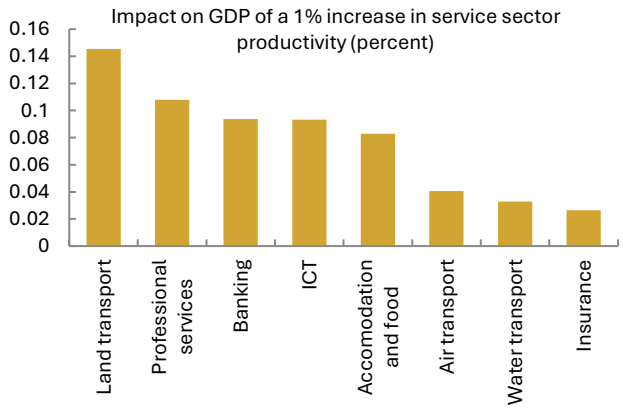
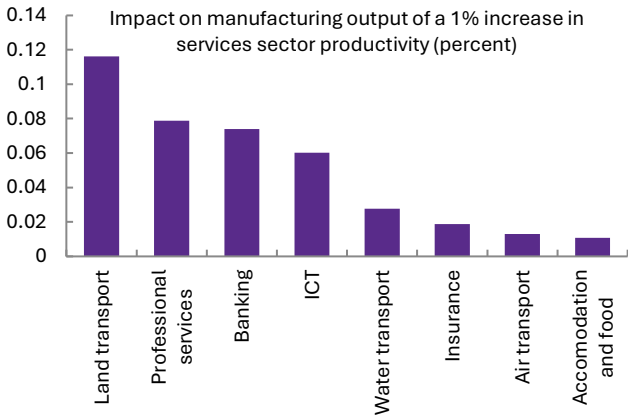


Figure 6.6

Productivity gains in key services can support manufacturing



Source: World Bank staff estimates using GTAP.

Source: WB Staff analysis

6.3 Lowering the cost of and improving access to private capital

A strong financial sector is essential for supporting investment and productivity, especially in capital-intensive industries. As discussed in Chapter 3, Indonesia's financial sector remains small, partly due to limited demand from high-value sectors. One key constraint is the high cost of borrowing, driven in part by elevated risk premia—additional interest charged by banks to cover default risk. To assess the impact of improved lending conditions, the study models a scenario where risk premia are reduced across sectors, providing insight into how better credit access alone can support economic performance.

In this scenario, banks lower risk premia by improving lending conditions and reducing their concentration in a few industries. Credit is allocated more broadly, especially to capital-intensive sectors previously constrained by high borrowing costs. Using MFMod, the simulation shows that these changes alone yield measurable gains: GDP rises by 0.04 percent in the short run, 0.40 percent in the medium run, and 0.08 percent in the long run (Table 6.5--10). Real wages increase modestly, peaking at 0.08 percent, while labor productivity steadily improves. Employment effects are limited, suggesting gains stem mainly from capital deepening and productivity growth.

While these effects are relatively modest in isolation, they reflect the impact of banking sector changes only, without any accompanying product or labor market liberalization or broader financial sector deepening (e.g., through capital market development). If such reforms were implemented in parallel—particularly to open restricted sectors to greater competition—the growth dividends from improved lending conditions would likely be much larger. In that case, the financial sector more generally, not just banks, could play a more catalytic role in unlocking productivity and investment gains across the broader economy. For example, India's economic deregulation in the late 1980s and early 1990s—driven by trade, industrial, and investment reforms—unleashed a wave of private sector growth that significantly expanded demand for financial services. This surge in real sector activity, combined with banking and capital market reforms, deepened financial intermediation. The bank credit-to-GDP ratio rose from about 25 percent in 1990 to over 50 percent by the mid-2000s, while stock market capitalization-to-GDP ratio jumped from 17 percent of GDP in 1991 to nearly 80 percent by 2007.

Table 6.5

Impact of the proposed reforms (% deviation from no-refrom baseline)

	GDP (% deviation from baseline)			Employment (% deviation from baseline		
	Short-run	Medium-run	Long-run	Short-run	Medium-run	Long-run
Banking sector	0.04	0.40	0.08	0.02	0.00	0.00

	Real wage (% deviation from baseline)			Labor Productivity (% deviation from baseline)		
	Short-run	Medium-run	Long-run	Short-run	Medium-run	Long-run
Banking sector	0.01	0.08	0.07	0.01	0.05	0.08

Source: WB staff estimates. Short-run = 1st year impact, medium-run = impact in the 7th year, long-run impact = 14+ years.

6.4 Reforms for growth and good jobs

The Indonesia Growth and Jobs Report proposes a package of reforms focused on business-enabling policies and mobilizing private capital (Annex 4). These include domestic regulatory and international trade reforms, based on a review of Indonesia's regulatory frameworks (Chapters 3–5) and their macro/micro impacts (Chapters 1–2). They align with the government's renewed push for deregulation and high-value manufacturing and services growth. The government, think tanks, and business associations have also developed recommendations consistent with the CGJR's call to prioritize business-enabling policies and regulatory predictability to promote competition, support firms' dynamics, and unlock private capital.

ANNEX 1

MACROECONOMIC TABLES

Table A.1

Key macroeconomic indicators

	1980–2000	2001–2019	2020–2023	Structural Peer Average 2014–2023	Aspirational Peer Average 2014–2023
Real/Income					
Real GDP growth, market prices	4.8	5.3	3.0	3.4	9
Investment, % change	6	6.7	1.8	4.1	14
Public		4.3	1.0	6.5	13.1
Private		7.6	1.9	5.5	13.6
Consumption, % change	5.2	4.9	2.2	3.5	9.4
Public	3.2	6	1.2	3.9	10.5
Private	5.5	4.7	2.3	3.5	9
Net exports, % change	-79.2	23.5	26.0	13.5	7.4
Exports	5.5	5.3	6.8	6.5	10.3
Imports	7	5.7	5.2	6.4	25.6
Investment, % of GDP	28.4	30.4	31.7	21.9	26.3
Public		3.7	2.4	4.7	5.2
Private		26.7	29.3	17.7	27.9
Consumption, % of GDP	64.8	65.5	62.1	63.3	40.7
Public	8.8	8.4	7.8	13	14.5
Private	56.1	57.2	54.3	66.1	38.2
Net Exports, % of GDP	-0.5	1.5	3.7	-1.6	11.6
Exports	18.7	22.9	22.4	17.8	22
Imports	19.2	21.5	18.7	19.8	9.8
Potential GDP growth	3.9	5.1	3.0	3.9	8.6
Distance to frontier, GDPpc as % of the USA's GDPpc	11.3	15	19.0	19.1	11.2
Real GDP growth (LCU)	4.8	5.3	3.0	3.4	9
TFP, contribution (ppt)	0.2	2.1	-0.5	0.5	1.6
Capital accumulation, contribution (ppt)	2.6	1.9	1.9	2.2	5.8
Labor, contribution (ppt)	1.7	1.1	1.5	1.2	0.2
Inclusion					
Poverty rate, US$2.15 poverty line		8.9	2.4	11.2	3.7
Gini Inequality Index	31.5	34.3	35.6	48.9	38.9
Demographics and Jobs					
Age dependency ratio (% of working-age population)	66.5	51.1	47.4	68.7	47

Employment to working-age population ratio					
Male	79.7	78.4	78.0	71	75.6
Female	47.9	46.9	51.1	42	64.1
Labor force participation rate	68.5	68.7	69.0	62.1	79.1
Male	84.7	84.8	82.8	77.3	84.7
Female	52.3	52.3	54.8	46.9	73.4
Unemployment rate	4.5	5.7	3.8	5.7	4.1
Male	4.1	5.3	4.1	5.2	4.5
Female	5.1	6.4	3.3	6.4	3.5
Structural Transformation					
Real GDP growth, factor prices, % change	4.8	5.1	2.9	3.4	9
Agriculture	2.8	3.7	1.8	2.9	4.5
Manufacturing	5.5	4.2	2.4	2.5	10
Services	5.1	6.7	3.7	4.5	10.9
Agriculture, % of GDP	20.3	13.9	13.0	14.2	16.4
Manufacturing, % of GDP	40.2	43.8	39.9	30.3	43.9
Services, % of GDP	39.6	41	43.0	50.7	39.7
Sectoral composition of employment					
Agriculture	45	38	29.3	32.4	40.7
Manufacturing	17.8	19.9	21.7	19	26.3
Services	37.2	42.1	49.0	48.6	33
Employment Structure					
Share of waged employment in total working age population	22.1	27.3	31.1	26.3	33.1
Average years of schooling, share of HIC average	54.8	65.5		55.9	66.5
External					
Current account balance, % of GDP					
FDI, % of GDP					
Exchange rate, LCU/USD	2629	10695.7	14744.3	43.7	6.1
REER		103.1	102.9		
Reserves, months of imports	3.5	5.9	6.5		
Memo items					
Credit to private sector, % of GDP					
Interest rate, annual average	16.8	7.8	4.4	9.8	4.9
Inflation, CPI	11.4	6.7	2.9	66.5	4.6
Fiscal deficit, % of GDP		-1.5	-3.7	-4.6	-2.5
Public debt, % of GDP		26.5	39.6	52.9	35.2
-of which external, % of GDP		12.9	12.0	14.4	1.2

Sources: WB Macro Poverty Outlooks, World Development Indicators, International Labor Organization, Penn World Tables.

ANNEX 2

EMPLOYMENT TABLES

Table A.2

Employment growth and shares across sectors

	1991–2000	2001–2019	2020–2022	Structural Peer Annualized Growth 2014–2022	Aspirational Peer Annualized Growth 2014–2022	2022 (last year available)	Structural Peer Average (2023)	Aspirational Peer Average (2023)
	Employment Annualized Growth					Employment Share		
Total Employment	**2.2**	**1.7**	**0.9**	**2.0**	**-0.4**			
Agriculture	1.8	-0.6	0.5	1.1	-3.6	29.3	22.0	13.8
Mining	-3.7	2.1	4.6	-1.4	-0.7	1.2	0.4	0.3
Manufacturing	3.5	2.2	1.6	1.8	-0.2	14.0	13.6	18.7
Utilities	-9.4	9.2	5.7	1.5	0.3	0.6	0.8	0.9
Construction	1.5	3.9	1.0	4.0	1.8	6.1	8.4	8.0
Wholesale & Retail Trade	5.1	3.2	1.6	3.0	0.5	20.9	18.3	10.1
Transport & ICT	4.9	1.5	2.9	3.3	0.5	4.9	6.8	8.5
Hospitality	4.9	4.0	3.1	3.3	2.8	5.4	4.6	6.9
Finance	5.4	8.4	1.1	1.9	1.9	1.7	1.1	2.1
Business Services	7.8	6.5	1.8	2.9	2.7	1.6	5.6	8.2
Public Administration	-3.6	3.2	-3.6	0.4	-0.4	3.6	4.2	4.1
Education	-1.6	4.8	-2.1	0.8	0.1	4.5	4.9	6.0
Health	-0.8	6.4	-0.9	3.4	1.8	1.4	3.4	5.9
Other Services	-1.5	1.1	0.1	0.3	0.6	4.9	5.8	6.4

Sources: International Labor Organization.

ANNEX 3
RECOMMENDATIONS FOR BUSINESS ENABLING POLICIES AND PRIVATE CAPITAL MOBILIZATION

Policy area	Issue	Recommendations	Affected sectors and/or activities
Pillar 2: Business enabling policies			
A. Competition	**1.1 Regulatory restrictions in manufacturing limit entry of new firms, protect incumbents, and encourage collusion**	Remove minimum capacity requirements in sectors	Food, textiles, pharmaceuticals, rubber and plastics, basic metals, computers and electronics, motor vehicle parts and accessories, fertilizers and nitrogen compounds
		Reduce the scope and breadth of price controls across commercial sectors.	Food, pharmaceuticals
		Reduce price control on key input used in the sector	Food, basic metals
	1.2 BOS presence in commercial sectors crowds out private investment	Divest state ownership of enterprises operating in commercial sectors	Manufacturing, construction, transport and storage, real estate, wholesale/retail trade
		Remove regulatory advantages for BOS	Manufacturing
		Remove limitations on number of firms allowed to operate in subsectors	Construction
	1.3 Market restrictions in network sectors limit private sector participation and service delivery	Where feasible, separate the transmission network from generation and retail supply—legally or operationally—to improve transparency and competition	Electricity
		To improve market dynamics, consider regulating Third-Party Access (TPA) to transmission and distribution grids—replacing negotiated access with clear rules	Electricity
		Promote competition by removing regulatory limits on the number of firms allowed to enter each market segment.	Electricity
		Ease foreign equity limits in air transport segments—such as domestic flights, water transport, and related services—to attract investment and boost efficiency	Transport
		Reduce controls on retail prices of domestic passenger air, water, and long-distance road transport services based on a plan for their eventual elimination.	Transport
		Mandate fixed line and mobile number portability.	Telecommunications

	1.4 The capacity to identify and address anti-competitive practices has become less effective over time	Introduce leniency program to encourage cartel whistleblowing with incentive on reduced fines or immunity	Cross-sectoral
		Introduce mechanism for competition authority to conduct on-site inspection for evidence collection with appropriate judicial oversight to enhance investigative capacity	Cross-sectoral
		Transition to a pre-merger notification framework to enable proactive assessment and mitigate potential competition policy risk before mergers are finalized	Cross-sectoral
		Introduce training programs for commercial and Supreme Court judges to enhance their understanding of economic theories and market analyses	Cross-sectoral
B. Business regulations	**2.1 Complex and burdensome business licensing arrangements create uncertainty and unpredictability for investors**	Develop a unified terminology and taxonomy of licenses and other ex-ante authorizations to conduct economic activities (including those currently classified as operating and/or commercial licensing) based on good regulatory practices.	Cross-sectoral
		Reduce the number of "licenses/permits" and streamline requirements by conducting a class-by-class review based on risk (starting with priority economic sectors/regulatory domains) in consultation with relevant government and private sector stakeholders.	Cross-sectoral
		Full implementation of SLA in business licensing process in the OSS system	Cross-sectoral
		Develop the inspection criteria to ensure the compliance on the implementation of RBA in business licensing	Cross-sectoral
		Build the capacity of local governments to verify compliance with basic conditions (including investments in systems, land use planning, and notification mechanisms).	Cross-sectoral
		Introduction of MSMEs provision in the current draft revision of Insolvency Law;	Cross-sectoral
		Legal procedure for cross-border insolvency	Cross-sectoral
	2.2 Lack of insolvency provisions in business regulatory environment prevents firm exit	Introduction of MSMEs provision in the current draft revision of Insolvency Law;	Cross-sectoral
		Legal procedure for cross-border insolvency	Cross-sectoral

	2.3 Inadequate dispute resolution mechanisms leads to inefficient commercial justice system	Consider introducing specialized chambers or courts on commercial matters.	Cross-sectoral
		Amend the Rules of Civil Procedure to introduce stricter time standards and limits on adjournements, the concept of dismissal on procedural rules, and update provisions to promote the use of the electronic court system.	Cross-sectoral
		Revise the Arbitration Law to align with current trends and best practices.	Cross-sectoral
		Establish a comprehensive legal framework for interim measures supporting arbitration.	Cross-sectoral
		Incorporate principles from the UNCITRAL Model Law on International Commercial Arbitration.	Cross-sectoral
		Reconsider the mandatory use of "mediation" as out-of-court resolution.	Cross-sectoral
	2.4 Regulations provide inadequate protection against conflict of interest and policy capture	Expand regulations to prevent public officials from serving on SOE boards and introduce guidelines to ensure their family members avoid activities that may lead to conflicts of interest	Cross-sectoral
		Mandate Politically Exposed Person (PEP) data record-keeping, audit bank compliance, and require due diligence reporting to mitigate corruption and financial crime risks.	Cross-sectoral
		Establish clear legal provisions defining the circumstances under which SOEs can participate in public procurement.	Cross-sectoral
C. Trade	**3.1 Low alignment with international best practices and limited participation in global regulatory initiatives in services trade, leading to reduced market access, inefficient procurement, and high compliance burdens for service suppliers.**	Develop capacity for the collection of services trade data, including detailed information on services trade by sector-partner-country, and the activities of foreign affiliates operating in Indonesia (Mode 3).	Services trade across all modes
		Adopt the Reference Paper on Services Domestic Regulation for the Joint Statement Initiative on Services Domestic Regulation.	Cross-border services trade (mode 1)
		Take steps toward accession to the WTO Government Procurement Agreement by progressively aligning domestic procurement policies with GPA principles to enhance transparency and competitiveness.	Cross-border services trade (mode 1)
	3.2 Indonesia's data localization requirements raise business costs and hinder global operations and digital trade	Ease restrictions on data localization and cross-border data transfer: introduce a risk-based approach to data localization; allow businesses to assess and classify data based on sensitivity and criticality; Establish a dedicated Data Protection Authority.	Cross-border services trade (mode 1)
		Establish Mutual Recognition Agreements (MRAs) with trading partners on Data Protection Standards; Exempt MSMEs and startups from localization/transfer mandates.	Cross-border services trade (mode 1)
	3.3 High minimum thresholds for foreign service providers in public procurement exclude them from key service sector	Lower minimum thresholds required for foreign service suppliers to participate in public procurement.	FDI in services and exports through foreign commercial presence (mode 3)

	3.4 Strict local content requirements (25%) and price preferences for domestic goods/services in procurement exclude foreign providers in sectors where advanced technology and quality are needed	Ease minimum local content requirements in public procurement of services and eliminate sector-specific price preference margins.	FDI in services and exports through foreign commercial presence (mode 3)
	3.5 Foreign equity caps limit investment opportunities in several service sectors (e.g., 49% in maritime transport services)	Remove remaining foreign equity limits and eliminate requirements for partnership with local cooperatives and MSMEs	FDI in services and exports through foreign commercial presence (mode 3)
	3.6 Foreign investment is subject to high minimum capital requirements	Reduce minimum capital requirements for foreign investment in services	Delivery through movement of foreign professionals (mode 4)
	3.7 Foreign e-commerce platforms are required to establish a representative office in Indonesia only if they meet certain thresholds	Relax the representative office requirement for foreign e-commerce operators by raising the thresholds for transactions or internet traffic or by introducing alternative compliance measures	Delivery through movement of foreign professionals (mode 4)
	3.8 Foreigners are only allowed to work in 18 sectors and are limited to 2,000 job titles.	Extend the list of occupations in service sectors eligible for foreign work permits (short-term)	Delivery through movement of foreign professionals (mode 4)
		Fully eliminate restrictions on occupations eligible for foreign work permits (medium-term)	Delivery through movement of foreign professionals (mode 4)
	3.9 The process to obtain a work permit through the Expatriate Manpower Utilization Plan (RPTKA) is cumbersome and costly	Simplify the RPTKA Process; Introduce an RPTKA Exemption for SMEs and Startups; Develop a Fast-Track System for Urgent Needs (short-term)	Delivery through movement of foreign professionals (mode 4)
		Fully eliminate requirements for the RPTKA and annual reporting requirements (long-term)	Delivery through movement of foreign professionals (mode 4)
	3.10 A mandatory fee of US$100 per position per month must be paid in advance to the Foreign Workers Compensation Fund, raising the cost of hiring foreign workers	Reduce or eliminate mandatory fee for hiring foreign workers (introduce a tiered fee system based on company size; regional exemptions for underdeveloped areas	Delivery through movement of foreign professionals (mode 4)
	3.11 Firms report difficulties in renewing their KITAS permits for foreign executives	Extend the validity period of work permits for foreign employees	Delivery through movement of foreign professionals (mode 4)

	3.12 Indonesia participates in several Mutual Recognition Arrangements (MRAs) within ASEAN and with Australia to facilitate the cross-border movement of professionals	Expand the number of Mutual Recognition Arrangements (MRAs) on the cross-border movement of professionals to cover key trading partners	Delivery through movement of foreign professionals (mode 4)
	3.13 Certain goods can only enter through certain ports leading to higher import costs	Removal of port of entry restrictions (NTM)	Machinery and equipment, pharmaceuticals, crops, food products, leather products, vegetables/fruit/nuts, paper products, publishing, vegetable oils and fats, petroleum, coal products, chemical products, meat products, electrical equipment.
	3.14 Indonesian standards (e.g., industrial, environmental) are not harmonized with international standards and mandatory certification is needed for imported products	Removal of mandatory certification with national standards and harmonization with international standards	Manufactures, metal products, transport equipment, electrical equipment, ferrous metals, mineral products, wearing apparel, rubber and plastic products, paper products, publishing, textiles
	3.15 Imports are required to undergo inspection before leaving port of export creating time and cost burden for importers	Removal of pre-shipment inspections	Vegetables/fruit/nuts, crops, oil seeds, plant-based fibers
	3.16 Import licensing procedures are binding constraints to accessing imported inputs	Streamlining import approvals and eliminating recommendation letters	Transport equipment, computer, electronic and optical products, mineral products, petroleum, coal products, metals, rubber and plastic products, electrical equipment, paper products, publishing, ferrous metals
Pillar 3: Private capital mobilization			
D. Financial sector	**4.1 Fragmented credit information systems and regulatory gaps in secured transactions create information asymmetries, limit risk-taking, and block credit expansion**	Develop a national strategy and improved oversight framework for the credit reporting system (CRS). This should consolidate the legal and regulatory framework, which is currently fragmented, dispersed among different laws and regulations.	Financial sector
		Adopt credit reporting legislation/regulations while also establishing a robust regulatory framework for alternative data and innovative credit scoring for instance through a credit reporting law. The CRS is hampered by limited access to relevant data e.g., from P2P lenders, e-commerce platforms, telecom companies, government agencies, and other.	Financial sector
		Adopt modern secured transactions laws and improve the effectiveness of the collateral registry.	Financial sector

	4.2 The absence of a regulatory framework and incentives for credit guarantees limits access to affordable financing for new market segments	Assess the market development impact of guarantee institutions and adjust as needed their complexity, coverage, products, pricing, and targeting to enable more effective adoption of this mechanism to deepen financial intermediation	Financial sector
		Establish a monitoring and evaluation framework to be able to periodically measure the effectiveness of the scheme in terms of economic and financial additionality, outreach, and sustainability	Financial sector
	4.3 The dominance of a few large financial institutions drives up financing costs and crowds out other financial service providers, including fintech.	Strengthen the enabling environment for fintech by further developing digital public infrastructure (DPI) and clearly defining the roles of both authorities and the private sector, particularly in the use of digital IDs for financial transactions to streamline customer verification and enhance data sharing	Financial sector
		Expand access to the BI-FAST payment system for a broader range of financial providers, ensuring safety while reducing transaction costs and maintaining a level playing field.	Financial sector
		Strengthen the regulatory and supervisory framework for technology-based financial service providers, in line with FSOL provisions, addressing risks from players outside BI's regulatory perimeter, such as large payment aggregators and agents.	Financial sector
		Adopt common baseline cybersecurity measures for all regulated entities and further strengthen consumer and investor protection, ensuring greater consistency in market disclosures.	Financial sector
	4.4 Government financial deepening programs are mainly run by State-Owned Banks, limiting opportunities for private banks to engage and expand market reach	Simplify the KUR program to reduce complexity and enhance incentives for commercial banks to participate	Financial sector
		Transition to a risk-based approach for setting interest rate subsidies, tailored to the creditworthiness of borrowers.	Financial sector
		Move towards a risk-based pricing model for KUR credit insurance (guarantees) to more accurately reflect insurers' risk exposure.	Financial sector
		Enhance the monitoring and evaluation system of the KUR program to ensure more effective tracking and impact assessment.	Financial sector
		Regularly monitor the rejection rates of SMEs applying for KUR to better understand the program's effects and identify areas for improvement.	Financial sector

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